Insurance Brokers 3Q26 Preview

Commercial P&C Brokers Attractively Valued, AI Risk an Overhang for Personal Lines

Insurance - Life & Nonlife

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We think commercial P&C brokerage stocks are attractively valued in the aggregate following their sell-off in 3Q26, and we continue to like AON (Overweight) the most. Marsh (Overweight) is our second pick and we remain cautious on RYAN (Underweight). The personal lines brokers also seem undervalued vs. their growth prospects, but the overhang from AI is an impediment to be more positive on stocks.

- **P&C pricing still a headwind, but higher inflation and short-term interest rates are modest tailwinds.** After benefiting from the market rotation into financials in early 3Q26, brokerage stocks gave up their gains in September due to the rotation back into tech, an increase in interest rates, and AI-related concerns. Fundamentally, the pricing environment remains challenging for both organic growth and margin expansion, but with some potential relief from higher inflation (brokers grow off nominal economic values) and an uptick in fiduciary investment income. Higher interest rates are a negative for debt financing, but could help rationalize asking prices for private brokers.
- **Commercial brokerage stocks are attractive overall, but we think AON has the most upside.** AON has sold off close to 22% (vs. -11% for MRSH) after announcing the acquisition of USI on August 31, which the market has perceived to be a lower-quality asset with subpar organic growth and margins acquired at an expensive price. Although there is some truth to this characterization, which is reflected in our reduced EPS estimates to account for USI's dilutive impact, our view is that Aon is still attractively valued on this reduced earnings base. There could be upside to our EPS estimates if Aon delivers on promised synergies (to which we applied a haircut) or the stand-alone profile of USI inflects. Longer term, the build out of the wholesaling business is also an opportunity. MRSH, which we have maintained as a secondary Overweight mainly because it has pulled back like the other brokers, could be more interesting as the full implementation of Thrive sharpens its operating efficiency and bridges its margin gap with peers. On the other hand, we think RYAN is less attractive on a relative basis since in a softening P&C environment it has more scope for downside risk compared to other brokers. Further, despite being able to overcome market headwinds thus far, we do not think its valuation premium is justified by its current growth trajectory.
- **Personal lines brokers (GSHD and TWFG) are attractively valued vis-a-vis their growth, but AI remains an overhang on stocks.** Personal auto pricing is under pressure, but negative comparisons in homeowners' pricing (about 2/3 of mix for personal lines brokers) should begin to ease in 2H26. In the meantime, personal lines insurers are more focused on adding customers, which bodes well for broker growth. Having said this, we expect volatility in quarterly organic growth for both GSHD (mid-teens in 2H26) and TWFG (low-double-digits in 3Q26, low-single-digits in 4Q26). We continue to prefer TWFG over GSHD because of TWFG's ability to access organic and M&A opportunities, as well as its greater operating stability. Given recent AI developments, we think the balance of risk has become less favorable for personal lines agents, and by definition, insurers and MGAs that rely on them without direct distribution capabilities. Still, our view is that the risk of meaningful agent disintermediation from AI is low. **Separately, we are moving from Overweight to Neutral on BWIN and LIFE.**

See page 79 for analyst certification and important disclosures.

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Table Of Contents

Sector Commentary 4
P&C Brokerage Multiples Enticing Overall 4
Inflation to Offset Slowing Growth, Margin Expansion Modest 5
Current Market Less Conducive to Large Scale Deals 12
Constructive on Brokers Longer Term 13
Stock Commentary 14
EPS Forecasts Mostly Unchanged 16
J.P. Morgan versus Consensus Estimates 17
Aon 18
Brown & Brown 25
The Baldwin Group 32
Goosehead 39
Ethos Technologies 47
Marsh & McLennan 53
Neptune Insurance 59
Ryan Specialty Group 66
TWFG Insurance 72

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price ($)	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target End Date
Aon	AON US	58,675.24	276.77	OW	n/c	362.00	Dec-27	412.00	n/c
Brown & Brown	BRO US	20,097.00	60.90	N	n/c	83.00	Dec-27	80.00	n/c
The Baldwin Group	BWIN US	4,432.43	31.79	N	OW	32.00	Dec-27	30.00	n/c
Goosehead	GSHD US	1,611.01	45.36	N	n/c	60.00	Dec-27	68.00	n/c
Ethos Technologies	LIFE US	2,363.96	33.57	N	OW	37.00	Dec-27	n/c	n/c
Marsh & McLennan	MRSH US	81,608.94	170.73	OW	n/c	215.00	Dec-27	212.00	n/c
Neptune Insurance	NP US	3,958.19	27.35	N	n/c	31.00	Dec-27	n/c	n/c
Ryan Specialty Group	RYAN US	9,455.07	37.00	UW	n/c	45.00	Dec-27	n/c	n/c
TWFG Insurance	TWFG US	1,302.97	24.01	N	n/c	26.00	Dec-27	28.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 30 Sep 26.

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Sector Commentary

P&C Brokerage Multiples Enticing Overall

We think P&C brokerage stocks are attractively valued. Brokerage stocks have declined 15% in 2026 thus far, following an 8% decline in 2025, leading to one-year forward earnings multiples that average ~14.6x, 21% below their 15-year average and comparable to levels in 2015-2016. At that time, similar to today, the broader P&C market was in the midst of a soft market (which lasted from about 2013-2017), albeit risk-free rates were about ~2% lower. Conversely, brokers were less scaled and had considerably lower margins and cash flow conversion. As a result, independent of the market cycle, we think part of the secular expansion seen in broker multiples is justified, especially prior to the most recent hard market (roughly 2018-2025). **Another element in today's market that is pressuring valuation but is not fundamentally justified, in our view, is the overhang from AI risk where the argument is either for disintermediation or potential revenue/margin degradation.** Although we would concede that certain pockets of brokerage business (personal lines, fee-based revenues) are more exposed to AI risk, especially with the release of more usable agentic AI tools, we think the core of brokerage business (P&C/employee benefits/wealth) that serves business entities is largely insulated. Pricing is only one consideration in the overall relationship between brokers and their clients, and larger brokers tend to exercise considerable leverage over other entities in the insurance value chain.

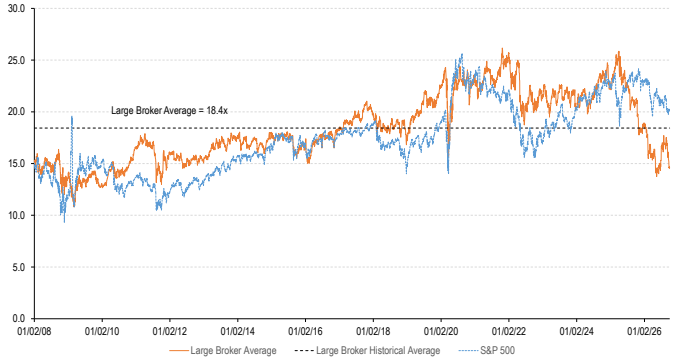
Our screening methodology for picking companies/stocks in the brokerage segment is unchanged. Overall, we like brokerage stocks that (1) have a greater skew to fee-based revenue over commissions (less sensitivity to the pricing environment), (2) have a more diversified business mix (lower relative exposure to areas of acute pressure such as property and E&S), (3) are more likely to exhibit near-term margin expansion (less downside risk to earnings from slower growth), and (4) have more U.S. exposure (although better conditions in the Middle East should lessen the risk of other countries' economies underperforming the U.S.). **Given the recent sell-off in the sector, driven by the re-emergence of AI risk and higher interest rates, we think the sector is attractively valued overall.** However, we like AON the most given its pullback after the USI announcement. Meanwhile, although RYAN has demonstrated its ability thus far to overcome market headwinds, we do not think its valuation premium is justified by its current growth trajectory.

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Figure 1: Broker Multiples Have Retracted to 2016 Levels

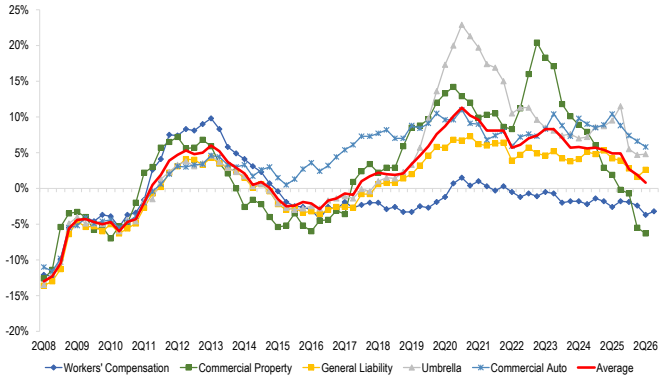
price to next-twelve-months earnings



Source: Bloomberg Finance L.P. and J.P. Morgan estimates.
Note: Large broker average includes AON, AJG, BRO, MRSH, and WTW

Figure 2: Commercial Lines Prices Softening Across Most Lines

Refers to CIAB premium pricing for various product lines through 2Q26



Source: The Council of Insurance Agents & Brokers (CIAB).
Note: Average rate includes Commercial Auto, Workers' Compensation, Commercial Property, General Liability, Umbrella lines.

Inflation to Offset Slowing Growth, Margin Expansion Modest

Commercial P&C pricing trends and the macro outlook suggest muted organic growth. The P&C pricing environment has been challenging so far in 2026, as expected. While the most acute pressure has been in large account property, there has also been evidence of more broad-based slowing, with the Council of Insurance Agents and Brokers (CIAB) pricing index showing price deterioration across all account sizes (though headwinds have been less pronounced for small business insurance compared to large account cases). Pricing pressure has also been evident across all geographies per Marsh's data (which skews large account), including the UK, Western Europe, Canada, Latin America, and Asia Pacific. Data on U.S. large account casualty has been more mixed, with Marsh's proprietary index showing continued strength in pricing, but commentary from other industry competitors suggesting increased competition. Aside from P&C pricing, brokerage organic growth typically correlates well with nominal GDP trends. **On this factor, the nominal GDP growth curve for most major economies remains modestly downward sloping over the next several years, implying slower growth in insurable exposure units, but there could be modest upside if inflation persists or picks up.** Overall, P&C brokerage (including reinsurance) accounts for about two-thirds of brokerage revenues, while employee benefits comprises the next largest segment at roughly 15-20% (employee benefit revenues are driven by headcount, wage levels, and benefit costs/premiums).

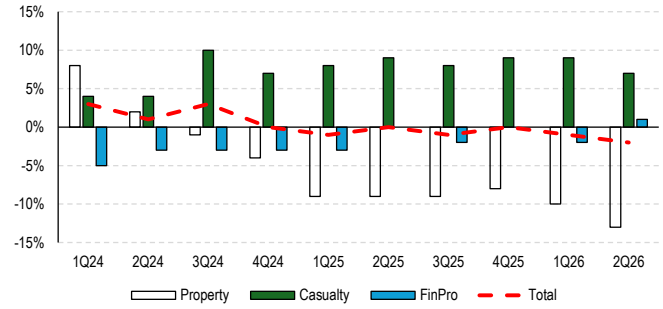
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Figure 3: Overall Commercial P&C Pricing Has Been Flat Since 2025

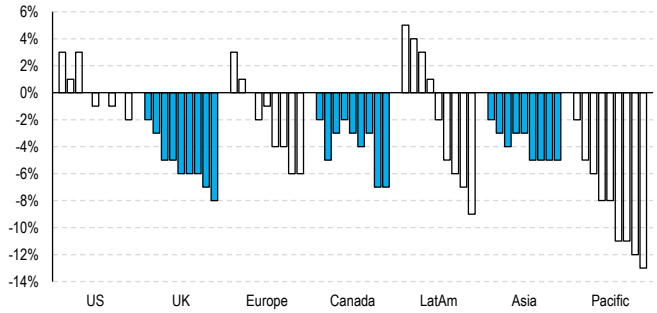
% change in pricing by line of business (US): 1Q24 to 2Q26



Source: Marsh. Note: Pricing data is more skewed to large account business.

Figure 4: Commercial P&C Pricing Is Down Across Major Geographies

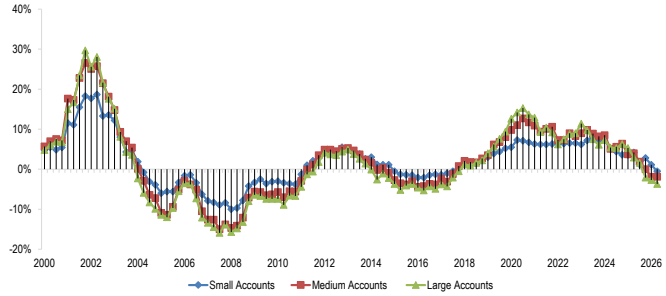
% change in pricing by geography (property and casualty): 1Q24 to 2Q26



Source: Marsh. Note: Pricing data is more skewed to large account business.

Figure 5: Small Commercial Pricing Is More Stable Through Cycles . . .

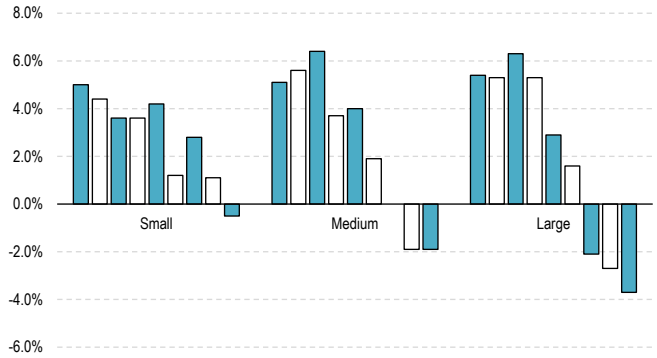
% change in P&C pricing by account size



Source: Council of Insurance Agents and Brokers (CIAB).

Figure 6: . . . But Has Still Pulled Back in Recent Quarters

% change in P&C pricing by account size: 2Q24 to 2Q26



Source: Council of Insurance Agents and Brokers (CIAB)..

Table 1: Nominal GDP Growth Flattish, Inflation an Offset to Slowing Growth

Nominal GDP growth in %

	2022	2023	2024	2025	2026E	2027E
United States	10.2%	6.9%	5.3%	5.0%	6.2%	5.0%
Canada	12.1%	4.3%	5.9%	4.4%	6.1%	5.6%
UK	-4.7%	0.0%	3.9%	3.6%	3.2%	2.5%
Euro Area	10.2%	7.5%	4.1%	3.9%	3.4%	3.8%
Japan	2.1%	5.1%	7.5%	4.5%	3.7%	3.9%
Australia	12.8%	5.6%	3.7%	4.7%	4.5%	3.8%
Mexico		7.9%	5.4%	5.1%	5.8%	6.1%
Brazil		8.6%	7.6%	8.1%	7.1%	5.4%

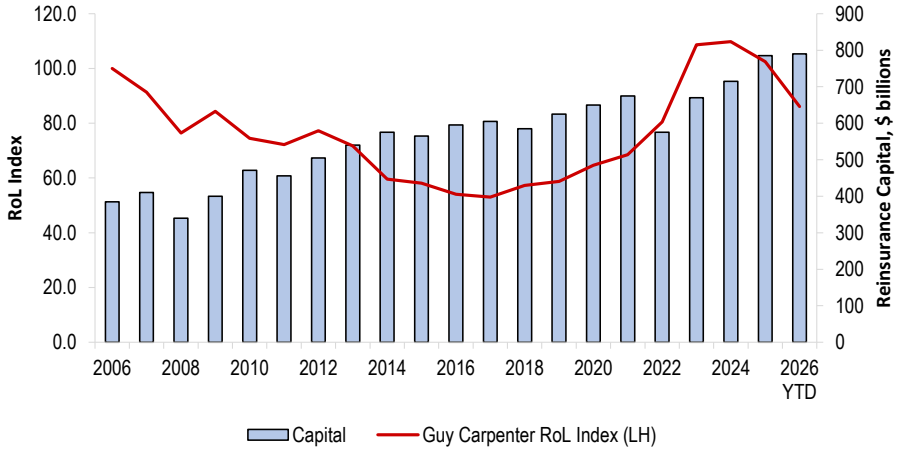
Source: J.P. Morgan estimates.

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Figure 7: Reinsurance Rates Continue to Decline

RoL index (base of 100 in 2006), reinsurance capital in $ billions



Source: Guy Carpenter, Aon, and J.P. Morgan estimates.

Near-term expectations have reset lower for some commercial brokerage stocks, but medium risk is still present. Expectations reset with 1Q26 earnings for some commercial brokers, including BRO, RYAN, and WTW, due to some of the factors we identified such as exposure to property, E&S, and international business. 2Q26 results at BRO were fairly close to expectations, with higher margins but slower revenue and organic growth. Meanwhile, RYAN beat expectations on both organic growth and margins despite a heavy property quarter. Consequently, broker stocks traded up for the most part. More recently, broker valuation multiples have been pressured by fears of disintermediation by AI, which we believe are overblown. AON traded off significantly after announcing USI. Overall, despite expected headwinds to growth due to a softening P&C market, we expect margins at large commercial brokers to continue to expand through expense initiatives and efficiencies through the use of AI. As a result, we believe that commercial broker stocks at these valuation levels are attractive.

Table 2: Recent Stock Underperformance Has Been Driven Partly by AI Overhang

Stock price performance in %

	1-day post 2Q26 EPS	2Q26 EPS to Today	Year-to Date
Commercial Brokers			
AJG	-2.7%	-8.5%	-11.8%
AON	-1.1%	-27.1%	-22.1%
BRO	5.7%	-17.8%	-24.1%
BWIN	3.9%	14.8%	32.5%
MRSH	-0.3%	-6.0%	-8.0%
RYAN	0.2%	-14.1%	-26.5%
WTW	6.4%	-14.1%	-12.1%
Average	**1.7%**	**-10.4%**	**-10.3%**
Median	**0.2%**	**-14.1%**	**-12.1%**
Personal Brokers			
GSHD	4.9%	-18.2%	-40.1%
LIFE	21.1%	20.0%	74.6%
NP	-1.1%	-8.0%	-5.3%
TWFG	2.7%	-16.1%	-16.7%
Average	**6.9%**	**-5.6%**	**3.1%**
Median	**3.8%**	**-12.0%**	**-11.0%**

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

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Table 3: Commercial Broker Revenues by Line of Business

2025 revenues in % and $ millions

	AJG	AON	BRO	BWIN	MRSH	RYAN	WTW
Commercial P&C brokerage	46%	50%	40%	56%	51%		45%
Wholesale and specialty	12%		11%			53%	
Reinsurance brokerage	9%	16%	-		9%		-
HR / employee benefits	21%	22%	20%		12%		23%
Management consulting	-	-	-		13%		-
Retirement / asset management	-	12%	-		10%		19%
Programs business (MGA / MGU)	-		29%	29%	2%	47%	-
Claims administration / outsourcing	11%						13%
Personal lines P&C				15%			
Total revenue	**14,200**	**17,165**	**6,826**	**1,925**	**26,981**	**2,995**	**9,463**

Source: Company reports and J.P. Morgan estimates.

Table 4: Commercial Broker Revenues by Type of Payment

2025 revenues in % and $ millions

	AJG	AON	BRO	BWIN	MRSH	RYAN	WTW
Core commissions	58%		68%	79%		92%	
Contingents	2%		4%	6%		5%	
Guaranteed supplements	3%		4%				
Commission income	**64%**	**48%**	**76%**	**85%**	**40%**	**97%**	**27%**
Fee income	30%	52%	22%	12%	59%	3%	73%
Other	6%		2%	2%	1%		
Total revenue	**14,200**	**17,165**	**6,826**	**1,925**	**26,981**	**2,995**	**9,463**

Source: Company reports and J.P. Morgan estimates.

Table 5: Commercial Broker Revenues by Geography

2025 revenues in % and $ millions

	AJG	AON	BRO	BWIN	MRSH	RYAN	WTW
United States	67%	48%	86%	100%	49%	94%	46%
United Kingdom	18%	13%	10%		14%	6%	21%
Canada	3%	7%			11%		3%
EMEA ex. UK	4%	19%	4%		18%		18%
Asia Pacific	6%	10%			5%		8%
Latin America	2%	3%			2%		4%
Total revenue	**14,200**	**17,165**	**6,826**	**1,925**	**26,981**	**2,995**	**9,463**

Source: Company reports and J.P. Morgan estimates.

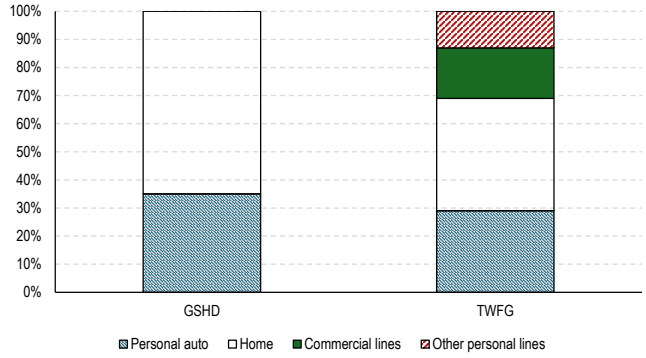
Personal lines pricing is also challenged, but personal lines brokers (TWFG and GSHD) are more skewed to homeowners' where there is more price stability compared to personal auto. Personal auto pricing started decelerating in 2024 while homeowners insurance pricing followed in 2025. On a year-over-year basis, homeowners' pricing was +4% in August 2026 (versus +6% in August 2025 and +8% in 2025) while personal auto pricing was -5% in August 2026 (versus +5% in August 2025 and +3% in 2025). Given these broader market trends, organic growth has slowed for the personal lines brokers, although with homeowners' pricing set to stabilize in 2026, personal lines organic growth will likely stabilize as well (personal auto is 30-35% of personal broker premiums with the balance consisting of homeowners' and other lines). **Additionally, as the personal lines brokers fully cycle through in-force dynamics (negative comparisons on retention and pricing), we think organic growth will accelerate as new business volume picks up.** Having said this, we expect organic growth in the near term to be lower than historically due to the more challenging housing market (a negative for transaction volumes) and brokers' larger in-force books.

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Figure 8: Homeowners' and Personal Auto Are the Largest Lines for GSHD and TWFG

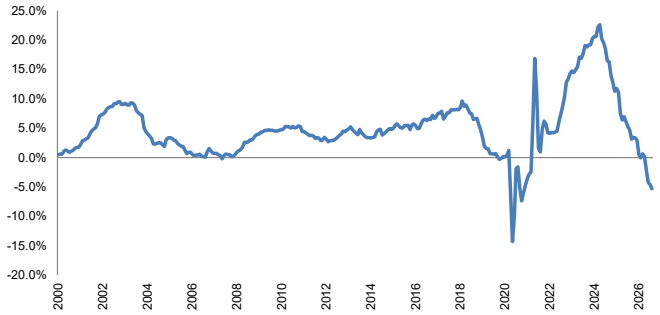
% share of 2025 written premiums



Source: Company reports and J.P. Morgan estimates.

Figure 9: Personal Auto Insurance Prices Are Declining

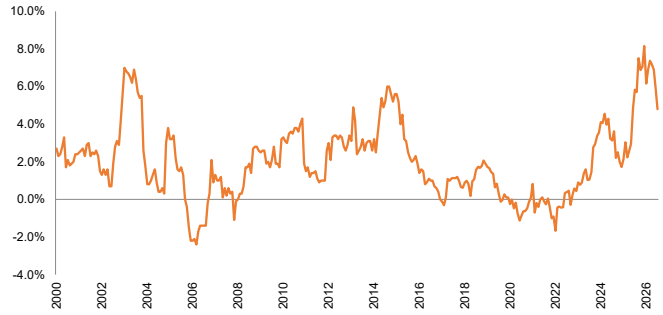
Y/y % chg.



Source: U.S. Bureau of Labor Statistics and J.P. Morgan estimates.
Note: Prices for October 2025 and November 2025 were not reported and have been estimated. Data reflects premium rate changes, which includes pure rate and exposure.

Figure 10: Homeowners' Insurance Price Hikes Remain Healthy

Y/y % chg.



Source: U.S. Bureau of Labor Statistics and J.P. Morgan estimates.
Note: Data reflects premium rate changes, which includes pure rate and exposure.

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Table 6: Organic Growth Estimates: JPM vs. Consensus

%

	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	2027E	2028E
AON													
JPMe	5.9%	5.0%	6.0%	7.0%	5.0%	5.7%	5.0%	5.0%	4.4%	4.6%	4.8%	4.2%	3.7%
Consensus									*4.8%*	*5.2%*	*5.0%*	*4.7%*	*4.6%*
BRO													
JPMe	10.4%	6.6%	3.6%	3.5%	-2.8%	2.8%	-0.1%	-0.7%	1.9%	3.1%	1.2%	2.9%	3.4%
Consensus									*2.1%*	*2.8%*	*1.2%*	*3.0%*	*3.4%*
BWIN													
JPMe	16.7%	10.3%	11.3%	4.5%	2.7%	6.8%	1.7%	1.5%	6.7%	9.5%	4.7%	10.4%	9.8%
Consensus									*5.7%*	*8.7%*	*4.3%*	*8.4%*	*8.4%*
GSHD													
JPMe	17.5%	17.5%	18.2%	14.1%	15.0%	16.1%	15.0%	10.2%	15.3%	14.5%	13.6%	17.6%	17.6%
Consensus									*15.9%*	*18.0%*	*14.7%*	*17.3%*	*15.3%*
LIFE													
JPMe	59.6%	52.6%	57.6%	34.3%	65.5%	52.0%	103.5%	113.4%	81.4%	67.5%	90.2%	28.7%	18.8%
Consensus									*74.2%*	*68.5%*	*89.4%*	*29.0%*	*11.1%*
MRSH													
JPMe	7.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	5.0%	3.9%	3.7%	4.0%	3.9%	3.9%
Consensus									*3.9%*	*3.9%*	*4.1%*	*3.9%*	*3.9%*
NP													
JPMe	40.6%	36.1%	29.8%	31.2%	38.9%	33.7%	-10.2%	32.8%	29.6%	25.1%	29.1%	17.0%	15.0%
Consensus									*27.2%*	*21.4%*	*27.2%*	*16.9%*	*17.7%*
RYAN													
JPMe	12.7%	12.9%	7.2%	15.0%	6.6%	10.1%	11.8%	6.6%	5.1%	6.5%	7.4%	6.9%	7.4%
Consensus									*4.3%*	*3.9%*	*6.5%*	*5.8%*	*6.4%*
TWFG													
JPMe	13.8%	14.3%	10.6%	10.2%	11.7%	11.6%	10.1%	37.0%	10.7%	1.5%	14.9%	10.4%	11.1%
Consensus									*NA*	*NA*	*NA*	*NA*	*NA*

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

Margin expectations vary across brokers. Most of the public brokers have good track records of margin expansion through a combination of scale, business model adjustments, and expense efficiencies (AJG, AON, MRSH), while others have been less consistent (WTW) or have always operated at healthy margins (BRO, RYAN, GSHD, TWFG). Earnings quality and non-GAAP adjustments have always been an issue amongst the brokers (some more aggressive than others), especially as they relate to M&A and expense initiatives, but generally the direction of travel of more objective metrics such as GAAP operating cash flow / revenues has been favorable. As mentioned previously, in a more challenging operating environment marked by slowing growth, we prefer stocks that offer more downside protection against margin erosion. **While all the commercial brokers have some form of expense management program in place, among our covered companies, we think AON's has the most well-developed operating platform.** Qualitatively, this should allow Aon to remain more front-footed than most in driving growth, whether organically or via M&A, while continuing to pass through expense efficiencies. Furthermore, with the centralized efficiencies that it already has in place (including its data across businesses), our view is that Aon will be better positioned to implement emerging technologies such as artificial intelligence. Among the large-cap brokers, AON reported the most margin expansion in 1H26, and we expect it to deliver the highest margin expansion for 2026 as well. Looking into 2027, margins at AON are likely to compress due to the USI acquisition, but we expect a reversal to expansion beginning in 2028 once the deal is integrated. **Longer term, we think brokers with the most upside margin potential (MRSH, RYAN) are more interesting, but that thesis will likely take longer to play out before having legs.** Additionally, AI could be a large driver of efficiencies, especially for the more labor-intensive personal lines brokers, assuming that the cost of utilizing AI remains rational.

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On the other hand, brokers that are already operating at strong margins could potentially have relatively less earnings growth potential (from a margin expansion standpoint) longer term. BRO, for example, has been operating at a ~35% adjusted EBITDAC margin since 2008, so most of its earnings growth has come from its top-line.

Table 7: Margin Expansion (Compression) Estimates: JPM vs. Consensus

y/y change in margins in bps

	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
AON													
JPMe	(11)	(128)	82	170	219	92	65	71	56	97	84	(35)	115
Consensus									*74*	*65*	*74*	*(14)*	*121*
BRO													
JPMe	123	106	100	164	(2)	79	35	(97)	(307)	143	(39)	5	49
Consensus									*(253)*	*(58)*	*(71)*	*(7)*	*48*
BWIN													
JPMe	205	65	54	(162)	91	16	(174)	111	221	314	103	70	113
Consensus									*196*	*274*	*71*	*106*	*110*
GSHD													
JPMe	505	234	(58)	(68)	(252)	(67)	571	246	(268)	(736)	(98)	5	91
Consensus									*(372)*	*(630)*	*(122)*	*15*	*140*
LIFE													
JPMe	1,848	740	553	(1,132)	137	39	(759)	(478)	(498)	(899)	(655)	158	14
Consensus									*(483)*	*(757)*	*(626)*	*180*	*137*
MRSH													
JPMe	83	(21)	52	26	60	28	(2)	(27)	6	41	8	54	70
Consensus									*20*	*38*	*(1)*	*61*	*49*
NP													
JPMe	336	137	(91)	(120)	(203)	(89)	(125)	165	128	198	111	35	44
Consensus									*61*	*125*	*80*	*102*	*(21)*
RYAN													
JPMe	218	57	45	(25)	(297)	(56)	13	(40)	(85)	(85)	(54)	9	75
Consensus									*(174)*	*(46)*	*(65)*	*(7)*	*46*
TWFG													
JPMe	400	313	378	428	481	422	645	632	(386)	(1,135)	(73)	(457)	117
Consensus									*(385)*	*(835)*	*(47)*	*(314)*	*95*

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.
Note: AON and MRSH disclose adjusted operating margins, while BRO, BWIN, GSHD, LIFE, NP, RYAN, and TWFG use adjusted EBITDA(C) margins.

Table 8: Large Broker Margins Have Expanded Over Time

% headline margins

	2013	2016	2019	2022	2025
AJG	16.8%	16.7%	19.2%	30.4%	32.7%
AON	20.1%	20.9%	27.5%	30.8%	32.4%
BRO	33.9%	32.9%	30.0%	32.9%	36.0%
MRSH	17.4%	20.5%	22.2%	24.7%	27.1%
WTW	20.0%	20.9%	20.3%	20.9%	25.2%

Source: Company reports and J.P. Morgan estimates.
Note: AON, MRSH, and WTW disclose adjusted operating margins, while AJG and BRO use adjusted EBITDAC margins.

Table 9: Cash Flows Trail Reported Earnings But Are Still Improving

Operating cash flows as % of revenues

	2013	2016	2019	2022	2025
AJG	11.0%	11.0%	15.6%	24.9%	13.8%
AON	14.8%	20.0%	16.7%	25.8%	20.3%
BRO	28.6%	21.2%	28.3%	24.7%	24.6%
MRSH	10.9%	15.2%	14.2%	16.7%	19.6%
WTW	15.3%	11.8%	12.0%	9.2%	18.3%

Source: Company reports and J.P. Morgan estimates.

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Current Market Less Conducive to Large Scale Deals

We expect bolt-on M&A to continue, although we think brokers will be less inclined to pursue large-scale transactions in the near term given the ongoing lift to integrate these assets, as well as the pullback in sector valuations that has reduced the financial arbitrage between public and private multiples that strategic acquirers have historically been able to use to their advantage (private sector multiples adjust more slowly than public market prices). Furthermore, lower valuation multiples have made the financial threshold for doing deals higher, including the cost of financing, which in recent years has included the issuance of equity. **Aon/USI has been the clear exception to this statement, both in terms of size and multiple paid, and we do not expect deals at similar premiums.** Instead, brokers have become more active with share buybacks, largely in response to the pullback in their equity valuations. Longer term, however, the industrial logic of gaining scale and specialization remains firmly intact, and we expect M&A to remain a strategy for brokers.

Table 10: Large Acquisitions Have Slowed From 2025

$ in millions

Acquirer / Target	Announcement Date	Deal Value ($ millions)	Deal Value / Revenue	Deal Value / EBIT
Sequence Holdings and Dell Family Office/ Baldwin	9/14/2026	7,700.00	NA	NA
AON/ USI	8/31/2026	17,000.00	NA	NA
Willis Towers Watson/Newfront Insurance Holdings	12/10/2025	1,450.00	NA	NA
The Baldwin Group/CAC Holdings	12/2/2025	1,026.00	NA	7.90
Philadelphia Consolidated Holding Corp/American Collectors	10/31/2025	615.00	NA	NA
Baldwin/Hippo Homebuilder Distribution	6/12/2025	100.00	3.42	14.29
Brown & Brown/RSC Accession	6/10/2025	9,825.00	5.78	16.38
Arthur J. Gallagher & Co./Woodruff-Sawyer	3/4/2025	1,200.00	4.48	13.64
Ryan/Velocity Risk Underwriters	1/7/2025	525.00	6.48	NA
Arthur J. Gallagher & Co./AssuredPartners	12/9/2024	13,450.00	4.64	14.30
MMC/McGriff	9/30/2024	7,750.00	6.00	NA
Ryan/US Assure	8/1/2024	1,183.60	9.86	NA
Brown & Brown/Quintes	7/29/2024	700.00	6.09	17.72
Investor Group/Truist Insurance Holdings	2/20/2024	12,600.00	NA	18.00
Aon/NFP	12/20/2023	12,867.77	6.09	15.00
JAB Holding Co./Embrace Pet Insurance Agency	11/29/2023	1,500.00	NA	NA
Investor Group/Truist Insurance Holdings	2/16/2023	1,950.00	NA	17.20
Howden/TigerRisk Partners	6/9/2022	1,600.00	NA	NA
Brown & Brown/Global Risk Partners	3/7/2022	1,955.78	11.18	NA
Howden/Aston Lark	10/13/2021	1,495.91	14.96	NA
Arthur J. Gallagher & Co./Willis Re	8/13/2021	4,000.00	5.33	NA
Newfront Insurance/ABD Insurance and Financial	7/15/2021	1,350.00	NA	NA

Source: SNL Financial, Company reports, and J.P. Morgan estimates.

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Table 11: Brokers Have Managed Down Leverage After Transactions

Acquirer	Target	Year of Acquisition	Pre-Transaction Debt / TTM EBITDAC	Post-Transaction Debt / TTM EBITDAC	2025 Debt / EBITDAC	Notes
AON	USI	2026	2.2x	4.5x	2.3x	Target leverage range of 2.8-3.0x within 24 months of transaction close
AON	NFP	2024	2.9x	4.2x	2.3x	Historical average is roughly 3.0x
BRO	Accession	2025	2.1x	4.3x	3.7x	Target of less than 3.0x Debt/EBITDAC
MRSH	McGriff	2024	1.9x	2.9x	2.7x	Historical average is roughly 2.0x
RYAN	US Assure	2024	3.7x	5.9x	4.1x	Historically between 4-6x

Source: Company reports and J.P. Morgan estimates.
Note: AON/USI acquisition is expected to close in 4Q26, post-transaction debt/TTM EBITDA is management's expectation.

Constructive on Brokers Longer Term

Positive long-term outlook for the brokerage sector. We view P&C brokerage as a structurally better business than re/insurance underwriting given its capital-light financial profile, lack of exposure to actuarial or credit risk, and strong cash flow generation. Brokers have a relatively stable revenue base, reflecting the non-discretionary and meaningful renewal component of P&C insurance. Additionally, although many intermediary businesses have been negatively affected by disintermediation and fee compression, broker compensation has remained relatively steady, partly due to market consolidation that has increased their leverage with insurers and end clients. Besides organic growth, M&A is a viable long-term strategy for brokers that has consistently improved their competitive positioning in terms of breadth of services, negotiating power with insurers, and scale. From a profitability standpoint, insurance brokers have demonstrated their ability to steadily expand margins even during periods of weak economic conditions or soft re/insurance pricing.

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Stock Commentary

Aon (AON) - Overweight. We like Aon because it is a scale competitor and among the large brokers we cover, operates with the most integrated go-to-market strategy and operating platform. Also, Aon's acquisition of NFP and USI gives it a platform to grow in the US middle market, and its integration of NFP gives us confidence in its ability to integrate USI and extract anticipated synergies. While the USI transaction will likely dampen earnings and cash flows in the near term, we think AON's stock is attractively valued on this reduced earnings base. AON trades at 15x 2026 P/E.

Brown (BRO) - Neutral. BRO has historically outperformed peers on margins, but the gap has narrowed as other brokers have scaled up, extracted efficiencies by offshoring support functions, and shed lower-margin businesses. At the same time, BRO has been gradually moving into areas traditionally dominated by its larger competitors. Although BRO's stock has pulled back, we remain Neutral due to its likely below-average organic growth in the current environment, the execution risk of integrating Accession, and its narrowing margin gap with other brokers. BRO trades at 13x 2026 P/E.

Baldwin (BWIN) - Neutral. We expect the take-out transaction to close without a new bidder emerging. Our assumption is that BWIN engaged in a robust sales process to test the market given the primacy of ensuring shareholder fairness in the context of a take-private. Furthermore, we think BWIN's poor trading history as a public company will likely factor into investors' consideration of the deal. BWIN trades at 16x 2026 P/E.

Ethos Technologies (LIFE) - Neutral. Ethos is a leading tech-enabled life insurance managing general agent (MGA) that has a track record of delivering growth for its insurance carrier partners through the firm's DTC and agency channels. We think it has significant runway for growth via agency expansion but also through continued momentum in DTC. Expansion into adjacent markets such as annuities is another opportunity. However, risk-reward seems more balanced after the stock's strong run and relative valuation compared to the other brokers we cover has become less attractive, especially considering LIFE's lower cash flow conversion. LIFE trades at 20x 2026 P/E.

Goosehead (GSHD) - Neutral. GSHD operates at stable margins despite growing organically above peers, its franchising channel is less capital-intensive than traditional M&A, and its business model has natural revenue and margin leverage. However, more moderate personal lines pricing, a lackluster housing market, and elevated investment spending are headwinds. Also, GSHD's earnings profile has greater exposure to cyclical or variable factors (pricing/exposure, contingents, housing market), and on a gross revenue basis (franchise revenues are reported on a net basis), its margins are lower than peers. Valuation is attractive following the pullback related to AI fears, which we think is overblown but could remain an overhang. GSHD trades at 21x 2026 P/E.

Marsh (MRSH) - Overweight. Marsh is a leader in P&C brokerage, HR consulting, and strategy consulting, and has a well-established track record of being balanced in its approach to earnings growth and executing consistently against its strategy. Although Marsh has scale advantages over smaller peers, this benefit is masked by its lower-margin consulting business. Over the medium term, we think the full implementation of Thrive could further sharpen MRSH's operating efficiency and help bridge its margin gap with peers. MRSH trades at 16x 2026 P/E.

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Neptune (NP) - Neutral. Neptune has a differentiated technology platform, proven underwriting track record, and strong relationships with distribution partners and capital providers. In the near term, a more benign Atlantic hurricane season and a sluggish housing market are headwinds for sales, but we would expect some offset from Neptune's efforts to make its agency force more effective and demand generated by El Niño related flooding. Regulatory changes and disruption at the NFIP make us optimistic about NP's growth prospects despite the potential for greater competition. However, we think generating growth outside the immediate NFIP opportunity will be more challenging, and the stock's valuation already has significant credit for future growth. NP trades at 49x 2026 P/E.

Ryan (RYAN) - Underweight. Ryan is a leading insurance wholesaler and delegated underwriter/MGA. Longer term, we expect Ryan to grow faster than retail brokerage, and we think M&A is likely to be a significant growth driver for its MGA business. However, we remain Underweight because even if Ryan's organic growth will likely remain above retail peers, we see more downside risk to expectations in the current operating environment. RYAN trades at 17x 2026 P/E.

TWFG (TWFG) - Neutral. We like TWFG because of its ability to deliver growth through organic means and M&A, as well as a more stable operating platform compared to peers (less reliance on contingent commissions, lower exposure to housing market). TWFG's valuation is being pressured by AI risk, which we think is overdone, but we do not see any near or medium term catalysts that would help overcome investor concerns about AI-related disintermediation. TWFG trades at 21x 2026 P/E.

Table 12: J.P. Morgan P&C Brokerage Coverage

Company	Ratings	Price 9/30/26	Price Target	Upside (Downside)	2027 P/E	2028 P/E	JPM Estimates 2027E	JPM Estimates 2028E	Street Estimates 2027E	Street Estimates 2027E	Div. Yield	Mkt. Cap ($, mil.)
Large Cap / Commercial Lines Brokers												
AON	Overweight	$276.77	$362	30.8%	14.7	13.0	$18.87	$21.32	$20.31	$23.42	1.1%	$58,710
BRO	Neutral	$60.90	$83	36.3%	12.3	11.1	$4.95	$5.51	$4.86	$5.15	1.1%	$20,378
MRSH	Overweight	$170.73	$215	25.9%	14.8	13.5	$11.54	$12.67	$11.38	$12.49	2.2%	$81,474
RYAN	Underweight	$37.00	$45	21.6%	14.8	13.0	$2.50	$2.84	$2.41	$2.71	1.4%	$9,479
Smid Cap / Personal Lines Brokers and MGAs												
BWIN	Neutral	$31.79	$32	0.7%	13.3	11.2	$2.39	$2.84	$2.48	$2.94	NA	$4,512
GSHD	Neutral	$45.36	$60	32.3%	16.8	12.8	$2.69	$3.55	$2.68	$3.44	NA	$1,621
LIFE	Neutral	$33.57	$37	10.2%	14.7	12.7	$2.29	$2.63	$2.00	$2.01	NA	$2,141
NP	Neutral	$27.35	$31	13.3%	39.7	33.4	$0.69	$0.82	$0.67	$0.81	NA	$3,753
TWFG	Neutral	$24.01	$26	8.3%	23.1	19.7	$1.04	$1.22	$1.10	$1.33	NA	$1,298

Source: Bloomberg Finance L.P., company reports, and J.P. Morgan estimates.
Notes: All EPS estimates exclude realized gains/losses. LIFE EPS are ex stock comp. Street estimates refer to Bloomberg consensus forecasts. P/E is based on J.P. Morgan estimates.

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EPS Forecasts Mostly Unchanged

We are maintaining 3Q26 EPS estimates for about half of the brokers we cover, and revising estimates for others. Our updated models reflect the benefit of higher share repurchases and a weaker US$, partly offset by lower buyback accretion due to higher stock prices. We also reduced our estimates for AON due to higher interest expense related to the USI acquisition, partly offset by higher acquired revenues in 2027. Below are the magnitudes of our EPS adjustments by firm:

Table 13: Summary of EPS Estimate Changes

Per share amounts

Company	3Q26E (Old)	3Q26E (New)	2026E (Old)	2026E (New)	2027E (Old)	2027E (New)	Reasons for Change
AON	3.25	3.12	18.92	17.98	20.72	18.87	USI acquisiton
BRO	1.09	1.07	4.57	4.55	4.92	4.95	lower investment income and reduced contingent commissions, partially offset by higher buybacks
BWIN	0.43		1.99		2.39		
GSHD	0.57	0.56	2.19	2.18	2.70	2.69	lower accretion from share repurchases
LIFE	0.34	0.36	1.79	1.72	2.27	2.29	higher revenues partially offset by lower margins
MRSH	1.95	1.96	10.42	10.44	11.39	11.54	higher share repurchases and a weaker US$, partially offset by lower accretion from share repurchases
NP	0.17		0.56		0.69		
RYAN	0.52	0.51	2.23	2.20	2.52	2.50	lower margins partially offset by a higher yield on fiduciary assets and higher accretion from share repurchases
TWFG	0.26		1.13		1.03	1.04	slightly higher cash interest income

Source: J.P. Morgan estimates.
Note: Periods where EPS is unchanged are blank.

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J.P. Morgan versus Consensus Estimates

Our 3Q26 estimates for brokers vary from consensus, while our 2026 and 2027 forecasts are mostly in-line. Across the large brokers in our coverage, our 3Q26 revenue assumptions are mostly higher than consensus (AON is the exception). For 3Q26, our largest variances with consensus are on GSHD (phase-in of tech spending can fluctuate from quarter to quarter) and AON (higher interest expense related to debt offering to fund the USI acquisition). For 2026 and 2027, our estimates are closer to consensus overall, with the largest variances for AON (impact of the USI acquisition and related debt) and TWFG (lower margin expectations).

Table 14: J.P. Morgan versus Consensus Estimates

% Diff. refers to difference in JPM estimates and consensus projections

Company	3Q26E JPM	3Q26E Cons.	% Diff.	2026E JPM	2026E Cons.	% Diff.	2027E JPM	2027E Cons.	% Diff.
AON	3.12	3.35	-6.8%	17.98	18.71	-3.9%	18.87	20.34	-7.2%
BRO	1.07	1.09	-1.4%	4.55	4.50	1.1%	4.95	4.86	1.9%
BWIN	0.43	0.43	-1.6%	1.99	2.01	-0.9%	2.39	2.48	-3.6%
GSHD	0.56	0.52	8.2%	2.18	2.15	1.7%	2.69	2.68	0.3%
LIFE	25.5	24.7	3.1%	120.9	122.7	-1.4%	170.7	175.3	-2.7%
MRSH	1.96	1.97	-0.4%	10.44	10.42	0.2%	11.54	11.38	1.4%
NP	0.17	0.16	4.6%	0.56	0.55	1.9%	0.69	0.67	2.1%
RYAN	0.51	0.49	5.0%	2.20	2.16	2.0%	2.50	2.41	3.7%
TWFG	0.26	0.24	7.6%	1.13	1.16	-2.2%	1.04	1.10	-5.1%

Source: Bloomberg Finance L.P. and J.P. Morgan estimates (as of 08/29/26).
Note: Estimates for LIFE are adjusted EBITDA, all other companies show adjusted EPS.

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Overweight

AON, AON US
Price (30 Sep 26):$276.77
▼**Price Target (Dec-27):$362.00**
Prior (Dec-27):$412.00

Insurance - Life & Nonlife

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E ($)	18.92	17.98	-5.0%
Adj. EPS - 27E ($)	20.72	18.87	-8.9%

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	5.67	6.48A	6.72
Q2	3.49	3.81A	3.67
Q3	3.05	3.12	3.05
Q4	4.85	4.56	5.43
FY	17.07	17.98	18.87

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	41	68	63	79	88
Growth	89	84	78	65	16
Momentum	84	87	59	24	27
Quality	8	7	13	3	7
Low Vol	31	63	51	56	23
ESGQ	58	23	18	4	40

Aon

USI Integration Adds Risk, but Valuation Attractive

We are Overweight on AON. Longer term, we like Aon because it is a scale competitor in its major markets (#2 retail P&C, #1 reinsurance broker, and #3 benefits broker according to Business Insurance), and among the commercial lines brokers in our coverage, has the most integrated go-to-market strategy and operating platform, resulting in sector-leading margins, adjusting for differences in business mix. Additionally, Aon's acquisition of NFP (a top 15 broker, closed in April 2024) and USI (also a top 15 broker, announced in August 2026 with deal expected to close in 4Q26) should give it a platform to grow in the US middle market business where it was previously underrepresented and lagging peers, through both organic opportunities and M&A. We also think that with AON's adjusted margins running above pre-NFP levels and expense reduction initiatives (from the Accelerating Aon United Plan and the NFP integration) winding down, Aon has proven its ability to operationally integrate middle market acquisitions that have lower margins than itself (and which are the composite of much smaller acquisitions), giving us greater confidence in the alignment of its middle market strategy with its pre-NFP operating platform, as well as in its ability to integrate USI and extract anticipated synergies.

USI acquisition to dampen near-term earnings and cash flow, but we think Aon is still attractively valued on this reduced earnings base. In the near term, the acquisition/integration of USI and its associated debt financing ($13.5 billion senior notes and $4 billion term loan at roughly 6%, issued in September 2026) will weigh on Aon's earnings and cash flow. In our prior note, we had initially estimated accretion from USI to be 1% in 2028, but after having factored in interest expense that was higher than we originally assumed, and haircutting AON's disclosed baseline EBITDA and synergies from USI, we estimate a dilutive impact closer to 7%. Including the impact of other items such as transaction, integration, and retention expenses, dilution would have been even higher. **Even with this more negative outcome, however, Aon's current value on reduced adjusted EPS looks compelling against a peer group that we think is also attractively valued in its own right.** Also, we think that Aon could resume share buybacks (suspended through 2026) while paying down the debt associated with USI, similar to what it did for NFP. In our view, there could be upside to our estimates if (1) Aon is able to deliver or exceed its expected synergies from USI (particularly on premium placement optimization and cost efficiencies), or (2) the pre-deal financial profile of USI (low-single-digit organic growth and mid-20s EBITDA margins), which we assume carries over as is without improvement, inflects. We see the inflection being driven by a combination of the natural development of USI's business (our understanding is that pre-deal USI had been investing heavily in hiring producers, thus pressuring margins and organic growth), and potential synergies from being part of Aon's platform. **Longer term, we see USI as accretive to AON's middle market franchise.** We think Aon's post-USI platform will make it more relevant to both insurance company partners and insureds. Also, the full roll out of USI's wholesaling and specialty capabilities would be a source of value not captured in our model. Here, while we do not expect Aon to crack the top 5 of the wholesaling market, we do not think it is unreasonable to expect a top 10 wholesaling business over time, with revenues in the hundreds of millions, that serves both AON's retail brokers and smaller third-party retail competitors.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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3Q26 Outlook

We are reducing EPS estimates (3Q26 from $3.25 to $3.12, 4Q26 from $5.37 to $4.56, 2027 from $20.72 to $18.87). The major updates to our model include: (1) higher interest expense due to debt issued in relation to the USI acquisition and (2) lower share repurchases, partly offset by (3) the acquisition of USI and (4) higher revenues due to the weaker US$. AON reiterated its guidance of "mid-single-digit or greater" organic growth with its acquisition of USI, and our expectation is for AON to report organic revenue growth of 4-5% in 2026 and 2027, with less than 100bps degradation from USI. Aside from reported results, investors will likely focus on (1) updates on the USI transaction and expectations for future M&A, (2) AON's organic growth initiatives, including the hiring of producers and their ramp up, as well as discrete opportunities such as data centers and construction, (3) updates on the impacts of AI, (4) updates on the expense savings program, (5) expectations for Aon's long-term margins, (6) and management's outlook for capital deployment.

Table 15: 3Q26 and 2026 Key Financial Metrics: JPM vs. Consensus

$ in millions and per share

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2027E Cons.	diff.
Overall									
Adjusted EPS	$3.12	$3.35	-7.0%	$17.98	$18.71	-3.9%	$18.87	$20.34	-7.2%
Revenues	3,962.1	4,088.3	-3.1%	17,648.1	17,917.0	-1.5%	20,906.1	20,861.8	0.2%
Organic growth	4.4%	4.8%	(39) bps	4.8%	5.0%	(21) bps	4.2%	4.7%	(50) bps
Adjusted operating income	1,064.1	1,104.1	-3.6%	5,862.3	5,940.3	-1.3%	6,870.8	6,807.7	0.9%
Adjusted operating margin	26.9%	27.0%	(17) bps	33.2%	33.1%	10 bps	32.9%	33.0%	(12) bps
Segment Organic Growth									
Commercial Risk	5.0%	5.5%	(47) bps	5.5%	5.7%	(27) bps	4.3%	5.0%	(71) bps
Reinsurance	5.0%	4.6%	40 bps	4.6%	4.4%	14 bps	4.0%	4.3%	(26) bps
Health	3.8%	4.8%	(104) bps	4.1%	4.7%	(58) bps	4.5%	4.8%	(35) bps
Wealth	3.0%	3.3%	(28) bps	3.2%	3.2%	6 bps	3.0%	3.4%	(42) bps
Risk Capital									
Revenues	2,588.5	2,660.5	-2.7%	11,906.0	12,060.0	-1.3%	13,787.9	14,056.8	-1.9%
Adjusted operating income	709.2	727.9	-2.6%	4,196.1	4,247.1	-1.2%	4,848.5	4,997.2	-3.0%
Adjusted operating margin	27.4%	27.4%	4 bps	35.2%	35.2%	3 bps	35.2%	35.5%	(38) bps
Human Capital									
Revenues	1,377.6	1,434.8	-4.0%	5,761.1	5,884.0	-2.1%	7,138.2	6,806.5	4.9%
Adjusted operating income	407.7	440.6	-7.5%	1,852.8	1,941.1	-4.5%	2,252.5	2,252.9	0.0%
Adjusted operating margin	29.6%	30.7%	(111) bps	32.2%	33.0%	(83) bps	31.6%	33.1%	(154) bps
Share buybacks	-	442.3	-100.0%	1,125.0	1,350.0	-16.7%	350.0	2,017.3	-82.7%

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

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Table 16: 3Q26 and 2026 J.P. Morgan Model Forecasts

$ in millions and per share

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Segments												
Commercial Risk Solutions	1,852	2,186	7,861	2,002	2,178	1,988	2,329	8,497	2,223	2,295	2,039	8,975
Reinsurance Solutions	503	351	2,656	1,189	688	537	379	2,793	1,279	711	549	2,931
Wealth Solutions	499	542	1,874	519	519	540	490	2,068	420	426	426	1,734
Health Solutions	870	1,070	3,335	1,026	772	935	1,106	3,839	1,119	818	951	4,028
Eliminations	(3)	(2)	(28)	(7)	(2)	(3)	(4)	(16)	(7)	(4)	(4)	(19)
Total Revenues	**3,721**	**4,147**	**15,698**	**4,729**	**4,155**	**3,997**	**4,300**	**17,181**	**5,034**	**4,246**	**3,962**	**17,648**
Total Adjusted Operating Income	**915**	**1,380**	**4,939**	**1,816**	**1,171**	**1,051**	**1,525**	**5,563**	**1,966**	**1,227**	**1,064**	**5,862**
Interest expense	(213)	(206)	(788)	(206)	(212)	(206)	(191)	(815)	(179)	(179)	(219)	(964)
Adj. tax expense	(133)	(197)	(849)	(332)	(153)	(160)	(265)	(910)	(362)	(208)	(169)	(985)
Weighted average dilutive shares	218.4	218.3	212.5	217.9	217.3	216.7	216.5	217.1	215.4	213.9	212.9	213.8
Adjusted Operating EPS	**$2.72**	**$4.42**	**$15.60**	**$5.67**	**$3.49**	**$3.05**	**$4.85**	**$17.07**	**$6.48**	**$3.81**	**$3.12**	**$17.98**

Source: Company reports and J.P. Morgan estimates.

Table 17: 3Q26 and 2026 J.P. Morgan Key Financial Metrics Forecasts

$ in millions and %

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Total revenue	3,721	4,147	15,698	4,729	4,155	3,997	4,300	17,181	5,034	4,246	3,962	17,648
% change (y-o-y)	26.0%	22.9%	17.4%	16.2%	10.5%	7.4%	3.7%	9.4%	6.4%	2.2%	-0.9%	2.7%
Total expenses	3,098	3,056	11,863	3,268	3,296	3,181	3,092	12,837	3,319	3,331	3,160	13,032
% change (y-o-y)	37.0%	17.7%	23.7%	25.5%	6.2%	2.7%	1.2%	8.2%	1.6%	1.1%	-0.7%	1.5%
Operating margin	16.7%	26.3%	24.4%	30.9%	20.7%	20.4%	28.1%	25.3%	34.1%	21.5%	20.2%	26.2%
Adjusted operating margin	**24.6%**	**33.3%**	**31.5%**	**38.4%**	**28.2%**	**26.3%**	**35.5%**	**32.4%**	**39.1%**	**28.9%**	**26.9%**	**33.2%**
Organic growth (%)	**7%**	**6%**	**6%**	**5%**	**6%**	**7%**	**5%**	**6%**	**5%**	**5%**	**4%**	**5%**
Commercial Risk Solutions	6%	6%	5%	5%	6%	7%	6%	6%	7%	5%	5%	5%
Reinsurance Solutions	7%	6%	7%	4%	6%	8%	8%	6%	4%	5%	5%	5%
Wealth Solutions	7%	8%	7%	8%	3%	5%	2%	4%	1%	5%	3%	3%
Health Solutions	9%	5%	6%	5%	6%	6%	2%	4%	4%	5%	4%	4%
Adj. tax rate	18.0%	16.7%	20.1%	20.9%	16.5%	19.2%	20.0%	19.5%	20.3%	20.1%	20.0%	20.1%
Share buybacks ($ mil.)	300	200	1,000	250	250	250	250	1,000	500	600	-	1,125

Source: Company reports and J.P. Morgan estimates.

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Table 18: USI Historical Income Statement

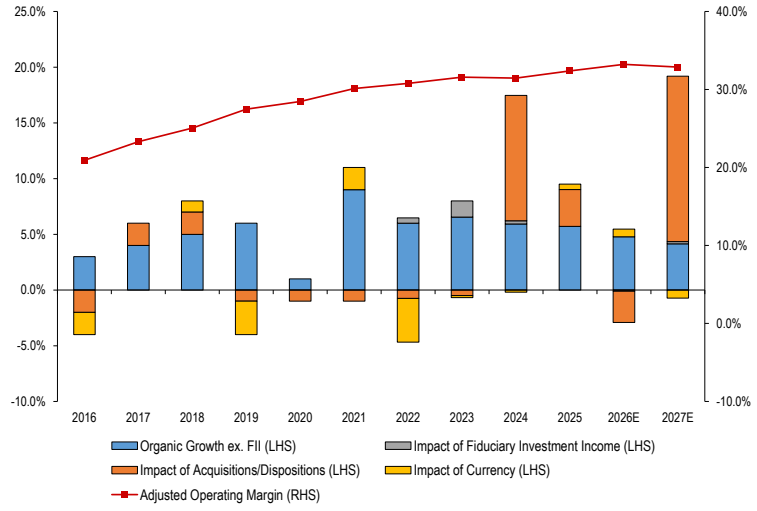
$ in millions

	2025				1H26			
	Total	Retail	Specialty	Corporate	Total	Retail	Specialty	Corporate
Revenues								
Net commissions and fees	2,627.703	2,109.454	518.249		1,337.426	1,073.768	263.658	
P&C		1,313.625	138.149			662.283	66.760	
Employee benefits		795.829	380.100			411.485	196.898	
Contingents and supplementals	262.238	242.860	19.378		150.406	141.091	9.315	
Other income	82.056	53.017	5.718	23.321	41.102	19.127	1.821	20.154
Total revenues	**2,971.997**	**2,405.331**	**543.345**	**23.321**	**1,528.934**	**1,233.986**	**274.794**	**20.154**
Operating expenses								
Compensation and employee benefits	1,896.547	1,503.393	334.482	58.672	1,001.537	787.395	174.354	39.788
Acquisition-related retention and buydown bonuses	10.147	7.469	2.649	0.029	3.136	2.893	0.238	0.005
Stock-based compensation	25.071	16.672	2.099	6.300	12.131	8.580	0.710	2.841
Other operating expenses	288.666	208.708	53.942	26.016	150.272	105.760	28.089	16.423
Amortization of intangible assets	374.633	290.114	84.519	-	185.777	145.799	39.978	-
Depreciation	33.768	25.849	7.071	0.848	16.147	12.034	3.689	0.424
Earnout adjustments and accretion of discount	3.863	1.473	2.390	-	1.188	0.496	0.692	-
Total operating expenses	**2,632.695**	**2,053.678**	**487.152**	**91.865**	**1,370.188**	**1,062.957**	**247.750**	**59.481**
Operating income	**339.302**	**351.653**	**56.193**	**(68.544)**	**158.746**	**171.029**	**27.044**	**(39.327)**
Interest expense	(319.225)	-	-	(319.225)	(142.751)	-	-	(142.751)
Other non-operating income	47.969	38.422	10.745	(1.198)	0.381	0.750	0.948	(1.317)
Income before income taxes	**68.046**	**390.075**	**66.938**	**(388.967)**	**16.376**	**171.779**	**27.992**	**(183.395)**
Income tax expense	7.226				32.340			
Net income	**60.820**				**(15.964)**			
EBITDA Margins	**25.6%**	**28.1%**	**28.1%**	**-290.2%**	**23.9%**	**26.9%**	**26.1%**	**-193.0%**

Source: Company reports and J.P. Morgan estimates.

Figure 11: AON Revenue Growth and Margins

left axis refers to revenue growth in %, right axis reflects adjusted operating margin in %



Source: Company reports and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-21.6%	-22.1%	-16.6%	-22.4%
Rel	-33.4%	-21.3%	-18.6%	-36.8%

Company Data

Shares O/S (mn)	212
52-week range ($)	382.34-269.02
Market cap ($ mn)	58,675.24
Exchange rate	1.00
Free float (%)	98.7%
3M ADV (mn)	1.50
3M ADV ($ mn)	495.3
Volatility (90 Day)	32
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	14|5|3

Key Metrics (FYE Dec)

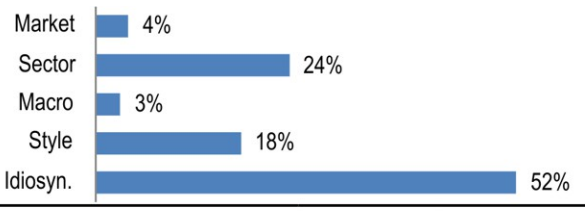
$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	17,181	17,648	20,906	21,782
Adj. EBITDA	5,322	5,415	6,674	7,212
Adj. EBIT	5,563	5,862	6,871	7,408
Adj. net income	3,706	3,844	4,029	4,549
Adj. EPS	17.07	17.98	18.87	21.32
BBG EPS	16.96	18.71	20.34	23.42
Cashflow from operations	3,481	3,498	4,016	4,547
FCFF	3,218	3,224	3,702	4,220
Margins and Growth				
Revenue Growth Y/Y (%)	9.4%	2.7%	18.5%	4.2%
EBITDA margin	31.0%	30.7%	31.9%	33.1%
EBITDA Growth Y/Y (%)	9.3%	1.8%	23.2%	8.1%
EBIT margin	32.4%	33.2%	32.9%	34.0%
Net margin	21.6%	21.8%	19.3%	20.9%
Adj. EPS growth	9.4%	5.3%	4.9%	13.0%
Ratios				
Adj. tax rate	19.5%	20.1%	20.0%	20.0%
Interest cover	6.7	6.0	4.0	4.7
Net debt/Equity	-	-	-	-
Net debt/EBITDA	-	-	-	-
ROCE	-	-	-	-
ROE	-	-	-	-
Valuation				
FCFF yield	5.4%	5.4%	6.3%	7.1%
Dividend yield	1.1%	1.2%	1.3%	1.4%
EV/Revenue	3.4	3.3	2.8	2.7
EV/EBITDA	11.0	10.8	8.8	8.1
Adj. P/E	16.2	15.4	14.7	13.0

Summary Investment Thesis and Valuation

Investment Thesis

We are Overweight on AON. Longer term, we like Aon because it is a scale competitor in its major markets (#2 retail P&C, #1 reinsurance broker, and #3 benefits broker according to Business Insurance), and among the commercial lines brokers in our coverage, has the most integrated go-to-market strategy and operating platform, resulting in sector leading margins, adjusting for differences in business mix. Additionally, Aon's acquisition of NFP (a top 15 broker, closed in April 2024) and USI (also a top 15 broker, announced in August 2026 with deal expected to close in 4Q26) should give it a platform to grow in the US middle market business where it was previously underrepresented and lagging peers, through both organic opportunities and M&A. We also think that with AON's adjusted margins running above pre-NFP levels and expense reduction initiatives (from the Accelerating Aon United Plan and the NFP integration) winding down, Aon has proven its ability to operationally integrate middle market acquisitions that have lower margins than itself (and which are the composite of much smaller acquisitions), giving us greater confidence in the alignment of its middle market strategy with its pre-NFP operating platform, as well as in its ability to integrate USI and extract anticipated synergies. In the near term, we expect USI to dampen earnings and cash flow. However, we think Aon's stock is still attractively valued on this reduced earnings base, and longer term we see USI as being accretive to Aon's middle market franchise.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.18	0.18
Sect: Financials	0.62	0.51
Ind: Insurance	0.82	0.79
Macro:		
Economic Surprise	0.32	0.17
Credit Spread	-0.25	-0.08
Non-Energy Commodity	-0.26	-0.08
Quant Styles:		
LowVol	0.48	0.50
Momentum	-0.59	-0.47
Size	-0.48	-0.39

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Aon *(Overweight; Price Target: $362.00)*

Investment Thesis

We are Overweight on AON. Longer term, we like Aon because it is a scale competitor in its major markets (#2 retail P&C, #1 reinsurance broker, and #3 benefits broker according to Business Insurance), and among the commercial lines brokers in our coverage, has the most integrated go-to-market strategy and operating platform, resulting in sector leading margins, adjusting for differences in business mix. Additionally, Aon's acquisition of NFP (a top 15 broker, closed in April 2024) and USI (also a top 15 broker, announced in August 2026 with deal expected to close in 4Q26) should give it a platform to grow in the US middle market business where it was previously underrepresented and lagging peers, through both organic opportunities and M&A. We also think that with AON's adjusted margins running above pre-NFP levels and expense reduction initiatives (from the Accelerating Aon United Plan and the NFP integration) winding down, Aon has proven its ability to operationally integrate middle market acquisitions that have lower margins than itself (and which are the composite of much smaller acquisitions), giving us greater confidence in the alignment of its middle market strategy with its pre-NFP operating platform, as well as in its ability to integrate USI and extract anticipated synergies. In the near term, we expect USI to dampen earnings and cash flow. However, we think Aon's stock is still attractively valued on this reduced earnings base, and longer term we see USI as being accretive to Aon's middle market franchise.

Valuation

We are reducing our December 2027 price target from $412 to $362 to reflect lower EPS estimates. Our price target is based on 17x 2028E adjusted EPS, in-line with our target multiple for MRSH. Aon currently trades at 15x 2026E adjusted EPS, below AJG and MRSH and above BRO and WTW.

Risks to Rating and Price Target

In our opinion, AON will underperform the sector and fail to reach our price target if:

- **Expense and revenue efficiencies from the USI acquisition fall short of expectations.** Management expects to realize roughly $373 million of adjusted EBITDA synergies by 2028 ($93 million contribution from revenue synergies and $280 million of cost synergies). If reported results do not meet expectations, we would expect the stock to underperform. There could also be downside to our estimates if USI's pre-deal financial performance (low single digit organic growth and mid-20s margins) deteriorates once acquired by Aon.
- **AON's organic growth lags peers'.** We expect AON's organic growth to slow but to remain higher than most peers. If the operating environment worsens (weaker economic growth due to the Iran conflict, softer P&C pricing) or new business initiatives (such as producer hiring) fall short, there could be downside to our estimates. Also, if the Iran conflict results in more challenging economic conditions in certain geographies, Aon's international operations could be a headwind.
- **Pace of margin expansion moderates.** Our expectation of margin expansion is based on expense savings from recent restructuring programs and regular course operating leverage. If realized savings are less than assumed, or slower organic growth hurts operating leverage, then there could be downside risk to our estimates. Furthermore, investor skepticism about Aon's long-term margin potential could increase.

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Aon: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E
Revenue	**15,698**	**17,181**	**17,648**	**20,906**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	(10,788)	(11,506)	(11,823)	(14,164)
Adj. EBITDA	**4,869**	**5,322**	**5,415**	**6,674**
D&A	(686)	(966)	(845)	(1,168)
Adj. EBIT	**4,939**	**5,563**	**5,862**	**6,871**
Net Interest	(721)	(796)	(902)	(1,677)
Adj. PBT	**4,231**	**4,671**	**4,894**	**5,126**
Tax	(742)	(1,009)	(751)	(766)
Minority Interest	(66)	(55)	(66)	(72)
Adj. Net Income	**3,316**	**3,706**	**3,844**	**4,029**
Reported EPS	12.49	17.02	13.33	14.01
Adj. EPS	**15.60**	**17.07**	**17.98**	**18.87**
DPS	**2.64**	**2.92**	**3.21**	**3.48**
Payout ratio	21.1%	17.1%	24.1%	24.8%
Shares outstanding	213	217	214	214

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**5,034A**	**4,246A**	**3,962**	**4,406**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	(3,029)A	(3,012)A	(2,860)	(2,922)
Adj. EBITDA	**1,918A**	**1,121A**	**997**	**1,379**
D&A	(198)A	(223)A	(212)	(212)
Adj. EBIT	**1,966A**	**1,227A**	**1,064**	**1,605**
Net Interest	(167)A	(174)A	(204)	(358)
Adj. PBT	**1,784A**	**1,036A**	**843**	**1,231**
Tax	(314)A	(159)A	(116)	(162)
Minority Interest	(27)A	(14)A	(12)	(13)
Adj. Net Income	**1,395A**	**814A**	**663**	**972**
Reported EPS	5.63A	2.58A	2.13	2.98
Adj. EPS	**6.48A**	**3.81A**	**3.12**	**4.56**
DPS	**0.75A**	**0.82A**	**0.82**	**0.82**
Payout ratio	13.3%A	31.8%A	38.5%	27.5%
Shares outstanding	215A	214A	213	213

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	-	-	-	-
Accounts receivable	-	-	-	-
Inventories	-	-	-	-
Other current assets	-	-	-	-
Current assets	**-**	**-**	**-**	**-**
PP&E	-	-	-	-
LT investments	-	-	-	-
Other non current assets	-	-	-	-
Total assets	**-**	**-**	**-**	**-**
Short term borrowings	-	-	-	-
Payables	-	-	-	-
Other short term liabilities	-	-	-	-
Current liabilities	**-**	**-**	**-**	**-**
Long-term debt	-	-	-	-
Other long term liabilities	-	-	-	-
Total liabilities	**-**	**-**	**-**	**-**
Shareholders' equity	-	-	-	-
Minority interests	-	-	-	-
Total liabilities & equity	**-**	**-**	**-**	**-**
BVPS	**28.34**	**43.60**	**48.53**	**57.37**
y/y Growth	*(781.3%)*	*53.9%*	*11.3%*	*18.2%*
Net debt/(cash)	-	-	-	-
Cash flow from operating activities	**3,035**	**3,481**	**3,498**	**4,016**
o/w Depreciation & amortization	686	966	845	1,168
o/w Changes in working capital	(63)	(192)	(434)	(477)
Cash flow from investing activities	**(2,833)**	**286**	**(16,184)**	**(314)**
o/w Capital expenditure	(218)	(263)	(274)	(314)
as % of sales	*1.4%*	*1.5%*	*1.6%*	*1.5%*
Cash flow from financing activities	**796**	**(4,205)**	**15,628**	**(5,026)**
o/w Dividends paid	(561)	(628)	(682)	(740)
o/w Net debt issued/(repaid)	7,775	(1,379)	17,204	(3,536)
Net change in cash	**611**	**240**	**2,794**	**(1,324)**
Adj. Free cash flow to firm	**2,817**	**3,218**	**3,224**	**3,702**
y/y Growth	*(11.5%)*	*14.2%*	*0.2%*	*14.8%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E
Gross margin	-	-	-	-
EBITDA margin	31.0%	31.0%	30.7%	31.9%
EBIT margin	31.5%	32.4%	33.2%	32.9%
Net profit margin	21.1%	21.6%	21.8%	19.3%
ROE	-	-	-	-
ROA	-	-	-	-
ROCE	-	-	-	-
SG&A/Sales	68.7%	67.0%	67.0%	67.8%
Net debt/equity	-	-	-	-
P/E (x)	17.7	16.2	15.4	14.7
P/BV (x)	9.8	6.3	5.7	4.8
EV/EBITDA (x)	12.0	11.0	10.8	8.8
Dividend Yield	1.0%	1.1%	1.2%	1.3%
Sales/Assets (x)	-	-	-	-
Interest cover (x)	6.8	6.7	6.0	4.0
Operating leverage	97.7%	133.7%	197.9%	93.2%
Revenue y/y Growth	17.4%	9.4%	2.7%	18.5%
EBITDA y/y Growth	25.6%	9.3%	1.8%	23.2%
Tax rate	20.1%	19.5%	20.1%	20.0%
Adj. Net Income y/y Growth	14.4%	11.8%	3.7%	4.8%
EPS y/y Growth	10.3%	9.4%	5.3%	4.9%
DPS y/y Growth	9.8%	10.4%	10.1%	8.3%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Neutral

BRO, BRO US
Price (30 Sep 26):$60.90
▲**Price Target (Dec-27):$83.00**
Prior (Dec-27):$80.00

Insurance - Life & Nonlife

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	1.29	1.39A	1.48
Q2	1.03	1.07A	1.15
Q3	1.06	1.07	1.19
Q4	0.93	1.01	1.12
FY	4.26	4.55	4.95

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	97	84	92	37	95
Growth	87	82	71	81	67
Momentum	35	55	89	11	33
Quality	78	49	59	23	11
Low Vol	46	89	58	5	3
ESGQ	80	50	35	53	87

Brown & Brown

Organic Growth Improving But Still Below Peers, Margins Flat

We are Neutral on BRO. Brown & Brown is a top 10 US-focused middle market commercial P&C broker that owns a top 3 MGA (Arrowhead) and a top 5 wholesaling business, Bridge Specialty. The company has historically delivered low- to mid-single-digit organic growth, slightly lower than other large brokers, and has been a consistent acquirer of smaller firms, but at a more modest pace than most of its competitors. Where BRO has stood apart is its sector-leading margins (in the low-to-mid 30s), which we attribute to its small to mid-market focus in retail P&C (heavy commission tilt over fees, margin-rich contingents at ~10% of core commissions), its large specialty business (~40% of revenues with margins above 40%), and its decentralized operating model. Over time, however, this margin gap has narrowed as other brokers have scaled up, extracted efficiencies by offshoring support functions, and shed lower-margin businesses. At the same time, Brown has been steadily moving into areas traditionally dominated by its larger peers (mainly through M&A) such as large account P&C, international markets, and specialty lines. BRO's accelerated pace of acquisitions over the past five years was most recently punctuated by its August 2025 purchase of Accession, its largest ever deal, representing ~30% of revenues at close. BRO's stock has pulled back and is trading at a discount to peers, and organic growth is likely to improve in 2H26 compared to 1H26. Still, we remain Neutral because of its likely below-average organic growth in the current environment, the execution risk of integrating Accession, and its narrowing margin gap with other brokers.

3Q26 Outlook

We are adjusting EPS forecasts (3Q26 from $1.09 to $1.07, 4Q26 from $1.02 to $1.01, and 2027 from $4.92 to $4.95). Our updated model reflects (1) a higher share buyback assumption (from $100 million to $175 million in each of 3Q26 and 4Q26, from $80 million to $600 million in 2027), partly offset by (2) lower contingent commissions, (3) a stronger US$, and (4) less accretion on share repurchases due to a higher stock price. Our model assumes overall organic growth of 1.9% in 3Q26 (retail: +1.8%, specialty distribution: +2.0%), improving to +3.1% in 4Q26 (retail: +2.5%, specialty distribution: +4.0%), helped by Accession - which consists primarily of casualty business - entering the organic growth calculation in 3Q26, and the lower proportion of property cat business placed in 2H26. Aside from reported results, we believe that investors will focus on (1) the ongoing integration of Accession and associated expense savings, (2) property insurance prices, especially in BRO's specific business (e.g., cat-exposed coverage in the MGA) and geographic (e.g., Florida) exposures, (3) management's outlook for near-term margins (including the impact of contingents and investment income), (4) the company's longer-term margin targets, and (5) BRO's capital deployment priorities.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Table 19: 3Q26 and 2026 Key Financial Metrics: JPM vs. Consensus

$ in millions and per share

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2027E Cons.	diff.
Overall									
Adjusted EPS	$1.07	$1.09	-1.4%	$4.55	$4.50	1.1%	$4.95	$4.86	1.9%
Revenues	1,782.0	1,763.1	1.1%	7,005.5	6,985.2	0.3%	7,331.9	7,288.3	0.6%
Total revenue growth	11%	10%	117 bps	19%	18%	34 bps	5%	4%	32 bps
Organic growth	1.9%	2.1%	(23) bps	1.2%	1.1%	2 bps	2.9%	3.0%	(10) bps
Earnings before taxes	334.7	358.7	-6.7%	1,553.3	1,608.6	-3.4%	1,533.5	1,659.1	-7.6%
% margin	18.8%	20.3%	(156) bps	22.2%	23.0%	(86) bps	20.9%	22.8%	(185) bps
Adjusted EBITDAC	596.6	596.6	0.0%	2,491.2	2,451.5	1.6%	2,610.8	2,548.6	2.4%
% margin	33.5%	34.0%	(53) bps	35.6%	35.2%	32 bps	35.6%	35.2%	44 bps
Segment Organic Growth									
Retail	1.8%	1.9%	(17) bps	1.7%	1.7%	(8) bps	2.5%	2.7%	(15) bps
Specialty	2.0%	2.3%	(27) bps	0.4%	0.3%	9 bps	3.5%	3.4%	6 bps
Retail									
Revenues	1,000.0	961.5	4.0%	4,089.4	3,964.6	3.1%	4,267.8	4,137.8	3.1%
Adjusted EBITDAC	269.7	275.8	-2.2%	1,260.4	1,233.4	2.2%	1,335.6	1,299.8	2.7%
% margin	27.0%	27.6%	(66) bps	30.8%	30.2%	58 bps	31.3%	30.5%	78 bps
Specialty									
Revenues	772.0	748.3	3.2%	2,879.1	2,851.5	1.0%	3,024.1	2,981.2	1.4%
Adjusted EBITDAC	328.9	320.6	2.6%	1,209.8	1,189.1	1.7%	1,283.3	1,256.2	2.2%
% margin	42.6%	42.9%	(26) bps	42.0%	41.7%	32 bps	42.4%	42.1%	29 bps

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

Table 20: 3Q26 and 2026 J.P. Morgan Model Forecasts

$ in millions and per share

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Revenues by Segment												
Retail	641	637	2,730	907	697	883	920	3,407	1,210	947	1,000	4,089
Specialty Distribution	524	534	2,016	487	563	681	678	2,409	682	721	772	2,879
Other	21	13	60	10	25	42	9	86	9	8	10	37
Total revenues	1,186	1,184	4,806	1,404	1,285	1,606	1,607	5,902	1,901	1,676	1,782	7,006
Total adjusted income, common shares	258	246	1,091	367	302	352	321	1,342	469	357	350	1,504
Weighted average dilutive shares	284.0	284.4	284.0	285.0	293.0	332.0	343.4	314.7	337.0	334.0	327.1	330.8
Adjusted Operating EPS	**$0.91**	**$0.86**	**$3.84**	**$1.29**	**$1.03**	**$1.06**	**$0.93**	**$4.26**	**$1.39**	**$1.07**	**$1.07**	**$4.55**

Source: Company reports and J.P. Morgan estimates.

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Table 21: 3Q26 and 2026 J.P. Morgan Key Financial Metrics Forecasts

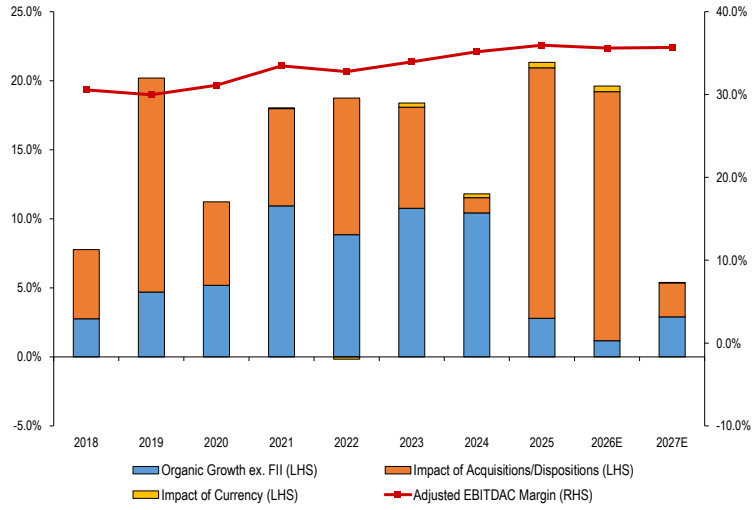
$ in millions

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Total revenue	1,186	1,184	4,806	1,404	1,285	1,606	1,607	5,902	1,901	1,676	1,782	7,006
% change (y-o-y)	11.1%	15.4%	12.9%	11.6%	9.1%	35.4%	35.7%	22.8%	35.4%	30.4%	11.0%	18.7%
Total expenses	869	909	3,504	977	974	1,295	1,286	4,532	1,368	1,293	1,447	5,452
% change (y-o-y)	5.3%	35.4%	12.6%	9.3%	17.1%	49.0%	41.5%	29.3%	40.0%	32.8%	11.8%	20.3%
EBITDAC	415	391	1,721	533	434	529	563	2,059	770	571	564	2,437
Adjusted EBITDAC	**414**	**390**	**1,690**	**535**	**471**	**587**	**529**	**2,122**	**731**	**598**	**597**	**2,491**
EBITDAC margin	35.0%	33.0%	35.8%	38.0%	33.8%	32.9%	35.0%	34.9%	40.5%	34.1%	31.6%	34.8%
Adjusted EBITDAC margin	**34.9%**	**32.9%**	**35.2%**	**38.1%**	**36.7%**	**36.6%**	**32.9%**	**36.0%**	**38.5%**	**35.7%**	**33.5%**	**35.6%**
Organic growth (%)	**9.5%**	**13.8%**	**10.4%**	**6.6%**	**3.6%**	**3.5%**	**-2.8%**	**2.8%**	**-0.1%**	**-0.7%**	**1.9%**	**1.2%**
Retail	3.9%	4.4%	5.8%	4.2%	3.0%	2.7%	1.1%	2.8%	0.9%	1.5%	1.8%	1.7%
Specialty Distribution	17.7%	28.0%	17.9%	11.3%	4.3%	4.6%	-7.8%	3.0%	-2.0%	-3.5%	2.0%	0.4%
Effective tax rate	24.6%	22.9%	23.0%	21.8%	24.8%	26.4%	16.5%	22.3%	19.9%	24.5%	25.5%	23.3%
Share buybacks ($ mil.)	-	0	55	41	1	1	100	143	276	292	175	918

Source: Company reports and J.P. Morgan estimates.

Figure 12: BRO Core Revenue Growth and Margins

left axis refers to core revenue growth in %, right axis reflects adjusted EBITDAC margin in %



Source: Company reports and J.P. Morgan estimates.
Note: BRO began calculating adjusted EBITDAC in 2022, margins prior to 2022 reflect margins. Does not incorporate the impacts of fiduciary investment income or contingent commissions.

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Price Performance



	YTD	1m	3m	12m
Abs	-23.6%	-16.9%	-5.1%	-35.1%
Rel	-35.4%	-16.1%	-7.1%	-49.5%

Company Data

Shares O/S (mn)	330
52-week range ($)	96.55-53.81
Market cap ($ mn)	20,097.00
Exchange rate	1.00
Free float (%)	86.6%
3M ADV (mn)	2.31
3M ADV ($ mn)	158.2
Volatility (90 Day)	34
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	4|15|1

Key Metrics (FYE Dec)

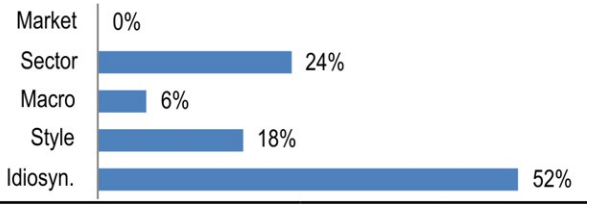
$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	5,902	7,006	7,332	7,765
Adj. EBITDA	2,122	2,491	2,611	2,803
Adj. EBIT	1,355	1,519	1,595	1,738
Adj. net income	1,342	1,504	1,583	1,726
Adj. EPS	4.26	4.55	4.95	5.51
BBG EPS	4.26	4.50	4.86	5.15
Cashflow from operations	1,450	1,572	1,674	1,824
FCFF	1,382	1,492	1,591	1,739
Margins and Growth				
Revenue Growth Y/Y (%)	22.8%	18.7%	4.7%	5.9%
EBITDA margin	36.0%	35.6%	35.6%	36.1%
EBITDA Growth Y/Y (%)	25.6%	17.4%	4.8%	7.4%
EBIT margin	23.0%	21.7%	21.8%	22.4%
Net margin	22.7%	21.5%	21.6%	22.2%
Adj. EPS growth	11.0%	6.6%	8.8%	11.4%
Ratios				
Adj. tax rate	29.5%	31.4%	31.7%	31.6%
Interest cover	7.1	6.2	6.5	7.0
Net debt/Equity	-	-	-	-
Net debt/EBITDA	-	-	-	-
ROCE	-	-	-	-
ROE	-	-	-	-
Valuation				
FCFF yield	7.2%	7.4%	8.2%	9.1%
Dividend yield	1.0%	1.1%	1.2%	1.3%
EV/Revenue	3.4	2.9	2.7	2.6
EV/EBITDA	9.4	8.0	7.7	7.1
Adj. P/E	14.3	13.4	12.3	11.1

Summary Investment Thesis and Valuation

Investment Thesis

We are Neutral on BRO. Brown & Brown is a top 10 US-focused middle market commercial P&C broker that owns a top 3 MGA (Arrowhead) and a top 5 wholesaling business, Bridge Specialty. The company has a track record of delivering low- to mid-single-digit organic growth, generating incremental growth through consistent M&A, and maintaining sector-leading margins and cash flow conversion. Over time, however, this margin gap has narrowed as other brokers have scaled up, extracted efficiencies by offshoring support functions, and shed lower-margin businesses. At the same time, BRO has been gradually moving into areas traditionally dominated by its larger peers, mainly through more large-scale M&A, which in our view introduces more operational risk in the company's traditional operating model. Although BRO's stock has pulled back and is trading at a discount to peers, we remain Neutral due to its likely below-average organic growth in the current environment, the execution risk of integrating Accession, and its narrowing margin gap with other brokers.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.11	0.06
Sect: Financials	0.56	0.51
Ind: Insurance	0.69	0.70
Macro:		
Credit Spread	-0.27	-0.18
US 10yr Breakeven	-0.22	-0.12
Crude Oil	-0.13	-0.10
Quant Styles:		
Momentum	-0.57	-0.55
Size	-0.60	-0.48
LowVol	0.39	0.41

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Brown & Brown *(Neutral; Price Target: $83.00)*

Investment Thesis
We are Neutral on BRO. Brown & Brown is a top 10 US-focused middle market commercial P&C broker that owns a top 3 MGA (Arrowhead) and a top 5 wholesaling business, Bridge Specialty. The company has a track record of delivering low- to mid-single-digit organic growth, generating incremental growth through consistent M&A, and maintaining sector-leading margins and cash flow conversion. Over time, however, this margin gap has narrowed as other brokers have scaled up, extracted efficiencies by offshoring support functions, and shed lower-margin businesses. At the same time, BRO has been gradually moving into areas traditionally dominated by its larger peers, mainly through more large-scale M&A, which in our view introduces more operational risk in the company's traditional operating model. Although BRO's stock has pulled back and is trading at a discount to peers, we remain Neutral due to its likely below-average organic growth in the current environment, the execution risk of integrating Accession, and its narrowing margin gap with other brokers.

Valuation
We are raising our December 2027 price target from $80 to $83 to reflect higher EPS estimates. Our target is based on a 15x multiple on 2028E adjusted EPS, below our assumed multiples of 16-17x for other large brokers. We feel that BRO's business merits a valuation discount compared to other large insurance brokers due to slower anticipated organic growth, higher exposure to property business, and limited potential for margin expansion (already off high levels). Historically, AJG and BRO have traded at a premium to larger peers such as AON and MRSH due to expectations of faster growth at the former. BRO currently trades at 13x 2026E adjusted EPS, below the 16x average for large broker peers.

Risks to Rating and Price Target
We feel that the following are the key drivers that could cause the stock to outperform and exceed our price target:

- **Higher organic growth.** We expect BRO's organic growth to trail larger peers given the make-up of its book (greater relative exposure to property lines) and the larger share of commissions in total revenues. If organic growth outperforms, either due to improving market conditions or stronger than expected new business generation, there could be upside to our estimates.
- **Stabilization of property insurance.** In our view, BRO is more exposed to property insurance trends than most other brokers due to its Florida exposure (16% of revenues) and several large property-oriented books in its programs segment. If the decline in property pricing starts to subside or pricing firms up, BRO's fundamentals and investor sentiment would improve.
- **Growth in Specialty/Arrowhead drives upside in margins and EPS.** Arrowhead's growth tends to be more volatile, but it generates higher margins (above 40%) than the rest of the firm. While an increase in the relative contribution of Arrowhead would likely be dilutive to BRO's P/E multiple, it could drive upside in margin and EPS forecasts.

In our view, the following are the primary risks that could cause BRO to underperform and miss our target:

- **An economic downturn.** We expect brokerage business and stocks to be more

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defensive than P&C underwriters and other financials if the economy weakens. However, BRO's small and mid-market clients are more sensitive to a weaker economy than clients at larger brokers.

- **Integration of the Accession business.** Brown has been an active acquirer over time. Still, Accession is BRO's largest deal and in our view entails higher than average execution risk. If expense synergies are lower than management targets, then BRO's ability to increase run-rate margins will likely face skepticism. Claims on Accession's runoff lines beyond BRO's reserves are another concern.
- **IPOs of large brokerage peers.** Several large brokers are owned by PE firms currently, and their sponsors could pursue IPOs to liquidate their stakes. Offerings of one or two of the top 10 brokers would materially increase the float and market caps of public brokers (potentially by over a fifth). Given brokers' unique financial profile versus underwriters, we expect investors participating in brokerage IPOs to fund purchases by selling stakes in other brokers. This, in turn, would pressure the valuation multiples of BRO and peers, at least temporarily.

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Brown & Brown: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E
Revenue	**4,806**	**5,902**	**7,006**	**7,332**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	(3,116)	(3,894)	(4,637)	(4,869)
Adj. EBITDA	**1,690**	**2,122**	**2,491**	**2,611**
D&A	(224)	(367)	(520)	(529)
Adj. EBIT	**1,103**	**1,355**	**1,519**	**1,595**
Net Interest	(193)	(297)	(399)	(400)
Adj. PBT	**908**	**1,033**	**1,155**	**1,195**
Tax	(299)	(305)	(363)	(379)
Minority Interest	(9)	(12)	(8)	(12)
Adj. Net Income	**1,091**	**1,342**	**1,504**	**1,583**
Reported EPS	3.46	3.13	3.32	3.53
Adj. EPS	**3.84**	**4.26**	**4.55**	**4.95**
DPS	**0.54**	**0.62**	**0.68**	**0.74**
Payout ratio	15.6%	19.6%	20.3%	20.8%
Shares outstanding	284	315	331	320

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**1,901A**	**1,676A**	**1,782**	**1,647**
COGS	-	-	-	-
Gross profit	**-**	**-**	**-**	**-**
SG&A	(1,196)A	(1,109)A	(1,218)	(1,114)
Adj. EBITDA	**731A**	**598A**	**597**	**566**
D&A	(133)A	(128)A	(129)	(130)
Adj. EBIT	**474A**	**361A**	**353**	**330**
Net Interest	(99)A	(100)A	(100)	(100)
Adj. PBT	**370A**	**301A**	**253**	**230**
Tax	(106)A	(94)A	(85)	(77)
Minority Interest	(1)A	(1)A	(3)	(3)
Adj. Net Income	**469A**	**357A**	**350**	**327**
Reported EPS	1.06A	0.84A	0.74	0.68
Adj. EPS	**1.39A**	**1.07A**	**1.07**	**1.01**
DPS	**0.17A**	**0.17A**	**0.17**	**0.18**
Payout ratio	15.6%A	19.8%A	22.2%	26.7%
Shares outstanding	337A	334A	327	325

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	-	-	-	-
Accounts receivable	-	-	-	-
Inventories	-	-	-	-
Other current assets	-	-	-	-
Current assets	**-**	**-**	**-**	**-**
PP&E	-	-	-	-
LT investments	-	-	-	-
Other non current assets	-	-	-	-
Total assets	**-**	**-**	**-**	**-**
Short term borrowings	-	-	-	-
Payables	-	-	-	-
Other short term liabilities	-	-	-	-
Current liabilities	**-**	**-**	**-**	**-**
Long-term debt	-	-	-	-
Other long term liabilities	-	-	-	-
Total liabilities	**-**	**-**	**-**	**-**
Shareholders' equity	-	-	-	-
Minority interests	-	-	-	-
Total liabilities & equity	**-**	**-**	**-**	**-**
BVPS	**22.51**	**37.42**	**38.71**	**40.57**
y/y Growth	*14.8%*	*66.3%*	*3.4%*	*4.8%*
Net debt/(cash)	-	-	-	-
Cash flow from operating activities	**1,174**	**1,450**	**1,572**	**1,674**
o/w Depreciation & amortization	224	367	520	529
o/w Changes in working capital	(108)	(45)	(241)	(137)
Cash flow from investing activities	**(898)**	**(7,914)**	**(143)**	**(733)**
o/w Capital expenditure	(82)	(68)	(80)	(82)
as % of sales	*1.7%*	*1.2%*	*1.1%*	*1.1%*
Cash flow from financing activities	**(64)**	**7,713**	**(989)**	**(836)**
o/w Dividends paid	(154)	(199)	(223)	(236)
o/w Net debt issued/(repaid)	0	0	0	0
Net change in cash	**199**	**1,313**	**413**	**105**
Adj. Free cash flow to firm	**1,092**	**1,382**	**1,492**	**1,591**
y/y Growth	*16.1%*	*26.6%*	*8.0%*	*6.6%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E
Gross margin	-	-	-	-
EBITDA margin	35.2%	36.0%	35.6%	35.6%
EBIT margin	23.0%	23.0%	21.7%	21.8%
Net profit margin	22.7%	22.7%	21.5%	21.6%
ROE	-	-	-	-
ROA	-	-	-	-
ROCE	-	-	-	-
SG&A/Sales	64.8%	66.0%	66.2%	66.4%
Net debt/equity	-	-	-	-
P/E (x)	15.9	14.3	13.4	12.3
P/BV (x)	2.7	1.6	1.6	1.5
EV/EBITDA (x)	11.8	9.4	8.0	7.7
Dividend Yield	0.9%	1.0%	1.1%	1.2%
Sales/Assets (x)	-	-	-	-
Interest cover (x)	8.8	7.1	6.2	6.5
Operating leverage	292.5%	100.2%	64.6%	108.4%
Revenue y/y Growth	12.9%	22.8%	18.7%	4.7%
EBITDA y/y Growth	17.0%	25.6%	17.4%	4.8%
Tax rate	32.9%	29.5%	31.4%	31.7%
Adj. Net Income y/y Growth	38.5%	23.0%	12.0%	5.3%
EPS y/y Growth	36.9%	11.0%	6.6%	8.8%
DPS y/y Growth	13.7%	13.9%	9.8%	8.9%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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▼Neutral
Previous: Overweight

BWIN, BWIN US
Price (30 Sep 26):$31.79

▲Price Target (Dec-27):$32.00
Prior (Dec-27):$30.00

Insurance - Life & Nonlife

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.65	0.63A	0.76
Q2	0.42	0.48A	0.55
Q3	0.31	0.43	0.52
Q4	0.31	0.47	0.57
FY	1.66	1.99	2.39

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	44	71	94	94	93
Growth	24	90	47	46	80
Momentum	45	85	99	43	39
Quality	64	31	52	31	36
Low Vol	92	89	80	83	84
ESGQ	86	-	-	15	-

The Baldwin Group

Moving to Neutral on Announced Take-Private

BWIN to be taken private. On September 14, BWIN announced that it had agreed to be acquired by Sequence Holdings and Dell Family Office (DFO) Management in a take-private transaction. The deal was struck at $32.50 per share in cash, a ~10% premium to the prior business day's closing price, and an ~88% premium to the closing price on June 17 before media reports about a potential take-private started circulating. Baldwin is being valued at a total enterprise value (EV) of ~$7.7 billion (equity of $4.6 billion, net debt of $3.1 billion), and at an EV/EBITDA multiple of ~20x TTM EBITDA of ~$396 million. This valuation corresponds to ~14-15x 2027 EBITDA, a premium to the 11x 2027 EBITDA average trading multiple for other commercial brokers. Management expects the deal to close in 1Q27, subject to a shareholder vote and regulatory approvals.

We are moving from Overweight to Neutral. We expect the transaction to close without a new bidder emerging. Our assumption is that BWIN engaged in a robust sales process to test the market given the primacy of ensuring shareholder fairness in the context of a take-private. Furthermore, we think BWIN's poor trading history as a public company, tied to factors such as its high leverage and poor cash flow conversion, will likely factor into investors' consideration of the proposed transaction. From a fundamental perspective, we expect organic growth, which has been slowing since 3Q25, to begin improving, and for margins to expand over the next several years as the 3B30 cost savings program earns through.

Deal price better than we had expected, though doesn't appear to give full credit to BWIN's 3B30 plan. In our upgrade note after the news of a potential take-out first broke, we had estimated that a private equity sponsor could pay as much as mid-to-high 20s per share for BWIN with the benefit of financial leverage (i.e. incremental debt and roll-over of Class B shares) and without having to assume upside in our financial projections. We also noted, however, that a sponsor willing to underwrite BWIN's 3B30 plan of reaching $3 billion of revenues and a 30% margin by 2029 would be in a position to pay more. **Based on the price offered for BWIN, and recognizing that we do not have visibility into the financial calculus behind the decision of Baldwin's acquirers, it appears to us from the outside that BWIN received only partial credit for 3B30.** Having said this, we would note that this outcome is better than how BWIN was being valued in the public markets where even baseline financial projections were being discounted by investors due to factors such as BWIN's high leverage, heavily adjusted management metrics, and poor cash flow conversion. Furthermore, while the merger prospectus has yet to be filed as of the time of this publication, our assumption is that BWIN engaged in a robust sales process in the context of a take-private. We list other pertinent deal elements that have been disclosed so far: (1) financing: combination of equity from DFO and debt financing from banks, with BWIN a third-party beneficiary of DFO's equity commitment, (2) shareholder vote: a majority shareholder vote is needed to approve the transaction, and certain existing holders (management and other holders, including a majority of Class B holders) have already voted in favor; our understanding is that Class A and Class B holders (one vote each) will be treated as a single class, (3) tax receivable agreement (TRA): BWIN's TRA, created to apportion tax benefits created by its Up-C structure, will be terminated and monetized, (4) termination fees: BWIN's termination fee is $170m, and the acquirer's termination fee is $276m.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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3Q26 Outlook

We are maintaining EPS estimates (3Q26 unchanged at $0.43, 4Q26 unchanged at $0.47, 2027 unchanged at $2.39). Tables summarizing our estimates versus consensus and management guidance follow below. For 3Q26, we expect Baldwin to report organic growth of 6.7% (compared to management guidance of mid-single-digits) and adjusted EBITDA of $108 million (versus guidance of $105-110 million).

Table 22: 3Q26 and 2026 J.P. Morgan Estimates vs. Company Guidance

$ in millions

	3Q26		2026	
	JPM	Guidance	JPM	Guidance
Total revenue	$489	$485 - 495	$2,012	$2,010 - 2,050
Organic revenue growth	6.7%	MSD	4.7%	MSD
Adjusted EBITDA	$108	$105 - 110	$477	$460 - 480
Margin expansion			103 bps	20-70 bps
Adjusted EPS	$0.43	$0.42 - 0.46	$1.99	$2.00 - 2.10
Adjusted free cash flow				Double-digit ex. CAC

Source: Company reports and J.P. Morgan estimates.

Table 23: 3Q26 and 2026 J.P. Morgan Estimates vs. Consensus

$ in millions and per share

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2027E Cons.	diff.
Overall									
Adjusted EPS	$0.43	$0.43	-1.6%	$1.99	$2.01	-0.9%	$2.39	$2.48	-3.6%
Adjusted net income	61.1	61.2	-0.2%	286.9	284.4	0.9%	344.7	355.4	-3.0%
Revenues	488.7	492.3	-0.7%	2,011.7	2,009.1	0.1%	2,221.6	2,205.1	0.7%
Revenue growth	33.8%	34.7%	(96) bps	33.7%	33.5%	17 bps	10.4%	9.8%	68 bps
Organic growth	6.7%	5.7%	103 bps	4.7%	4.3%	42 bps	10.4%	8.4%	200 bps
Adjusted EBITDA	107.8	108.7	-0.8%	477.2	470.9	1.3%	542.5	544.8	-0.4%
% margin	22.1%	22.1%	(3) bps	23.7%	23.4%	29 bps	24.4%	24.7%	(28) bps
Segment Organic Growth									
Insurance Advisory Solutions	5.0%	2.7%	230 bps	3.4%	2.3%	104 bps	10.1%	7.4%	265 bps
Underwriting Capacity/Technology	9.0%	8.9%	9 bps	7.4%	7.6%	(23) bps	12.0%	10.8%	119 bps
Mainstreet Insurance Solutions	6.5%	6.1%	35 bps	3.5%	3.4%	7 bps	9.0%	8.8%	20 bps
Revenues									
Insurance Advisory Solutions	254.9	256.5	-0.6%	1,133.5	1,133.6	0.0%	1,247.1	1,232.5	1.2%
Underwriting Capacity/Technology	166.8	169.2	-1.4%	612.0	617.4	-0.9%	687.8	689.4	-0.2%
Mainstreet Insurance Solutions	81.4	82.5	-1.4%	322.1	324.4	-0.7%	351.1	355.5	-1.2%
Corporate	(14.4)	(19.6)	-26.9%	(56.0)	(72.4)	-22.7%	(64.4)	(81.4)	-20.8%

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

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Table 24: 3Q26 and 2026 J.P. Morgan Key Financial Forecasts

$ in thousands and %

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Revenues	**338,938**	**329,892**	**1,389,037**	**413,405**	**378,811**	**365,389**	**347,279**	**1,504,884**	**532,235**	**492,939**	**488,736**	**2,011,687**
% growth	10.7%	15.9%	14.0%	8.7%	11.5%	7.8%	5.3%	8.3%	28.7%	30.1%	33.8%	33.7%
Organic growth	**13.8%**	**19.0%**	**16.7%**	**10.3%**	**11.3%**	**4.5%**	**2.7%**	**6.8%**	**1.7%**	**1.5%**	**6.7%**	**4.7%**
Middle Market / Insurance Advisory	7.1%	15.7%	10.4%	2.5%	9.7%	-0.1%	-2.4%	2.3%	3.6%	-2.2%	5.0%	3.4%
Specialty / Capacity & Technology	25.5%	25.2%	27.1%	32.2%	21.3%	15.7%	16.4%	19.0%	2.5%	5.8%	9.0%	7.4%
MainStreet Solutions	13.6%	18.6%	20.1%	9.6%	-0.4%	-2.1%	-4.2%	0.7%	-4.9%	3.6%	6.5%	3.5%
Main Street												
Medicare												
Acquired revenues from prior deals	-	-	-	-	1,980	12,222	9,386	23,588	111,485	106,755	97,776	432,125
Annual revenues for deals in current quarter	-	-	-	-	18,000	29,000	-	47,000	388,000	-	-	388,000
Adjusted EPS	**$0.33**	**$0.27**	**$1.49**	**$0.65**	**$0.42**	**$0.31**	**$0.31**	**$1.66**	**$0.63**	**$0.48**	**$0.43**	**$1.99**
Margin (% of revenues)	11.4%	9.7%	12.7%	18.5%	13.1%	10.0%	10.5%	13.2%	16.8%	13.9%	12.5%	14.3%
Adjusted EBITDAC	**72,751**	**63,160**	**313,023**	**113,795**	**85,512**	**72,520**	**69,645**	**341,472**	**137,248**	**116,740**	**107,805**	**477,231**
Margin (% of revenues)	21.5%	19.1%	22.5%	27.5%	22.6%	19.8%	20.1%	22.7%	25.8%	23.7%	22.1%	23.7%
Adjusted free cash flow (AFCF)	**33,180**	**5,917**	**91,960**	**25,809**	**8,638**	**41,810**	**10,963**	**87,220**	**(197)**	**46,422**	**83,413**	**171,309**
Margin (% of revenues)	9.8%	1.8%	6.6%	6.2%	2.3%	11.4%	3.2%	5.8%	0.0%	9.4%	17.1%	8.5%
Memo:												
GAAP EPS	($0.13)	($0.31)	($0.39)	$0.20	($0.05)	($0.27)	($0.37)	($0.50)	$0.02	($0.42)	($0.21)	($0.77)
EBITDAC	42,549	(72)	149,854	88,999	53,670	35,757	25,061	203,487	(48,674)	60,682	69,739	158,686
Margin (% of revenues)	12.6%	0.0%	10.8%	21.5%	14.2%	9.8%	7.2%	13.5%	-9.1%	12.3%	14.3%	7.9%
GAAP operating cash flow	32,408	(2,301)	51,453	(63,983)	(16,721)	41,017	10,269	(29,418)	(6,073)	45,559	83,413	164,570
Margin (% of revenues)	9.6%	-0.7%	3.7%	-15.5%	-4.4%	11.2%	3.0%	-2.0%	-1.1%	9.2%	17.1%	8.2%
Adjusted FCF less capex and earnouts	18,258	(40,215)	(47,767)	(15,965)	(34,154)	32,946	(1,305)	(18,478)	(12,861)	31,238	71,195	118,799
Margin (% of revenues)	5.4%	-12.2%	-3.4%	-3.9%	-9.0%	9.0%	-0.4%	-1.2%	-2.4%	6.3%	14.6%	5.9%
Adjusted FCF ex. interest expense	52,231	43,897	203,357	39,596	49,379	63,894	49,627	202,496	26,117	96,423	112,559	327,291
Margin (% of revenues)	15.4%	13.3%	14.6%	9.6%	13.0%	17.5%	14.3%	13.5%	4.9%	19.6%	23.0%	16.3%

Source: Company reports and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	32.3%	3.6%	19.6%	12.7%
Rel	19.6%	9.5%	27.1%	-2.1%

Company Data

Shares O/S (mn)	139
52-week range ($)	32.71-15.88
Market cap ($ mn)	4,432.43
Exchange rate	1.00
Free float (%)	69.7%
3M ADV (mn)	2.35
3M ADV ($ mn)	71.8
Volatility (90 Day)	61
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	4|3|1

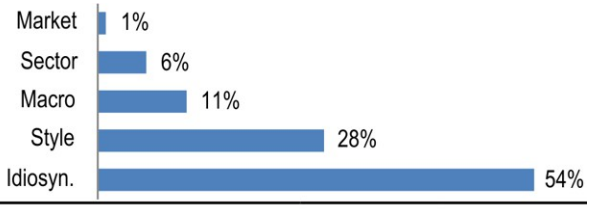
Key Metrics (FYE Dec)

in	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Investment banking	-	-	-	-
Brokerage commissions	1,505	2,012	2,222	2,439
Asset management income	-	-	-	-
Trading income	-	-	-	-
Total non-interest income	-	-	-	-
Net interest income	-	-	-	-
Net revenue	1,505	2,012	2,222	2,439
Operating expense	-	-	-	-
Adj. pre provison profit	74	(79)	147	230
Adj. PBT	(52)	(256)	(19)	64
Adj. net income	199	287	345	411
Adj. EPS	1.66	1.99	2.39	2.84
BBG EPS	1.66	2.01	2.48	2.94
DPS	0.00	0.00	0.00	0.00
BVPS	9.15	9.81	9.63	10.02
Total Assets	302	661	704	807
Margins and Growth				
Net margin	-	-	-	-
Adj. EPS growth	11.9%	19.9%	19.9%	18.6%
Ratios				
Adj. tax rate	(3.3%)	(56.9%)	0.0%	6.0%
Cost to income ratio	-	-	-	-
Dividend payout	0.0%	0.0%	0.0%	0.0%
Commission / Avg. asset	-	-	-	-
ROA	69.7%	59.5%	50.5%	54.4%
Valuation				
Dividend yield	0.0%	0.0%	0.0%	0.0%
Adj. P/E	19.1	15.9	13.3	11.2

Summary Investment Thesis and Valuation

We are moving from Overweight to Neutral. We expect the transaction to close without a new bidder emerging. Our assumption is that BWIN engaged in a robust sales process to test the market given the primacy of ensuring shareholder fairness in the context of a take-private. Furthermore, we think BWIN's poor trading history as a public company, tied to factors such as its high leverage and poor cash flow conversion, will likely factor into investors' consideration of the proposed transaction. From a fundamental perspective, we expect organic growth, which has been slowing since 3Q25, to begin improving, and for margins to expand over the next several years as the 3B30 cost savings program earns through.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.03	-0.03
Sect: Financials	0.15	0.21
Ind: Insurance	0.44	0.46
Macro:		
US 10yr yield	-0.30	-0.28
US 10yr Breakeven	-0.28	-0.23
Credit Spread	0.22	0.21
Quant Styles:		
Size	-0.31	-0.26
LowVol	0.14	0.22
Value	-0.24	-0.21

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

The Baldwin Group *(Neutral; Price Target: $32.00)*

Investment Thesis
We are moving from Overweight to Neutral. We expect the transaction to close without a new bidder emerging. Our assumption is that BWIN engaged in a robust sales process to test the market given the primacy of ensuring shareholder fairness in the context of a take-private. Furthermore, we think BWIN's poor trading history as a public company, tied to factors such as its high leverage and poor cash flow conversion, will likely factor into investors' consideration of the proposed transaction. From a fundamental perspective, we expect organic growth, which has been slowing since 3Q25, to begin improving, and for margins to expand in the next few years as the 3B30 cost savings program earns through.

Valuation
We are raising our December 2027 price target from $30 to $32 to reflect the acquisition price in the take-private transaction. Our price target implies a 11.5x multiple on 2028E EPS, below what we assume for other brokers (commercial lines brokers in high teens; personal lines brokers in low-20s). Relative to 2026E adjusted EBITDA and adjusted EPS (BWIN definition), BWIN currently trades at 15x and 16x compared to 12x and 21x for GSHD, 17x and 21x for TWFG, 13x and 15x for AON, 14x and 16x for MRSH, 13x and 17x for AJG, 11x and 13x for BRO, 11x and 15x for WTW, and 13x and 17x for RYAN. In our opinion, BWIN's interest expense load, taxes, and payouts should be accounted for in comparisons with peers.

Risks to Rating and Price Target
We think BWIN could outperform our price target if:

- **A higher bid for BWIN materializes.** Although unlikely in our opinion, a higher unsolicited bid for BWIN would likely drive upside in the stock price.
- **Consistent improvement in free cash flow.** The gap between management metrics and free cash flow is wider for BWIN compared to other brokers, and our view is that the stock's historic trading multiples reflect investor skepticism about the true economics of the business. If BWIN is able to demonstrate consistent improvement in free cash flow, we think investor perception of Baldwin would improve.
- **Various initiatives perform better than expected.** If BWIN's initiatives (new sales from IAS advisors, ramp-up of embedded mortgage program, roll-out of new Hippo partnership, re-platforming of QBE book) exceed expectations, there could be upside to our estimates. Similarly, better-than-expected expense management would be a plus.
- **Lower interest rates lead to lower interest expenses.** Proforma for the CAC-related debt raise, BWIN has ~$2.3 billion of debt, of which ~$600 million is fixed (7.13% interest rate) and ~$1.7 billion is floating. Each 100 bps decline in interest rates (on BWIN's floating rate debt) translates to a ~$17 million annual benefit.

In our view, BWIN could underperform our price target if:

- **Take-private deal does not close.** Our view is that the take-private of BWIN by Sequence Holdings and DFO Management will close. If the transaction fails to close, we would expect the stock to underperform even if fundamentals improve.
- **Improvement in margins and organic growth misses expectations.** If margin accretion fails to materialize in the next one to two years, we feel that will put into question management's ability to control expenses, generate free cash flow, and extract

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value as BWIN grows. Similarly, if organic growth does not improve through the balance of 2026, investor skepticism of the company would likely increase.

- **Cash flows remain poor.** BWIN's cash flows are being pressured by a high interest expense load and ongoing "one-off" charges, and removing the impact of fiduciary inflows/outflows has re-based operating cash flow lower. If cash flows do not improve to the extent we expect, then there could be downside to our price target.
- **BWIN suffers from talent attrition.** Competition for brokerage talent is intense and the entry of new competitors (most recently Howden) has increased the risk of attrition. Baldwin's growth prospects could be hurt if it loses producers, whether those hired organically or onboarded via acquisitions, to other brokerage platforms.
- **BWIN takes longer to de-lever.** If BWIN takes longer than expected to de-lever from either paying down debt or increasing EBITDA, it will be saddled with higher interest expense, be viewed as having a higher risk model, and be constrained from M&A, which could have negative implications for BWIN's standing as a preferred buyer.

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J.P.Morgan

The Baldwin Group: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Net Revenue	**1,389**	**1,505**	**2,012**	**2,222**	**2,439**
o/w Commission and fee income	-	-	-	-	-
o/w Net trading income	-	-	-	-	-
o/w Net interest income	-	-	-	-	-
SG&A	(1,027)	(1,063)	(1,379)	(1,504)	(1,605)
o/w Compensation expense	(1,027)	(1,063)	(1,379)	(1,504)	(1,605)
o/w Non-compensation expense	-	-	-	-	-
Adj. Operating income	**61**	**74**	**(79)**	**147**	**230**
Adj. PBT	**(39)**	**(52)**	**(256)**	**(19)**	**64**
Tax	(2)	(2)	146	0	(4)
Minority Interest		-	-	-	-
Adj. Net Income	**176**	**199**	**287**	**345**	**411**
Reported EPS	(0.35)	(0.45)	(0.77)	(0.13)	0.42
Adj. EPS	**1.49**	**1.66**	**1.99**	**2.39**	**2.84**
DPS	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%
Shares outstanding	119	120	144	144	145

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue y/y growth	14.0%	8.3%	33.7%	10.4%	9.8%
Adj. Net Income y/y growth	34.5%	12.8%	44.2%	20.2%	19.1%
EPS y/y growth	33.1%	11.9%	19.9%	19.9%	18.6%
DPS y/y growth	-	-	-	-	-
Fee income / Avg assets	-	-	-	-	-
Interest income / Avg assets	-	-	-	-	-
Net trading income / Avg assets	-	-	-	-	-

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	268	302	661	704	807
Accounts receivable	-	-	-	-	-
Other current assets	-	-	-	-	-
Current assets	**268**	**302**	**661**	**704**	**807**
PP&E	-	-	-	-	-
Other non current assets	0	0	0	0	0
Total assets	**268**	**302**	**661**	**704**	**807**
Short term borrowings	-	-	-	-	-
Payables	-	-	-	-	-
Other short term liabilities	-	-	-	-	-
Current liabilities	**-**	**-**	**-**	**-**	**-**
Long-term debt	-	-	-	-	-
Other long term liabilities	-	-	-	-	-
Total liabilities	**-**	**-**	**-**	**-**	**-**
Shareholders' equity	268	302	661	704	807
Minority interests	-	-	-	-	-
Total liabilities & equity	**268**	**302**	**661**	**704**	**807**
BVPS	**8.58**	**9.15**	**9.81**	**9.63**	**10.02**
y/y growth	*(1.8%)*	*6.6%*	*7.2%*	*(1.8%)*	*4.0%*
Net debt/(cash)	-	-	-	-	-

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Net profit margin	-	-	-	-	-
ROE	131.5%	69.7%	59.5%	50.5%	54.4%
ROA	131.5%	69.7%	59.5%	50.5%	54.4%
ROCE	-	-	-	-	-
Net debt/equity	-	-	-	-	-
Tax rate	(4.4%)	(3.3%)	(56.9%)	0.0%	6.0%
P/E (x)	21.4	19.1	15.9	13.3	11.2
P/BV (x)	3.7	3.5	3.2	3.3	3.2
Dividend yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Neutral

GSHD, GSHD US
Price (30 Sep 26):$45.36
▼**Price Target (Dec-27):$60.00**
Prior (Dec-27):$68.00

Insurance - Life & Nonlife

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.26	0.37A	0.24
Q2	0.49	0.64A	0.69
Q3	0.46	0.56	0.85
Q4	0.65	0.59	0.91
FY	1.86	2.18	2.69

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	76	99	83	92	98
Growth	34	35	35	21	24
Momentum	47	70	100	4	90
Quality	11	39	4	28	17
Low Vol	93	84	87	93	87
ESGQ	87	75	20	85	96

Goosehead

Valuation Attractive, Headline Risk from AI an Overhang

We remain Neutral. In our opinion, GSHD is differentiated from other public brokers because it operates at stable margins despite growing organically well above peers, its franchising channel is less capital-intensive than traditional M&A, and its business model has natural revenue and margin leverage. Also, even if the personal lines insurance market is mature and slow growing, we feel that GSHD has a long runway for growth, helped in part by its new initiatives (digital agent, institutional partnerships, helping franchises recruit). Pricing deceleration in personal lines, which had been a headwind in recent years given its magnitude, has also begun to ease. On the other hand, initiatives to re-accelerate growth (corporate channel expansion, technology investments for enterprise segment) could weigh on margins and cash flow in the near term. Moreover, the housing market is still sluggish, and we expect GSHD's prospective growth to be slower than historically. From a valuation perspective, we think the stock is attractively valued, particularly after its recent pullback over AI-related concerns, which we think overestimate any potential negative impact from AI on GSHD. Having said this, we also acknowledge that AI will likely remain an overhang on investor sentiment as it represents a long-term risk that cannot be disproven with any reasonable amount of certainty, at least for now. Consequently, we remain Neutral.

3Q26 Outlook

We are adjusting EPS forecasts (3Q26 from $0.57 to $0.56, 4Q26 unchanged at $0.59, 2027 from $2.70 to $2.69). Our model reflects a higher assumed price for share buybacks. Aside from reported results, we expect investors to focus on (1) revenue retention, (2) PIF trends, (3) agent/franchise recruitment trends, (4) new business growth, (5) pricing/competition in personal lines, (6) management's expectations for contingent commissions, (7) management's expected margin trajectory, and (8) updates to 2026 guidance. GSHD's recent initiatives (digital agent/AI voice assistant and institutional partnerships) and commentary about potential disruption from AI will also likely be topics of interest.

Table 25: 3Q26 and 2026 JPM Estimates vs. Company Guidance

$ in millions and %

	2026	
	JPM	Guidance
Core revenue growth		
Total revenue growth	17.1%	12-19%
Written premium growth	13.7%	12-20%
Contingent commissions	115 bps	70-100 bps of premium
Adjusted EBITDA margin	-383 bps	compression

Source: Company reports and J.P. Morgan estimates.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Table 26: 3Q26 and 2026 JPM Estimates vs. Consensus

$ in millions and per share

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2027E Cons.	diff.
Overall									
Adjusted EPS	$0.56	$0.52	8.1%	$2.18	$2.15	1.7%	$2.69	$2.68	0.3%
Revenues	**108.7**	**106.9**	**1.7%**	**427.7**	**428.1**	**-0.1%**	**488.4**	**492.3**	**-0.8%**
% change	20.2%	18.2%	200 bps	17.1%	17.2%	(9) bps	33.7%	34.8%	(107) bps
Adjusted EBITDA	**32.8**	**31.3**	**4.5%**	**128.8**	**129.1**	**-0.2%**	**147.4**	**149.6**	**-1.5%**
% margin	30.1%	29.3%	82 bps	30.1%	30.2%	(5) bps	30.2%	30.4%	(21) bps
% margin ex. contingents	22.9%	24.1%	(117) bps	19.2%	20.1%	(95) bps	21.8%	22.6%	(82) bps
Revenue Breakdown									
Core revenues	**96.7**	**97.2**	**-0.5%**	**361.3**	**364.6**	**-0.9%**	**424.8**	**427.8**	**-0.7%**
% change	15.3%	15.9%	(60) bps	13.6%	14.7%	(105) bps	33.6%	34.6%	(95) bps
Renewal commission	22.0	22.6	-2.6%	82.6	83.6	-1.3%	96.6	97.3	-0.7%
Renewal royalty	53.7	53.7	0.0%	198.7	199.5	-0.4%	233.1	237.7	-1.9%
New business commission	9.1	8.9	2.4%	34.5	34.2	1.0%	42.7	41.3	3.5%
New business royalty	9.0	9.2	-2.5%	34.5	34.8	-0.9%	38.9	40.8	-4.6%
Agency fees	2.9	2.9	0.3%	11.0	11.0	-0.6%	13.5	12.6	6.8%
Cost recovery	**1.2**	**1.5**	**-21.5%**	**5.6**	**6.2**	**-9.9%**	**8.2**	**6.5**	**25.3%**
Initial franchise	1.1	1.3	-16.4%	5.2	5.7	-9.0%	7.7	5.9	30.4%
Interest	0.1	0.1	-17.1%	0.4	0.4	-8.1%	0.5	0.4	40.9%
Ancillary	**10.8**	**7.9**	**37.1%**	**60.9**	**56.5**	**7.7%**	**55.4**	**53.0**	**4.5%**
Contingent commissions	10.2	7.4	38.1%	57.9	53.8	7.6%	52.5	49.6	5.8%
Other franchise	0.6	0.6	4.2%	2.9	2.9	1.9%	2.9	2.7	8.1%

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

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Table 27: 3Q26 and 2026 J.P. Morgan Key Financial Forecasts

$ in millions and per share

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Overall P&L												
Core commissions	73.5	68.0	273.7	69.1	86.8	83.9	78.2	317.9	79.5	95.6	96.7	361.3
Franchise fees & other	1.6	1.5	7.6	1.5	1.4	1.5	1.8	6.3	1.7	1.5	1.2	5.6
Contingent comm. & other	2.9	24.4	33.2	4.9	5.8	5.0	25.3	41.1	11.9	16.3	10.8	60.9
Total revenues	**78.0**	**93.9**	**314.5**	**75.6**	**94.0**	**90.4**	**105.3**	**365.3**	**93.1**	**113.4**	**108.7**	**427.7**
% total revenue growth	9.9%	49.0%	20.4%	17.3%	20.4%	15.9%	12.1%	16.2%	23.1%	20.6%	20.2%	17.1%
% core revenue growth	16.5%	19.4%	17.5%	17.5%	18.2%	14.1%	15.0%	16.1%	15.0%	10.2%	15.3%	13.6%
Compensation	(36.1)	(38.2)	(145.0)	(42.1)	(44.4)	(43.1)	(43.4)	(173.0)	(44.3)	(49.6)	(52.6)	(201.3)
G&A	(15.2)	(17.8)	(66.7)	(17.6)	(20.0)	(17.1)	(22.3)	(76.9)	(24.0)	(25.4)	(22.9)	(95.8)
Bad debt expense	(0.6)	(0.6)	(2.9)	(0.4)	(0.6)	(0.5)	(0.4)	(1.8)	(0.4)	(0.5)	(0.4)	(1.8)
Operating expenses	**(51.9)**	**(56.5)**	**(214.6)**	**(60.1)**	**(64.9)**	**(60.7)**	**(66.0)**	**(251.7)**	**(68.7)**	**(75.4)**	**(75.9)**	**(298.9)**
Adjusted EBITDA	**26.1**	**37.4**	**99.9**	**15.5**	**29.2**	**29.7**	**39.2**	**113.6**	**24.4**	**37.9**	**32.8**	**128.8**
% margin	33.5%	39.8%	31.8%	20.5%	31.0%	32.8%	37.3%	31.1%	26.2%	33.5%	30.1%	30.1%
% margin ex. contingents	31.3%	19.1%	24.2%	15.5%	27.5%	29.3%	17.9%	23.0%	16.7%	22.8%	22.9%	19.2%
Equity compensation	(7.1)	(6.9)	(28.0)	(6.2)	(6.0)	(5.6)	(5.5)	(23.4)	(6.2)	(4.8)	(5.8)	(22.5)
Interest, D&A, taxes	(6.4)	(6.7)	(22.9)	(6.6)	(10.2)	(11.4)	(13.1)	(41.3)	(10.2)	(13.1)	(11.5)	(46.5)
NCI	(5.0)	(9.0)	(18.7)	(0.3)	(3.1)	(4.8)	(8.4)	(16.6)	(3.2)	(6.9)	(5.9)	(22.3)
Net income to GSHD	**7.6**	**14.9**	**30.4**	**2.3**	**5.2**	**7.9**	**12.4**	**27.8**	**4.9**	**10.1**	**9.5**	**34.5**
Net EPS (Basic)	$0.31	$0.60	$1.23	$0.09	$0.20	$0.31	$0.50	$1.11	$0.20	$0.42	$0.40	$1.46
Equity-based compensation	$0.19	$0.18	$0.75	$0.17	$0.29	$0.15	$0.15	$0.75	$0.17	$0.22	$0.16	$0.72
Adjusted EPS	**$0.50**	**$0.79**	**$1.98**	**$0.26**	**$0.49**	**$0.46**	**$0.65**	**$1.86**	**$0.37**	**$0.64**	**$0.56**	**$2.18**
Memo:												
Written premiums ($ thousands)	1,028,736	965,596	3,811,992	1,000,231	1,175,909	1,181,825	1,090,130	4,448,095	1,133,953	1,335,339	1,345,933	5,056,259
% growth	28.1%	27.7%	28.6%	22.2%	17.7%	14.9%	12.9%	16.7%	13.4%	13.6%	13.9%	13.7%
Policies in force (in thousands)	1,636	1,674	1,674	1,729	1,793	1,853	1,900	1,900	1,973	2,053	2,107	2,183
Y/y % Chg	12.4%	12.7%	12.7%	13.2%	12.9%	13.3%	13.5%	13.5%	14.1%	14.5%	13.7%	14.9%
Contingent commissions	2.5	24.0	31.4	4.5	4.5	4.5	24.9	38.4	10.7	15.7	10.2	57.9
% of premiums	0.24%	2.49%	0.82%	0.45%	0.38%	0.38%	2.28%	0.86%	0.94%	1.18%	0.76%	1.15%

Source: Company reports and J.P. Morgan estimates.

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J.P.Morgan

Table 28: 3Q26 and 2026 J.P. Morgan Segment Forecasts

$ in millions

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Corporate Channel												
Written premiums ($ thousands)	203,988	187,209	765,485	176,606	217,147	206,135	193,847	793,735	204,049	238,871	236,241	903,510
% growth	11.8%	8.8%	12.4%	4.8%	5.5%	1.1%	3.5%	3.7%	15.5%	10.0%	14.6%	13.8%
Agents	458	417	417	426	479	523	489	489	482	583	618	598
% growth	44.9%	39.0%	39.0%	45.9%	53.0%	14.2%	17.3%	17.3%	13.1%	21.7%	18.2%	22.3%
New bus. prod. ($ thousands)	21.4	18.5	92.0	19.0	23.1	20.4	19.1	82.2	20.3	23.8	20.0	82.1
% growth	-21.7%	-19.2%	-13.1%	-26.0%	-20.7%	-4.3%	3.6%	-10.6%	6.8%	3.1%	-2.3%	-0.2%
Renewal retention (%)	80.3%	79.5%	79.6%	78.3%	84.8%	74.3%	78.1%	79.0%	80.0%	68.6%	81.0%	77.4%
Core revenues	**28.5**	**26.3**	**107.7**	**24.9**	**33.6**	**29.9**	**28.6**	**117.0**	**28.0**	**33.7**	**34.0**	**128.0**
% growth	4.7%	7.7%	5.2%	5.9%	14.2%	5.1%	8.8%	8.7%	12.2%	0.4%	13.7%	9.4%
Franchise Channel												
Written premiums ($ thousands)	824,748	778,387	3,046,507	823,625	958,762	975,690	896,283	3,654,360	929,904	1,096,468	1,109,692	4,152,749
% growth	32.9%	33.3%	33.4%	26.7%	20.9%	18.3%	15.1%	20.0%	12.9%	14.4%	13.7%	13.6%
Franchises	1,116	1,103	1,103	1,098	1,075	1,068	1,009	1,009	956	898	878	858
% growth	-13.2%	-10.0%	-10.0%	-4.9%	-4.2%	-4.3%	-8.5%	-8.5%	-12.9%	-16.5%	-17.8%	-15.0%
New bus. prod. ($ thousands)	31.3	30.3	117.4	31.5	36.0	38.6	34.3	138.8	40.1	50.7	50.5	184.5
% growth	39.0%	42.3%	37.4%	20.2%	14.3%	23.6%	13.3%	18.2%	27.5%	40.8%	30.7%	32.9%
Renewal retention (%)	90.6%	92.1%	89.9%	89.4%	88.4%	87.5%	87.3%	88.1%	85.0%	85.8%	86.0%	85.7%
Core revenues	**45.1**	**41.7**	**166.1**	**44.2**	**53.2**	**54.0**	**49.6**	**200.9**	**51.5**	**61.9**	**62.7**	**233.2**
% growth	25.4%	28.2%	27.0%	25.2%	20.9%	19.7%	18.9%	21.0%	16.5%	16.4%	16.1%	16.1%

Source: Company reports and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-38.4%	-36.4%	-6.5%	-39.0%
Rel	-51.1%	-30.4%	1.0%	-53.8%

Company Data

Shares O/S (mn)	36
52-week range ($)	79.85-33.68
Market cap ($ mn)	1,611.01
Exchange rate	1.00
Free float (%)	96.3%
3M ADV (mn)	0.50
3M ADV ($ mn)	28.9
Volatility (90 Day)	74
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	7|6|2

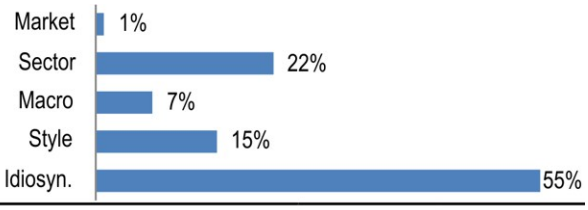
Key Metrics (FYE Dec)

$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Investment banking	365	428	488	573
Brokerage commissions	-	-	-	-
Asset management income	-	-	-	-
Trading income	-	-	-	-
Total non-interest income	0	0	0	0
Net interest income	0	0	0	0
Net revenue	365	428	488	573
Operating expense	-	-	-	-
Adj. pre provison profit	55	68	87	118
Adj. PBT	51	68	87	118
Adj. net income	71	52	62	79
Adj. EPS	1.86	2.18	2.69	3.55
BBG EPS	1.78	2.15	2.68	3.44
DPS	5.91	0.00	0.00	0.00
BVPS	(3.87)	(5.67)	(7.42)	(8.51)
Total Assets	130	121	115	137
Margins and Growth				
Net margin	-	-	-	-
Adj. EPS growth	(5.9%)	17.1%	23.4%	32.0%
Ratios				
Adj. tax rate	12.6%	16.3%	14.1%	14.0%
Cost to income ratio	-	-	-	-
Dividend payout	809.1%	0.0%	0.0%	0.0%
Commission / Avg. asset	-	-	-	-
ROA	54.4%	41.6%	52.4%	62.2%
Valuation				
Dividend yield	13.0%	0.0%	0.0%	0.0%
Adj. P/E	24.3	20.8	16.8	12.8

Summary Investment Thesis and Valuation

We remain Neutral. In our opinion, GSHD is differentiated from other public brokers because it operates at stable margins despite growing organically well above peers, its franchising channel is less capital-intensive than traditional M&A, and its business model has natural revenue and margin leverage. Also, even if the personal lines insurance market is mature and slow growing, we feel that GSHD has a long runway for growth, and pricing deceleration in personal lines has begun to ease. On the other hand, initiatives to re-accelerate growth could weigh on margins and cash flow in the near term, and even with these new projects, we expect GSHD's prospective growth to be slower than historically. The stock has pulled back on AI concerns, which we think are overblown, but we also recognize that AI will likely remain an overhang on investor sentiment for the foreseeable future, and thus we remain Neutral.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.00	0.05
Sect: Financials	0.47	0.47
Ind: Insurance	0.71	0.59
Macro:		
US 10yr Breakeven	-0.26	-0.18
Economic Surprise	0.18	0.13
US Dollar	0.13	0.11
Quant Styles:		
LowVol	0.50	0.46
Size	-0.38	-0.39
Momentum	-0.37	-0.38

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Goosehead *(Neutral; Price Target: $60.00)*

Investment Thesis

We remain Neutral. In our opinion, GSHD is differentiated from other public brokers because it operates at stable margins despite growing organically well above peers, its franchising channel is less capital-intensive than traditional M&A and diversifies its operational risk, and its business model has natural revenue and margin leverage. Also, even if the personal lines insurance market is mature and slow growing, we feel that GSHD has a long runway for growth, helped in part by its new initiatives (digital agent, institutional partnerships, helping franchises recruit). Pricing deceleration in personal lines, which had been a headwind in recent years given its magnitude, has also begun to ease. On the other hand, initiatives to re-accelerate growth (corporate channel expansion, technology investments for enterprise segment) could weigh on margins and cash flow in the near term. Moreover, the housing market is still sluggish, and we expect GSHD's prospective growth to be slower than historically. From a valuation perspective, we think the stock is attractively valued, particularly after its recent pullback over AI-related concerns, which we think overestimate any potential negative impact from AI on GSHD. Having said this, we also acknowledge that AI will likely remain an overhang on sentiment as it represents a long-term risk that cannot be disproven with any reasonable amount of certainty, at least for now, and thus we remain Neutral.

Valuation

We are reducing our December 2027 price target from $68 to $60 to reflect a lower target multiple and lower EPS estimates. Our price target assumes a 17x multiple on 2028E EPS. On 2026E EBITDA and 2026E EPS, GSHD trades at 12x and 21x, which compares to 17x and 21x for TWFG, 15x and 16x for BWIN, 13x and 17x for AJG, 11x and 13x for BRO, 14x and 16x for MRSH, 14x and 16x for AON, 13x and 15x for WTW, and 13x and 17x for RYAN. Despite the pullback in broker multiples, we think GSHD deserves to trade at a premium because of its faster revenue growth and greater potential for margin expansion.

Risks to Rating and Price Target

We believe that the upside risks to our rating and price target are:

- **GSHD's growth accelerates, whether due to recruiting or other initiatives.** We expect GSHD's future growth, as measured by written premiums, to be more stable in the next few years (mid-teens) following significant deceleration from 2023 (+34% y/y) to 2025 (+17% y/y). If GSHD's current initiatives (agent recruiting, online rater, institutional partnerships) or the embedded growth in its distribution force (increasing productivity and in-agency hiring) drive better than expected growth, there could be upside to our estimates and price target.
- **Margins expand at a faster than expected pace.** We expect GSHD to maintain EBITDA margins (ex. contingents) in the mid 20s over time (equal to a low- to mid-30s all-in margin) while growing premiums at a mid- to high-teens pace. If GSHD expands margins while maintaining growth, there could be upside to our EPS forecasts.
- **The long-term shift of insurance distribution from exclusive to independent agents accelerates.** We forecast the captive agency channel to decline over time as insurers seek growth in other channels (independent agents and direct), thereby providing independent platforms such as GSHD a steady source of new sales talent. Although no major changes are imminent, any change in distribution strategy at the large captive writers (State Farm, Farmers, ALL) away from exclusive agents could present a

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meaningful opportunity for GSHD.

- **Price increases in personal lines accelerate.** The slowdown in GSHD's growth is being driven by moderation in personal lines pricing and lower exposure growth. If either of these factors pick up, either from an inflationary environment or more market discipline, then we would expect GSHD's overall growth to benefit.

We believe that the downside risks to our rating and price target are:

- **GSHD struggles to compete with emerging modes of personal lines distribution or a successful copycat or personal lines roll-up strategy emerges.** Although we believe that agents are unlikely to be fully disintermediated, we anticipate digital and direct-to-consumer channels (including AI) to take greater share in the personal lines market. If GSHD is unable to adapt, then its position in the market would be weakened. Separately, despite the existence of other personal lines franchisors, we think that it would be challenging for a copycat organic or roll-up strategy to fully replicate what GSHD is doing. If a successful competitor emerges, however, we think that the scarcity value ascribed to GSHD would likely diminish.
- **Written premium growth is below expectations.** Our valuation for GSHD is based on an expectation of mid- to high-teens annual premium growth over the next three years. If GSHD's growth lags our expected pace, whether due to lagging agent productivity, a weak housing market, a deterioration in the quality of new agents or franchises, or a waning benefit from pricing/exposure, our EPS estimates and assumed price target multiple could prove too aggressive.
- **Transition to the franchise channel results in slower revenue and earnings growth.** GSHD is emphasizing the franchise channel over the corporate channel to improve overall margins. However, given that franchises have lower revenue and earnings yields (per dollar of written premiums) than the corporate channel, GSHD will have to write more business to sustain the same dollar amount of revenues and earnings.

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J.P.Morgan

Goosehead: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Net Revenue	**315**	**365**	**428**	**488**	**573**
o/w Commission and fee income	-	-	-	-	-
o/w Net trading income	-	-	-	-	-
o/w Net interest income	0	0	0	0	0
SG&A	(215)	(252)	(299)	(341)	(395)
o/w Compensation expense	(145)	(173)	(201)	(234)	(270)
o/w Non-compensation expense	(70)	(79)	(98)	(107)	(124)
Adj. Operating income	**53**	**51**	**68**	**87**	**118**
Adj. PBT	**53**	**51**	**68**	**87**	**118**
Tax	(4)	(6)	(11)	(12)	(17)
Minority Interest	(19)	(17)	(22)	(29)	(39)
Adj. Net Income	**76**	**71**	**52**	**62**	**79**
Reported EPS	0.79	0.73	1.45	2.00	2.83
Adj. EPS	**1.98**	**1.86**	**2.18**	**2.69**	**3.55**
DPS	**0.00**	**5.91**	**0.00**	**0.00**	**0.00**
Payout ratio	0.0%	809.1%	0.0%	0.0%	0.0%
Shares outstanding	38	38	24	23	22

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue y/y growth	20.4%	16.2%	17.1%	14.2%	17.3%
Adj. Net Income y/y growth	132.6%	(6.3%)	(26.7%)	18.8%	26.9%
EPS y/y growth	49.3%	(5.9%)	17.1%	23.4%	32.0%
DPS y/y growth	-	-	(100.0%)	-	-
Fee income / Avg assets	-	-	-	-	-
Interest income / Avg assets	0.0%	0.0%	0.0%	0.0%	0.0%
Net trading income / Avg assets	-	-	-	-	-

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	58	38	22	16	36
Accounts receivable	-	-	-	-	-
Other current assets	-	-	-	-	-
Current assets	**58**	**38**	**22**	**16**	**36**
PP&E	-	-	-	-	-
Other non current assets	73	92	98	99	102
Total assets	**131**	**130**	**121**	**115**	**137**
Short term borrowings	-	-	-	-	-
Payables	-	-	-	-	-
Other short term liabilities	-	-	-	-	-
Current liabilities	**-**	**-**	**-**	**-**	**-**
Long-term debt	92	292	317	317	317
Other long term liabilities	0	0	0	0	0
Total liabilities	**92**	**292**	**317**	**317**	**317**
Shareholders' equity	44	(96)	(133)	(167)	(184)
Minority interests	(5)	(67)	(64)	(35)	4
Total liabilities & equity	**131**	**130**	**121**	**115**	**137**
BVPS	**1.78**	**(3.87)**	**(5.67)**	**(7.42)**	**(8.51)**
y/y growth	*(21.5%)*	*(317.7%)*	*46.4%*	*30.8%*	*14.7%*
Net debt/(cash)	34	255	295	301	282

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Net profit margin	-	-	-	-	-
ROE	151.0%	(275.2%)	(45.6%)	(41.3%)	(44.8%)
ROA	67.4%	54.4%	41.6%	52.4%	62.2%
ROCE	-	-	-	-	-
Net debt/equity	0.9	NM	NM	NM	NM
Tax rate	8.1%	12.6%	16.3%	14.1%	14.0%
P/E (x)	22.9	24.3	20.8	16.8	12.8
P/BV (x)	25.5	NM	NM	NM	NM
Dividend yield	0.0%	13.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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▼Neutral
Previous: Overweight

LIFE, LIFE US
Price (30 Sep 26):$33.57

Price Target (Dec-27):$37.00

Insurance - Life & Nonlife

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Quarterly Forecasts (FYE Dec)

Adj. EBITDA ($ mn)

	2025A	2026E	2027E
Q1	24	34A	47
Q2	21	35A	50
Q3	19	25	38
Q4	26	27	37
FY	89	121	171

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	51	95			
Growth	11				
Momentum	1				
Quality	95	1	99	99	97
Low Vol	100				

Ethos Technologies

Positive Fundamental Outlook, Risk-Reward More Balanced

We are moving from Overweight to Neutral. Ethos is a leading tech-enabled life insurance managing general agent (MGA) that has a track record of delivering growth for its insurance carrier partners through its DTC and agency channels. While we do not consider Ethos' instant underwriting offering a panacea that will naturally attract all potential life insurance carrier partners, and believe that its long-term opportunities are more limited in DTC, our view is that it has significant runway for growth via agency expansion and continued near-term momentum in DTC. Expansion into adjacent markets such as annuities is another opportunity, especially given the strong positive correlation between annuity sales and interest rates, which seem more likely to increase. Also, unlike select intermediaries/MGAs in P&C, our view is that LIFE is less exposed to potential AI disintermediation risk because it is significantly harder to homogenize price comparison shopping in life insurance. Having said this, we are changing our rating on LIFE as we think risk-reward in the stock is more balanced after its strong run since the beginning of the year, and we would wait to see continued momentum in its growth before becoming more positive again. Also, its relative valuation compared to the other brokers we cover, which have pulled back over AI, has become less attractive, especially considering LIFE's lower cash flow conversion.

3Q26 Outlook

We are raising adjusted EBITDA estimates (3Q26 from $24.4 million to $25.5 million, 4Q26 from $26.4 million to $26.7 million, 2027 from $168.9 million to $170.7 million) to reflect some of the conservatism we think is embedded in management guidance for the quarter (3Q26 guidance: revenues of $160-164 million, adjusted EBITDA of $23-25 million). Aside from reported results, we think investors will focus on commentary around (1) the June outage with a partner insurance carrier, (2) guidance, (3) new distribution partnerships that Ethos is pursuing, (4) sales through AI channels and the impact of AI on the business model, and (5) new products that LIFE is launching, including annuities.

Table 29: 3Q26 and 2026 J.P. Morgan Estimates vs. Consensus

$ in millions

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2026E Cons.	diff.
Overall									
Revenues	$170.1	$163.4	4.1%	$737.1	$734.2	0.4%	$948.7	$947.4	0.1%
% change (y-o-y)	81.4%	74.2%	717 bps	90.2%	89.4%	74 bps	28.7%	29.0%	(34) bps
Adjusted EBITDA	$25.5	$24.7	3.1%	$120.9	$122.7	-1.4%	$170.7	$175.3	-2.7%
% margin	15.0%	15.1%	(15) bps	16.4%	16.7%	(30) bps	18.0%	18.5%	(51) bps
% change (y-o-y)	36.1%	32.0%	405 bps	35.9%	37.8%	(193) bps	41.1%	42.9%	(182) bps

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Table 30: 3Q26 and 2026 J.P. Morgan Key Financial Forecasts

$ in millions and %

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Activations	33,452	38,515	127,623	48,122	46,283	49,219	54,714	198,338	88,373	107,847	95,977	391,777
ARPU ($)	$2,087	$1,727	$1,997	$1,972	$1,920	$1,906	$2,012	$1,954	$2,185	$1,758	$1,772	$1,881
Total revenues	**69.827**	**66.524**	**254.926**	**94.888**	**88.849**	**93.794**	**110.077**	**387.608**	**193.099**	**189.562**	**170.095**	**737.082**
% growth	54.1%	66.2%	59.6%	52.6%	57.6%	34.3%	65.5%	52.0%	103.5%	113.4%	81.4%	90.2%
% share of direct	62.9%	57.7%	68.2%	65.1%	56.8%	59.8%	67.4%	62.6%	75.6%	61.5%	55.0%	60.8%
Direct revenue	43.890	38.406	173.736	61.744	50.439	56.102	74.200	242.485	146.000	116.500	93.552	448.215
% growth	33.9%	37.2%	45.8%	19.9%	26.3%	27.8%	93.2%	39.6%	136.5%	131.0%	66.8%	84.8%
Third-party revenue	25.937	28.118	81.189	33.144	38.410	37.692	35.900	145.146	47.100	73.100	76.543	288.906
% growth	107.1%	133.9%	99.9%	209.9%	133.7%	45.3%	27.7%	78.8%	42.1%	90.3%	103.1%	99.0%
Cost of revenues	(1.431)	(1.558)	(6.527)	(1.575)	(1.422)	(1.677)	(2.059)	(6.733)	(3.230)	(4.026)	(3.062)	(13.487)
Gross profit	**68.396**	**64.966**	**248.399**	**93.313**	**87.427**	**92.117**	**108.018**	**380.875**	**189.869**	**185.536**	**167.034**	**723.595**
% margin	98.0%	97.7%	97.4%	98.3%	98.4%	98.2%	98.1%	98.3%	98.3%	97.9%	98.2%	98.2%
Sales and marketing	(35.403)	(39.789)	(147.977)	(54.396)	(51.715)	(57.051)	(64.113)	(227.275)	(133.743)	(126.867)	(117.063)	(508.521)
General and administrative	(5.633)	(4.356)	(20.764)	(7.922)	(7.853)	(8.734)	(9.233)	(33.742)	(12.540)	(12.079)	(12.808)	(49.263)
Technology (exclusive of amortizatio	(5.601)	(6.153)	(22.308)	(7.305)	(7.133)	(7.657)	(8.918)	(31.013)	(10.024)	(11.435)	(11.692)	(44.969)
Depreciation and amortization	(1.400)	(1.269)	(5.438)	(1.337)	(1.406)	(1.332)	(1.284)	(5.359)	(1.369)	(1.550)	(1.497)	(5.895)
Stock-based compensation	(0.669)	(0.897)	(3.165)	(9.814)	(0.478)	(0.272)	(0.032)	(10.596)	(195.507)	(15.486)	(19.748)	(250.998)
Other income (expense)	1.421	1.208	5.189	0.572	0.929	0.666	0.655	2.822	(4.874)	1.201	1.269	(1.015)
Income before taxes	**21.111**	**13.710**	**53.936**	**13.111**	**19.771**	**17.737**	**25.093**	**75.712**	**(168.188)**	**19.320**	**5.494**	**(137.067)**
Income taxes	(0.524)	(4.162)	(5.104)	(0.864)	(1.302)	(1.863)	(0.564)	(4.593)	(3.845)	0.211	(0.055)	(3.752)
GAAP income	**20.587**	**9.548**	**48.832**	**12.247**	**18.469**	**15.874**	**24.529**	**71.119**	**(172.033)**	**19.531**	**5.439**	**(140.819)**
Add: adjusting items ex. stock-basec	0.586	4.247	5.538	1.661	1.805	2.571	1.254	7.291	10.141	0.190	0.283	10.767
Add: stock-based comp	0.669	0.897	3.165	9.814	0.478	0.272	0.032	10.596	195.507	15.486	19.748	250.998
Adjusted EBITDA	**21.842**	**14.692**	**57.535**	**23.722**	**20.752**	**18.717**	**25.815**	**89.006**	**33.615**	**35.207**	**25.470**	**120.947**
% margin	31.3%	22.1%	22.6%	25.0%	23.4%	20.0%	23.5%	23.0%	17.4%	18.6%	15.0%	16.4%
% growth	149.8%	5713.9%	781.6%	116.7%	106.4%	-14.3%	75.7%	54.7%	41.7%	69.7%	36.1%	35.9%
Memo:												
Contribution profit	**34.144**	**26.783**	**105.264**	**42.458**	**37.680**	**36.717**	**47.223**	**164.078**	**68.963**	**63.533**	**57.325**	**243.997**
Gross profit	68.396	64.966	248.399	93.313	87.427	92.117	108.018	380.875	189.869	185.536	167.034	723.595
Less: sales and marketing	(35.403)	(39.789)	(147.977)	(54.396)	(51.715)	(57.051)	(64.113)	(227.275)	(133.743)	(126.867)	(117.063)	(508.521)
Add: SBC and others	1.151	1.606	4.842	3.541	1.968	1.651	3.318	10.478	12.837	4.864	7.354	28.923
% margin	48.9%	40.3%	41.3%	44.7%	42.4%	39.1%	42.9%	42.3%	35.7%	33.5%	33.7%	33.1%
% growth	73.7%	118.9%	105.8%	87.9%	73.3%	7.5%	76.3%	55.9%	62.4%	68.6%	56.1%	48.7%
Net debt	(108.444)	(104.810)	(104.810)	(119.670)	(130.322)	(133.378)	(133.176)	(133.143)	(202.621)	(234.626)	(246.257)	(256.136)
Cash	(113.763)	(138.355)	(138.355)	(152.016)	(160.775)	(161.191)	(157.435)	(157.402)	(223.804)	(252.855)	(261.633)	(268.866)
Debt on receivables	5.319	33.545	33.545	32.346	30.453	27.813	24.259	24.259	21.183	18.229	15.376	12.730
Accounts receivable balance	24.257	30.303	30.303	34.230	33.468	30.939	36.498	36.498	53.337	57.211	60.869	64.083
Commissions receivable balance	173.866	188.175	188.175	205.909	219.305	234.696	253.005	253.005	291.403	324.280	334.672	351.289
Operating cash flow	**(5.035)**	**2.164**	**(10.909)**	**10.810**	**13.224**	**7.407**	**4.784**	**36.193**	**31.209**	**35.660**	**14.018**	**93.243**
% of adjusted EBITDA	-23.1%	14.7%	-19.0%	45.6%	63.7%	39.6%	18.5%	40.7%	92.8%	101.3%	55.0%	77.1%

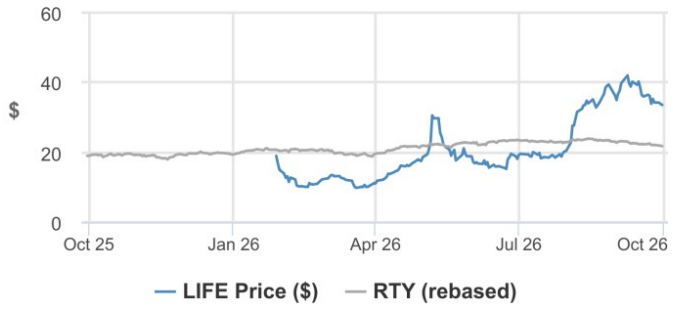
Source: Company reports and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-	-13.1%	85.1%	-
Rel	-	-7.2%	92.6%	3574.2%

Company Data

Shares O/S (mn)	70
52-week range ($)	42.55-9.45
Market cap ($ mn)	2,363.96
Exchange rate	1.00
Free float (%)	71.1%
3M ADV (mn)	1.27
3M ADV ($ mn)	41.2
Volatility (90 Day)	81
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	9|0|0

Key Metrics (FYE Dec)

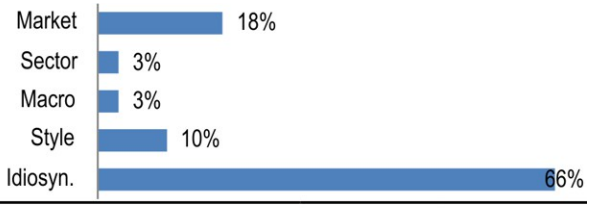
$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	388	737	949	1,127
Adj. EBIT	76	(137)	74	94
Adj. EBITDA	89	121	171	204
Adj. net income	71	(141)	73	93
Adj. EPS	1.22	(2.34)	0.99	1.21
BBG EPS	1.21	0.79	2.00	2.01
Cashflow from operations	36	93	76	128
FCFF	28	86	59	109
Margins and Growth				
Revenue Growth Y/Y (%)	52.0%	90.2%	28.7%	18.8%
EBIT margin	19.5%	(18.6%)	7.8%	8.3%
EBIT Growth Y/Y (%)	40.4%	(281.0%)	(153.8%)	27.2%
EBITDA margin	23.0%	16.4%	18.0%	18.1%
EBITDA Growth Y/Y (%)	54.7%	35.9%	41.1%	19.8%
Net margin	18.3%	(19.1%)	7.7%	8.2%
Adj. EPS growth	61.4%	(292.4%)	(142.2%)	22.3%
Ratios				
Adj. tax rate	6.1%	(2.7%)	1.0%	1.0%
Interest cover	NM	108.0	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	21.0%	(31.0%)	11.9%	11.6%
Valuation				
FCFF yield	1.4%	4.3%	2.4%	4.2%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	6.8	3.8	3.1	2.7
EV/EBITDA	29.8	23.2	17.0	14.7
Adj. P/E	27.6	NM	34.0	27.8

Summary Investment Thesis and Valuation

Investment Thesis

We are moving from Overweight to Neutral. Ethos is a leading tech-enabled life insurance managing general agent (MGA) that has a track record of delivering growth for its insurance carrier partners through its DTC and agency channels. While we do not consider Ethos' instant underwriting offering a panacea that will naturally attract all potential life insurance carrier partners, and believe that its long-term opportunities are more limited in DTC, our view is that it has significant runway for growth via agency expansion and continued near-term momentum in DTC. Expansion into adjacent markets such as annuities is another opportunity, especially given the strong positive correlation between annuity sales and interest rates, which seem more likely to increase. Also, unlike select intermediaries/MGAs in P&C, our view is that LIFE is less exposed to potential AI disintermediation risk because it is significantly harder to homogenize price comparison shopping in life insurance. Having said this, we are changing our rating on LIFE as we think risk-reward in the stock is more balanced after its strong run since the beginning of the year, and we would wait to see continued momentum in its growth before becoming more positive again. Also, its relative valuation compared to the other brokers we cover, which have pulled back over AI concerns, has become less attractive, especially considering LIFE's lower cash flow conversion.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.45	0.36
Sect: Financials	-0.24	-0.19
Ind: Insurance	-0.05	-0.02
Macro:		
Economic Surprise	0.24	0.22
US 10yr yield	-0.22	-0.18
Credit Spread	0.07	0.16
Quant Styles:		
Size	-0.20	-0.16
Growth	0.17	0.15
Quality	0.01	0.06

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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J.P.Morgan

Investment Thesis, Valuation and Risks

Ethos Technologies *(Neutral; Price Target: $37.00)*

Investment Thesis

We are moving from Overweight to Neutral. Ethos is a leading tech-enabled life insurance managing general agent (MGA) that has a track record of delivering growth for its insurance carrier partners through its DTC and agency channels. While we do not consider Ethos' instant underwriting offering a panacea that will naturally attract all potential life insurance carrier partners, and believe that its long-term opportunities are more limited in DTC, our view is that it has significant runway for growth via agency expansion and continued near-term momentum in DTC. Expansion into adjacent markets such as annuities is another opportunity, especially given the strong positive correlation between annuity sales and interest rates, which seem more likely to increase. Also, unlike select intermediaries/MGAs in P&C, our view is that LIFE is less exposed to potential AI disintermediation risk because it is significantly harder to homogenize price comparison shopping in life insurance. Having said this, we are changing our rating on LIFE as we think risk-reward in the stock is more balanced after its strong run since the beginning of the year, and we would wait to see continued momentum in its growth before becoming more positive again. Also, its relative valuation compared to the other brokers we cover, which have pulled back over AI concerns, has become less attractive, has become less attractive, especially considering LIFE's lower cash flow conversion.

Valuation

We are maintaining our December 2027 price target of $37. LIFE trades at 12x on an EV/2027E EBITDA basis, compared to 19x for personal lines brokers, 11x for large-cap commercial brokers, 11x for SMID-cap commercial brokers, 5x for online lead generators, and 20x for three-sided platform comps. Our price target is based on a 12x multiple on our 2028 EBITDA forecast of $204 million, consistent with where personal P&C brokers trade. We corroborate our price target by discounting reported revenues by ~10% for the deferred cash payments Ethos will receive. This results in an "economic" 2028 EBITDA of $105 million, well below our estimate for adjusted EBITDA given the high growth trajectory of the firm. Applying an assumed target multiple of 24x, and adding net debt and a discounted value for LIFE's commission receivables at 12/31/27, results in $37 per share.

Risks to Rating and Price Target

The main upside risks to our rating and price target are:

- **AI accelerates direct search and sales in life insurance.** The introduction of new customer-centric AI tools could potentially allow customers to directly buy life insurance. If these platforms direct higher traffic to Ethos' platform, this could create upside to revenue growth expectations.
- **New initiatives create a sustained step change in sales.** We expect revenue increases to stabilize following significant growth in 1Q26 (+103.5%) and 2Q26 (+113.4%). If LIFE's new products (annuity and Juvenile IUL) drive better than expected sales, this would create upside to our revenue forecasts.
- **Expected expansion in agency distribution, whether through new partners or increased utilization, accelerates.** A large portion of LIFE's prospective growth is dependent on agency initiatives, such as the addition of Sammons and the increased utilization of the LIFE platform from current agency partners. If these initiatives exceed expectations, there could be upside to our estimates.

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- **DTC marketing efficiency improves.** A major driver of LIFE's improved margins in recent years has been more efficient DTC spend. If this trend improves further, LIFE's margins could expand and its cash flow profile would improve.

The main downside risks to our rating and price target are:

- **Disruption at LIFE's carrier partners.** LIFE is using Sammons capacity to expand in index universal life (IUL) sold via independent agents, and Sammons is affiliated with Guggenheim (Sammons owns a third of Guggenheim and almost 90% of its portfolio is managed by Guggenheim), which is the subject of a federal probe due to its dealings with affiliated insurers Delaware Life and Clear Spring. If Sammons gets pulled into the probe and its operations are disrupted, then the roll out of LIFE's agency channel initiative could be disrupted as well, introducing risk to our revenue expectations.
- **Cash flow profile degrades.** Even if revenue growth is strong, LIFE's cash flow could deteriorate if it doesn't generate enough operating leverage over its G&A base. More unfavorable payment terms with life insurance partners is another potential risk. A worsening cash profile would likely be viewed negatively by investors, especially in the context of LIFE's long-term EBITDA margin target in the mid-30s.
- **LIFE's programs deliver unfavorable results.** LIFE's partnerships are grounded in its ability to deliver the underwriting results and growth expected by partner insurers. If Ethos does not meet insurance company partner expectations, there is a risk of losing insurance capacity for the products it sells.
- **Unfavorable persistency updates.** Although we think LIFE has accrued for future revenues conservatively, any updates where it writes down receivables would likely be received negatively.

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Ethos Technologies: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**255**	**388**	**737**	**949**	**1,127**
COGS	(7)	(7)	(13)	(16)	(19)
Gross profit	**-**	**-**	**-**	**-**	**-**
SG&A	(169)	(261)	(558)	(707)	(844)
Adj. EBITDA	**58**	**89**	**121**	**171**	**204**
D&A	(5)	(5)	(6)	(7)	(8)
Adj. EBIT	**54**	**76**	**(137)**	**74**	**94**
Net Interest	5	3	(1)	6	7
Adj. PBT	**54**	**76**	**(137)**	**74**	**94**
Tax	(5)	(5)	(4)	(1)	(1)
Minority Interest	-	-	-	-	-
Adj. Net Income	**49**	**71**	**(141)**	**73**	**93**
Reported EPS	0.75	1.22	(2.34)	0.99	1.21
Adj. EPS	**0.75**	**1.22**	**(2.34)**	**0.99**	**1.21**
DPS	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%
Shares outstanding	65	58	60	74	77

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	35	91	128	186	296
Accounts receivable	30	36	64	88	120
Inventories	-	-	-	-	-
Other current assets	71	120	155	209	268
Current assets	**175**	**246**	**339**	**451**	**620**
PP&E	-	-	-	-	-
LT investments	35	31	85	85	85
Other non current assets	219	267	418	522	614
Total assets	**396**	**515**	**760**	**976**	**1,237**
Short term borrowings	9	12	6	3	1
Payables	24	55	80	80	80
Other short term liabilities	58	101	208	261	325
Current liabilities	**68**	**113**	**214**	**264**	**326**
Long-term debt	24	13	6	3	0
Other long term liabilities	7	10	12	11	11
Total liabilities	**99**	**135**	**232**	**279**	**337**
Shareholders' equity	297	380	528	697	900
Minority interests	-	-	-	-	-
Total liabilities & equity	**396**	**515**	**760**	**976**	**1,237**
BVPS	**(1.66)**	**(0.37)**	**7.29**	**9.24**	**11.47**
y/y Growth	*-*	*(77.5%)*	*(2056.1%)*	*26.8%*	*24.1%*
Net debt/(cash)	(2)	(67)	(115)	(180)	(295)
Cash flow from operating activities	**(11)**	**36**	**93**	**76**	**128**
o/w Depreciation & amortization	5	5	6	7	8
o/w Changes in working capital	(70)	(58)	(31)	(101)	(83)
Cash flow from investing activities	**(1)**	**32**	**(83)**	**(10)**	**(12)**
o/w Capital expenditure	(4)	(6)	(8)	(10)	(12)
as % of sales	*1.7%*	*1.5%*	*1.1%*	*1.1%*	*1.1%*
Cash flow from financing activities	**22**	**(12)**	**27**	**(8)**	**(6)**
o/w Dividends paid	-	-	-	-	-
o/w Net debt issued/(repaid)	-	-	-	-	-
Net change in cash	**10**	**56**	**37**	**58**	**110**
Adj. Free cash flow to firm	**(20)**	**28**	**86**	**59**	**109**
y/y Growth	*-*	*(241.2%)*	*209.8%*	*(31.5%)*	*83.9%*

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**193A**	**190A**	**170**	**184**
COGS	(3)A	(4)A	(3)	(3)
Gross profit	**-**	**-**	**-**	**-**
SG&A	(146)A	(139)A	(130)	(143)
Adj. EBITDA	**34A**	**35A**	**25**	**27**
D&A	(1)A	(2)A	(1)	(1)
Adj. EBIT	**(168)A**	**19A**	**5**	**6**
Net Interest	(5)A	1A	1	1
Adj. PBT	**(168)A**	**19A**	**5**	**6**
Tax	(4)A	0A	(0)	(0)
Minority Interest	-	-	-	-
Adj. Net Income	**(172)A**	**20A**	**5**	**6**
Reported EPS	(3.57)A	0.30A	0.08	0.09
Adj. EPS	**(3.57)A**	**0.30A**	**0.08**	**0.09**
DPS	**0.00A**	**0.00A**	**0.00**	**0.00**
Payout ratio	0.0%A	0.0%A	0.0%	0.0%
Shares outstanding	48A	66A	71	72

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	-	-	-	-	-
EBITDA margin	22.6%	23.0%	16.4%	18.0%	18.1%
EBIT margin	21.2%	19.5%	(18.6%)	7.8%	8.3%
Net profit margin	19.2%	18.3%	(19.1%)	7.7%	8.2%
ROE	32.9%	21.0%	(31.0%)	11.9%	11.6%
ROA	24.7%	15.6%	(22.1%)	8.4%	8.4%
ROCE	29.6%	19.4%	(29.8%)	11.7%	11.6%
SG&A/Sales	66.2%	67.3%	75.7%	74.5%	74.9%
Net debt/equity	NM	NM	NM	NM	NM
P/E (x)	44.5	27.6	NM	34.0	27.8
P/BV (x)	NM	NM	4.6	3.6	2.9
EV/EBITDA (x)	45.3	29.8	23.2	17.0	14.7
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%
Sales/Assets (x)	1.3	0.9	1.2	1.1	1.0
Interest cover (x)	NM	NM	108.0	NM	NM
Operating leverage	-	77.6%	(311.7%)	(535.7%)	144.9%
Revenue y/y Growth	-	52.0%	90.2%	28.7%	18.8%
EBITDA y/y Growth	-	54.7%	35.9%	41.1%	19.8%
Tax rate	9.5%	6.1%	(2.7%)	1.0%	1.0%
Adj. Net Income y/y Growth	-	45.6%	(298.0%)	(151.8%)	27.2%
EPS y/y Growth	-	61.4%	(292.4%)	(142.2%)	22.3%
DPS y/y Growth	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Overweight

MRSH, MRSH US
Price (30 Sep 26):$170.73
▲**Price Target (Dec-27):$215.00**
Prior (Dec-27):$212.00

Insurance - Life & Nonlife

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)	2025A	2026E	2027E
Q1	3.06	3.29A	3.61
Q2	2.72	2.96A	3.29
Q3	1.85	1.96	2.19
Q4	2.12	2.22	2.43
FY	9.75	10.44	11.54

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	90	91	88	56	92
Growth	87	69	69	79	57
Momentum	91	66	47	15	23
Quality	16	17	14	8	36
Low Vol	7	3	1	7	1
ESGQ	47	22	12	24	36

Marsh & McLennan

Steady Execution at Attractive Valuation

We are Overweight on MRSH. Marsh operates the largest retail P&C (Marsh Risk) brokerage, the second largest reinsurance (Guy Carpenter/Marsh Re) brokerage, one of the largest HR consulting practices (Mercer/Marsh People and Investments), and a leading strategy consulting firm, Oliver Wyman/Marsh Management Consulting. Compared to other large brokers, MRSH has operated with a revenue-weighted but still balanced approach to overall earnings growth, with top-line growth (organic and M&A) contributing to about 70% of total dollar earnings growth over the past 10 years and consistent margin expansion contributing the remaining 30% (earnings have almost tripled over this period). Also, Marsh has operated with considerably less disruption to its business model, having had no significant divestitures or restructurings in the past decade. Given its large revenue base, Marsh has scale advantages over its smaller peers, and it has also invested in increasing operational efficiencies while selectively pruning its portfolio. However, the benefit of scale is being masked by its mix, whereby its fee-oriented consulting businesses (Mercer and Wyman primarily) operate at structurally lower margins compared to P&C brokerage (especially reinsurance where operating margins are higher than retail P&C). In addition, organic growth in Mercer has historically trailed the rest of Marsh, with some partial offset from Oliver Wyman, which has tended to grow the fastest among Marsh's business lines but with greater volatility from period to period. Overall, however, we continue to like MRSH because of its leading market position and consistent operating performance, and from a stock perspective, its attractive valuation. We think the full implementation of Thrive, which was launched in late 2025 and is meant to streamline Marsh's front office and generate $400 million of savings, could further sharpen MRSH's operating efficiency and help bridge its margin gap with higher-margin broker peers.

3Q26 Outlook

We are adjusting EPS forecasts (3Q26 from $1.95 to $1.96, 4Q26 from $2.21 to $2.22, 2027 from $11.39 to $11.54). Our updated model reflects (1) a higher stock price assumed for share buybacks, more than offset by (2) higher share repurchases, (3) a weaker USD, and (4) higher fiduciary investment income. Management expects 2026 organic growth to be consistent with ~4% in 2025 and our model assumes organic growth of 3.9% in 3Q26 and 4.0% in 2026. Marsh is guiding to $5.5 billion of capital deployment in 2026. Our model assumes dividends of ~$1.8 billion for 2026, implying M&A and buybacks of ~$3.7 billion, and we expect share repurchases of $750 million per quarter for the remainder of the year ($3.0 billion for 2026). To the extent that MRSH slows down M&A, there is likely to be upside to our buyback assumption. Outside of reported results, we expect investors to focus on (1) management's long-term margin outlook, (2) updates on Thrive, (3) the potential impact of AI, and (4) MRSH's expectations for capital deployment.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Table 31: 3Q26 and 2026 Key Financial Metrics: JPM vs. Consensus

$ in millions and per share

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2027E Cons.	diff.
Overall									
Adjusted EPS	$1.96	$1.97	-0.7%	$10.44	$10.45	0.0%	$11.54	$11.38	1.4%
Revenues	6,671.4	6,648.5	0.3%	28,604.3	28,554.2	0.2%	30,017.4	29,931.7	0.3%
Total revenue growth	5.0%	4.7%	36 bps	6.0%	5.8%	19 bps	4.9%	4.8%	12 bps
Organic growth	3.9%	3.9%	1 bps	4.0%	4.1%	(11) bps	3.9%	3.9%	(4) bps
Adjusted operating income	1,515.7	1,478.2	2.5%	7,768.9	7,552.7	2.9%	8,315.6	8,038.6	3.4%
Adjusted operating margin	22.7%	22.9%	(14) bps	27.2%	27.1%	10 bps	27.7%	27.7%	3 bps
Organic Growth by Segment									
Risk & Insurance	3.2%	3.2%	9 bps	3.2%	3.1%	2 bps	3.8%	3.6%	22 bps
Marsh Risk	4.0%	3.8%	17 bps	4.0%	3.9%	6 bps	4.0%	4.1%	(5) bps
Guy Carpenter	1.0%	1.9%	(91) bps	0.7%	1.2%	(53) bps	2.0%	2.3%	(29) bps
Consulting	4.9%	4.8%	18 bps	5.5%	5.4%	7 bps	4.0%	4.2%	(22) bps
Mercer	3.5%	3.5%	3 bps	4.2%	4.1%	11 bps	3.5%	3.6%	(15) bps
Marsh Management Consulting	7.5%	7.0%	50 bps	7.5%	7.8%	(35) bps	4.7%	4.8%	(1) bps
Risk and Insurance									
Revenues	4,105.2	4,067.6	0.9%	18,170.9	18,096.8	0.4%	19,125.3	18,987.2	0.7%
Organic growth	3.2%	3.2%	9 bps	3.2%	3.1%	2 bps	3.8%	3.6%	22 bps
Adjusted operating income	1,018.5	1,012.7	0.6%	5,823.1	5,782.8	0.7%	6,240.1	6,186.2	0.9%
Adjusted operating margin	24.8%	25.0%	(23) bps	32.0%	32.0%	2 bps	32.6%	32.7%	(9) bps
Consulting									
Revenues	2,587.2	2,590.7	-0.1%	10,508.4	10,517.8	-0.1%	10,972.2	11,005.0	-0.3%
Organic growth	4.9%	4.8%	18 bps	5.5%	5.4%	7 bps	4.0%	4.2%	(22) bps
Adjusted operating income	572.2	574.1	-0.3%	2,241.8	2,235.4	0.3%	2,376.4	2,377.0	0.0%
Adjusted operating margin	22.1%	22.3%	(15) bps	21.3%	21.4%	(2) bps	21.7%	21.7%	(5) bps
Share buybacks	750.0	640.9	17.0%	3,000.0	2,771.8	8.2%	1,900.0	2,030.5	-6.4%

Source: Company reports, Bloomberg Finance L.P. and J.P. Morgan estimates.

Table 32: 3Q26 and 2026 J.P. Morgan Model Forecasts

$ millions, except for share amounts

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Adjusted Operating Income by Segment												
Risk and Insurance Services	775	893	4,605	1,807	1,644	965	1,097	5,513	1,935	1,700	1,019	5,823
Consulting	478	484	1,832	491	479	545	550	2,065	552	533	572	2,242
Interest expense	(154)	(231)	(700)	(245)	(243)	(237)	(235)	(960)	(240)	(250)	(250)	(990)
Total Adjusted Income (after-tax)	**810**	**927**	**4,369**	**1,516**	**1,346**	**911**	**1,039**	**4,812**	**1,600**	**1,425**	**937**	**5,015**
Weighted average dilutive shares	496.0	496.0	496.2	495.0	495.0	493.7	490.0	493.7	486.0	482.0	478.2	480.2
Adjusted Operating EPS	**$1.63**	**$1.87**	**$8.80**	**$3.06**	**$2.72**	**$1.85**	**$2.12**	**$9.75**	**$3.29**	**$2.96**	**$1.96**	**$10.44**

Source: Company reports and J.P. Morgan estimates.

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J.P.Morgan

Table 33: 3Q26 and 2026 J.P. Morgan Organic Growth and Margin Forecasts

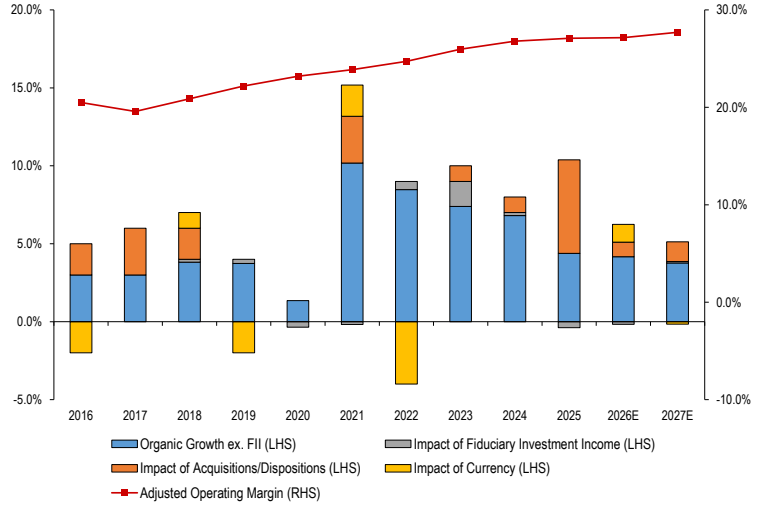
$ millions, except for share amounts

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Total revenue	5,697	6,067	24,458	7,061	6,974	6,351	6,595	26,981	7,597	7,404	6,671	28,604
% change (y-o-y)	5.9%	9.2%	7.6%	9.1%	12.1%	11.5%	8.7%	10.3%	7.6%	6.2%	5.0%	6.0%
Total expenses	4,589	4,925	18,641	5,056	5,145	5,181	5,376	20,758	5,843	5,505	5,445	22,338
% change (y-o-y)	4.6%	10.6%	6.8%	11.2%	12.4%	12.9%	9.2%	11.4%	15.6%	7.0%	5.1%	7.6%
MRSH organic growth	**5.0%**	**7.0%**	**7.0%**	**4.0%**	**4.0%**	**4.0%**	**4.0%**	**4.0%**	**4.0%**	**5.0%**	**3.9%**	**4.0%**
MRSH adjusted operating margin	**22.4%**	**23.1%**	**26.8%**	**31.8%**	**29.5%**	**22.7%**	**23.7%**	**27.1%**	**31.8%**	**29.3%**	**22.7%**	**27.2%**
RIS Organic growth %	**6.0%**	**8.0%**	**8.0%**	**4.0%**	**4.0%**	**3.0%**	**2.0%**	**3.6%**	**3.0%**	**3.0%**	**3.2%**	**3.2%**
Marsh	7.0%	8.0%	7.0%	5.0%	5.0%	4.0%	3.0%	4.2%	4.0%	4.0%	4.0%	4.0%
Guy Carpenter	7.0%	7.0%	8.0%	5.0%	5.0%	5.0%	5.0%	5.0%	2.0%	-2.0%	1.0%	0.7%
Impact of fiduciary income	-1.0%	0.0%	0.0%	-1.0%	-1.0%	-1.0%	-1.0%	-0.8%	-1.0%	0.0%	-0.4%	-0.3%
RIS Operating margin	21.2%	21.1%	28.4%	33.9%	31.2%	19.2%	20.9%	26.9%	26.0%	30.6%	19.1%	24.8%
RIS Adjusted operating margin	**24.7%**	**27.0%**	**32.0%**	**38.2%**	**35.5%**	**24.7%**	**27.6%**	**32.0%**	**38.3%**	**35.2%**	**24.8%**	**32.0%**
Consulting Organic growth %	**4.0%**	**6.0%**	**6.0%**	**4.0%**	**3.0%**	**5.0%**	**5.0%**	**4.4%**	**5.0%**	**8.0%**	**4.9%**	**5.5%**
Mercer	5.0%	5.0%	5.0%	4.0%	3.0%	3.0%	4.0%	3.5%	5.0%	5.0%	3.5%	4.2%
Oliver Wyman	1.0%	7.0%	6.0%	4.0%	3.0%	8.0%	8.0%	5.8%	6.0%	13.0%	7.5%	7.5%
Impact of fiduciary income	-1.0%	0.0%	0.0%	-1.0%	-1.0%	-1.0%	-1.0%	-0.8%	-1.0%	0.0%	-0.4%	-0.3%
Consulting Operating margin	20.4%	19.1%	19.4%	19.7%	19.2%	20.3%	18.3%	19.4%	20.5%	19.3%	20.0%	19.8%
Consulting Adjusted operating margin	**21.7%**	**20.4%**	**20.7%**	**21.2%**	**20.3%**	**22.1%**	**20.8%**	**21.1%**	**21.6%**	**20.5%**	**22.1%**	**21.3%**
Share buybacks ($ mil.)	300	-	900	300	300	400	1,000	2,000	750	750	750	3,000

Source: Company reports and J.P. Morgan estimates.

Figure 13: MRSH Revenue Growth and Margins

left axis refers to revenue growth in %, right axis reflects adjusted operating margin in %



Source: Company reports and J.P. Morgan estimates.
Note: In 2020, MRSH did not categorize JLT as an acquisition/disposition; total revenue growth for 2020 including JLT was 3%.

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J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	-8.0%	-11.4%	2.4%	-15.3%
Rel	-19.8%	-10.6%	0.4%	-29.7%

Company Data

Shares O/S (mn)	478
52-week range ($)	207.82-156.60
Market cap ($ mn)	81,608.94
Exchange rate	1.00
Free float (%)	99.9%
3M ADV (mn)	2.47
3M ADV ($ mn)	448.8
Volatility (90 Day)	27
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	8|16|1

Key Metrics (FYE Dec)

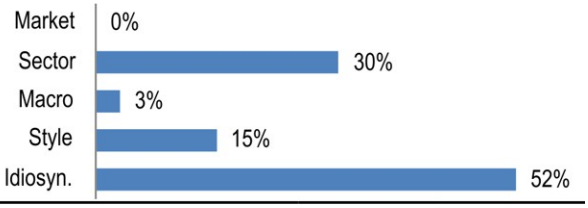
$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	26,981	28,604	30,017	31,447
Adj. EBITDA	7,361	7,365	8,378	9,179
Adj. EBIT	6,223	6,266	7,254	8,047
Adj. net income	4,812	5,015	5,423	5,874
Adj. EPS	9.75	10.44	11.54	12.67
BBG EPS	9.60	10.42	11.38	12.48
Cashflow from operations	5,292	5,026	5,770	6,358
FCFF	486	1,002	879	1,084
Margins and Growth				
Revenue Growth Y/Y (%)	10.3%	6.0%	4.9%	4.8%
EBITDA margin	27.3%	25.7%	27.9%	29.2%
EBITDA Growth Y/Y (%)	7.6%	0.1%	13.8%	9.6%
EBIT margin	23.1%	21.9%	24.2%	25.6%
Net margin	17.8%	17.5%	18.1%	18.7%
Adj. EPS growth	10.7%	7.2%	10.5%	9.8%
Ratios				
Adj. tax rate	23.6%	24.7%	25.0%	25.0%
Interest cover	8.1	7.7	8.7	9.5
Net debt/Equity	-	-	-	-
Net debt/EBITDA	-	-	-	-
ROCE	-	-	-	-
ROE	-	-	-	-
Valuation				
FCFF yield	0.6%	1.2%	1.1%	1.4%
Dividend yield	2.0%	2.2%	2.4%	2.7%
EV/Revenue	3.0	2.8	2.7	2.6
EV/EBITDA	11.1	11.1	9.7	8.9
Adj. P/E	17.5	16.3	14.8	13.5

Summary Investment Thesis and Valuation

Investment Thesis

We rate MRSH Overweight. Marsh has leading market positions in P&C and consulting (human resources and strategic), while historically operating with a balanced approach to earnings growth and substantially less disruption to its business model compared to the other large brokers. Marsh benefits from scale, but its margins are lower than most peers' because of its fee-oriented consulting businesses (Mercer/ Marsh People and Investments and Oliver Wyman/Marsh Management Consulting primarily). Overall, however, we like MRSH due to its leading market position and consistent operating performance. From a stock perspective, its valuation is attractive as it is trading below historical multiples. Over the medium term, we think the full implementation of Thrive could further sharpen MRSH's operating efficiency and help narrow its margin gap with peers.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.17	0.08
Sect: Financials	0.67	0.56
Ind: Insurance	0.81	0.80
Macro:		
Non-Energy Commodity	-0.33	-0.15
Credit Spread	-0.22	-0.11
US Dollar	-0.15	-0.09
Quant Styles:		
LowVol	0.50	0.49
Momentum	-0.54	-0.46
Size	-0.50	-0.35

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Marsh & McLennan *(Overweight; Price Target: $215.00)*

Investment Thesis
We rate MRSH Overweight. Marsh has leading market positions in P&C and consulting (human resources and strategic), while historically operating with a balanced approach to earnings growth and substantially less disruption to its business model compared to the other large brokers. Marsh benefits from scale, but its margins are lower than most peers' because of its fee-oriented consulting businesses (Mercer/Marsh People and Investments and Oliver Wyman/Marsh Management Consulting primarily). Overall, however, we like MRSH due to its leading market position and consistent operating performance. From a stock perspective, its valuation is attractive as it is trading below historical multiples. Over the medium term, we think the full implementation of Thrive could further sharpen MRSH's operating efficiency and help narrow its margin gap with peers.

Valuation
We are raising our December 2027 price target from $212 to $215 to reflect higher EPS estimates. MRSH currently trades at 16x our 2026E operating EPS, below its historical average of 20x. Our price target is based on a 17.0x multiple on 2028E EPS, in-line with our target multiple for AON. MRSH's TTM free cash flow margin is roughly 18% versus the average of 17% of public commercial brokers (Aon, MRSH, Willis Towers, Arthur J. Gallagher, and Brown & Brown).

Risks to Rating and Price Target
We feel that the major downside risks to our rating and price target are:

- **Organic growth decelerates more than assumed.** Economic disruption from the Middle East conflict and continued pricing pressure could pressure MRSH's organic growth. Being a global broker, Marsh is exposed to any differential impact across geographies that the conflict may produce. In a weak economy, growth from the more discretionary parts of MRSH's business could slow as well.
- **Margin expansion does not keep pace with peers'.** All major brokers have expense initiatives in place to help grow margins in a more challenging revenue environment. If the benefits of the Thrive program miss expectations, MRSH could trail the earnings growth trajectory of competitors.
- **Management pursues a large acquisition.** Although a deal could be accretive in the long term, it would likely lead to revenue dis-synergies and restructuring changes in the short-term. Also, a large transaction could disrupt ongoing business and would divert capital from share repurchases.

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J.P.Morgan

Marsh & McLennan: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E
Revenue	**24,458**	**26,981**	**28,604**	**30,017**
Expenses	(18,641)	(20,758)	(22,338)	(22,764)
Pre-tax operating income	**5,817**	**6,223**	**6,266**	**7,254**
Other net periodic benefit credit	268	194	**200**	**202**
Interest income	83	48	**35**	**33**
Interest expense	**(700)**	**(960)**	(990)	(1,000)
Investment income/expense	12	34	(9)	8
Income before income taxes	**5,480**	**5,539**	**5,502**	**6,497**
Income tax	(1,363)	(1,305)	(1,361)	(1,624)
Income from continuing operations	**4,117**	**4,234**	**4,141**	**4,873**
Discontinued operations, net of tax	0	0	**0**	**0**
Minority interest	(57)	(74)	(97)	(94)
Adjusted income	**4,369**	**4,812**	**5,015**	**5,423**
Operating EPS	**8.80**	**9.75**	**10.44**	**11.54**
Weighted average diluted shares	496	494	480	470

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**7,597A**	**7,404A**	**6,671**	**6,932**
Expenses	(5,843)A	(5,505)A	(5,445)	(5,546)
Pre-tax operating income	**1,754A**	**1,899A**	**1,227**	**1,386**
Other net periodic benefit credit	50A	50A	**50**	**50**
Interest income	11A	8A	**8**	**8**
Interest expense	**(240)A**	**(250)A**	(250)	(250)
Investment income/expense	6A	(5)A	(5)	(5)
Income before income taxes	**1,581A**	**1,702A**	**1,030**	**1,189**
Income tax	(395)A	(411)A	(257)	(297)
Income from continuing operations	**1,186A**	**1,291A**	**772**	**892**
Discontinued operations, net of tax	0A	0A	**0**	**0**
Minority interest	(40)A	(25)A	(15)	(17)
Adjusted income	**1,600A**	**1,425A**	**937**	**1,053**
Operating EPS	**3.29A**	**2.96A**	**1.96**	**2.22**
Weighted average diluted shares	486A	482A	478	474

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E
Shareholders' equity	-	-	-	-
Share Outstanding	491	485	471	464
Book value per share	27.57	31.58	31.09	33.54
Cash flow from operating activities	**4,302**	**5,292**	**5,026**	**5,770**
o/w Depreciation & amortization	369	361	359	360
o/w Changes in working capital	(1,075)	(518)	(734)	(771)
Cash flow from investing activities	**(8,821)**	**(845)**	**(761)**	**(1,048)**
o/w Capital expenditure	(316)	(291)	(278)	(288)
as % of sales	1.3%	1.1%	1.0%	1.0%
Cash flow from financing activities	**4,455**	**(4,634)**	**(3,121)**	**(3,842)**
o/w Dividends paid	(1,500)	(1,680)	(1,799)	(1,942)
o/w Net debt issued/(repaid)	6,530	(519)	1,009	0
Net change in cash	**(478)**	**486**	**1,002**	**879**
Adj. Free cash flow to firm	**(478)**	**486**	**1,002**	**879**
y/y Growth	(123.3%)	(201.7%)	106.2%	(12.2%)

Ratio Analysis	FY24A	FY25A	FY26E	FY27E
Operating margin	23.8%	23.1%	21.9%	24.2%
EBITDA margin	28.0%	27.3%	25.7%	27.9%
Adj. Inome margin	17.9%	17.8%	17.5%	18.1%
ROE	-	-	-	-
SG&A/Sales	-	-	-	-
Net debt/equity	-	-	-	-
P/E (x)	19.4	17.5	16.3	14.8
EV/EBITDA (x)	11.9	11.1	11.1	9.7
Dividend Yield	1.8%	2.0%	2.2%	2.4%
Interest cover (x)	11.1	8.1	7.7	8.7
Operating leverage	133.7%	67.7%	11.5%	319.1%
Revenue y/y Growth	7.6%	10.3%	6.0%	4.9%
EBITDA y/y Growth	9.7%	7.6%	0.1%	13.8%
Tax rate	24.9%	23.6%	24.7%	25.0%
Adj. Income y/y Growth	9.6%	10.1%	4.2%	8.2%
EPS y/y Growth	10.2%	10.7%	7.2%	10.5%
DPS y/y Growth	17.3%	12.5%	10.2%	10.0%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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J.P.Morgan

Neutral

NP, NP US
Price (30 Sep 26):$27.35
Price Target (Dec-27):$31.00

Insurance - Life & Nonlife

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.08	0.09A	0.11
Q2	0.11	0.15A	0.19
Q3	0.11	0.17	0.20
Q4	0.10	0.16	0.19
FY	0.41	0.56	0.69

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	100	98			
Growth	71				
Momentum	21	12			
Quality	7	12	99	99	97
Low Vol	95	96			

Neptune Insurance

Unique Franchise With Sizable Runway for Growth

We are Neutral. Neptune has grown to become the largest private residential flood provider in the US due to its differentiated technology platform, proven underwriting track record, and strong relationships with both distribution partners and capital providers. In addition, its strong organic growth, above-average profitability, healthy free cash flow conversion, and capital return potential set NP's financial profile apart from its peers. In the near term, a more benign Atlantic hurricane season and a sluggish housing market are headwinds for sales, but we would expect some offset from Neptune's efforts to make its agency force more effective (Atlas+, customization via individual user accounts), as well as incremental customer demand from areas likely to be affected by El Niño-related flooding. Overall, regulatory changes and disruption at the NFIP make us optimistic about NP's growth prospects despite the potential for greater competition in flood insurance over time. However, we think generating sustained growth outside the more immediate NFIP opportunity will be more challenging, and the stock's valuation already has significant credit for future growth.

3Q26 Outlook

No change to EPS estimates (3Q26 at $0.17, 4Q26 at $0.16, 2027 at $0.69). We expect NP to report strong growth (~30%) and EBITDA margins (~62%) in 3Q26, continuing the momentum from 2Q26. Aside from reported results, we expect investors to focus on commentary around (1) new distribution partners and capital providers, (2) updates on the NFIP opportunity, and (3) updates on new products.

Table 34: 3Q26 and 2026 Key Financial Metrics: JPM vs. Consensus

$ in millions and per share

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2027E Cons.	diff.
Overall									
Adjusted EPS	$0.17	$0.16	4.3%	$0.56	$0.55	2.0%	$0.69	$0.67	2.2%
Revenues	$57.5	$56.4	1.9%	$205.9	$203.0	1.4%	$241.0	$237.3	1.6%
% change (y-o-y)	29.6%	27.2%	245 bps	29.1%	27.2%	183 bps	17.0%	16.9%	16 bps
Adjusted net income	$24.1	$22.9	5.4%	$82.9	$74.1	11.8%	$101.3	$90.9	11.5%
% margin	41.9%	40.6%	137 bps	40.2%	36.5%	373 bps	42.0%	38.3%	375 bps
% change (y-o-y)	50.7%	43.0%	769 bps	45.6%	30.2%	1,535 bps	78.0%	59.6%	1,840 bps
Adjusted EBITDA	$35.4	$34.3	3.0%	$124.9	$122.5	2.0%	$147.0	$145.6	1.0%
% margin	61.5%	60.8%	67 bps	60.7%	60.3%	31 bps	61.0%	61.4%	(37) bps
% change (y-o-y)	32.4%	28.5%	391 bps	31.5%	28.9%	252 bps	54.7%	53.3%	148 bps

Source: Company reports, Bloomberg Finance L.P. and J.P. Morgan estimates.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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J.P.Morgan

Table 35: 3Q26 and 2026 J.P. Morgan Model Forecasts

$ in millions and per share

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Overall P&L												
Commission income	25.5	24.1	90.1	22.7	32.1	33.9	33.3	122.0	29.0	42.5	44.0	157.8
Fee income	8.3	7.4	29.2	6.6	10.0	10.4	10.4	37.5	8.8	13.3	13.5	48.1
Total revenues	**33.8**	**31.5**	**119.3**	**29.4**	**42.1**	**44.4**	**43.8**	**159.6**	**37.8**	**55.9**	**57.5**	**205.9**
% total revenue growth			40.6%	36.1%	29.8%	31.2%	38.9%	33.7%	-10.2%	32.8%	29.6%	29.1%
% commission income growth			40.0%	40.1%	32.4%	32.7%	38.0%	35.4%	-9.4%	32.7%	29.7%	29.4%
% fee income growth			42.3%	24.0%	22.0%	26.3%	41.8%	28.6%	-12.4%	33.4%	29.2%	28.0%
% commission in total revenues			75.5%	77.4%	76.2%	76.4%	76.1%	76.5%	76.8%	76.1%	76.5%	76.7%
Agent commissions	(10.0)	(9.1)	(35.3)	(8.9)	(12.7)	(13.8)	(13.5)	(49.1)	(11.4)	(16.5)	(17.3)	(61.5)
Compensation ex. stock comp	(1.2)	(1.0)	(4.5)	(1.3)	(1.4)	(1.7)	(1.1)	(5.5)	(1.5)	(1.5)	(1.8)	(5.8)
G&A	(1.9)	(2.1)	(7.8)	(2.0)	(2.7)	(2.1)	(3.3)	(10.0)	(3.6)	(3.5)	(3.1)	(14.0)
Other one-time costs	0.1	0.0	0.3	(0.0)	-	-	-	0.0	0.2	0.0	-	0.2
Operating expenses	**(13.0)**	**(12.2)**	**(47.2)**	**(12.2)**	**(16.8)**	**(17.6)**	**(17.9)**	**(64.6)**	**(16.2)**	**(21.4)**	**(22.1)**	**(81.0)**
Adjusted EBITDA	**20.8**	**19.3**	**72.1**	**17.1**	**25.2**	**26.7**	**25.9**	**95.0**	**21.6**	**34.5**	**35.4**	**124.9**
% margin	61.4%	61.2%	60.4%	58.3%	60.0%	60.2%	59.2%	59.5%	57.1%	61.7%	61.5%	60.7%
Stock compensation	(0.1)	(0.1)	(0.3)	(0.1)	(0.1)	(0.1)	(11.1)	(11.4)	(6.9)	(7.0)	(6.9)	(27.7)
Net interest expense	(3.3)	(3.1)	(16.6)	(2.2)	(5.6)	(5.2)	(4.2)	(17.3)	(3.4)	(3.4)	(3.2)	(13.1)
D&A	(0.8)	(0.8)	(3.0)	(0.9)	(0.9)	(0.9)	(1.0)	(3.7)	(1.0)	(1.0)	(1.1)	(4.2)
Other	(0.1)	(0.0)	(5.8)	(0.5)	(2.9)	(5.0)	(0.5)	(8.9)	(0.2)	0.1	-	(0.1)
Taxes	(4.2)	(3.9)	(11.8)	(3.5)	(4.0)	(4.0)	(4.8)	(16.2)	(2.7)	(7.4)	(6.0)	(21.8)
GAAP income	**12.3**	**11.4**	**34.6**	**9.9**	**11.6**	**11.5**	**4.3**	**37.4**	**7.3**	**15.8**	**18.1**	**58.0**
Add: Non-GAAP adjustments	0.5	0.8	6.2	1.1	2.9	4.5	11.0	19.5	6.1	6.8	6.0	24.8
Adjusted income	**12.8**	**12.3**	**40.7**	**11.0**	**14.6**	**16.0**	**15.3**	**56.9**	**13.4**	**22.6**	**24.1**	**82.9**
% margin	37.9%	39.0%	34.2%	37.6%	34.6%	36.1%	35.0%	35.7%	35.5%	40.5%	41.9%	40.2%
Adjusted EPS	**$0.09**	**$0.09**	**$0.30**	**$0.08**	**$0.11**	**$0.11**	**$0.10**	**$0.41**	**$0.09**	**$0.15**	**$0.17**	**$0.56**
Memo:												
Written premiums ($ thousands)	77,641	70,865	273,903	68,751	96,792	101,461	100,305	367,309	86,574	126,882	130,885	464,706
% growth			35.9%	36.0%	29.3%	30.7%	41.5%	34.1%	-10.6%	31.1%	29.0%	26.5%
Y/y Chg in premiums			72,342	18,197	21,949	23,820	29,440	93,406	(10,218)	30,090	29,424	97,397
Premiums In-Force ($ thousands)	257,496	277,595	277,595	295,225	317,960	341,877	370,210	370,210	388,745	418,983	448,637	468,878
Y/y % Chg			36.0%	36.3%	34.3%	32.8%	33.4%	33.4%	22.3%	31.8%	31.2%	26.7%
Q/q Chg in premiums	20,795	20,099	73,477	17,630	-	23,917	28,333	69,880	18,535	30,238	29,654	98,668
Policies in force	204,841	220,964	220,964	230,627	244,952	260,200	280,200	280,200	295,029	316,106	335,747	344,971
Y/y % Chg			32.5%	32.4%	30.1%	27.0%	26.8%	26.8%	20.4%	29.0%	29.0%	23.1%
Q/q Chg in policies	16,499	16,123	54,225	9,663	14,325	15,248	20,000	59,236	14,829	21,077	19,641	64,771
Y/y % Chg			76.4%	30.7%	0.8%	-7.6%	24.0%	9.2%	3.5%	47.1%	28.8%	9.3%

Source: Company reports and J.P. Morgan estimates.

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J.P.Morgan

Table 36: 3Q26 and 2026 J.P. Morgan Key Financial Forecasts

$ in millions

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Revenue drivers												
Commission income	**25.5**	**24.1**	**90.1**	**22.7**	**32.1**	**33.9**	**33.3**	**122.0**	**29.0**	**42.5**	**44.0**	**157.8**
% growth			40.0%	40.1%	32.4%	32.7%	38.0%	35.4%	27.9%	32.7%	29.7%	29.4%
% of written premiums	32.9%	34.1%	32.9%	33.0%	33.1%	33.4%	33.2%	33.2%	33.5%	33.5%	33.6%	34.0%
Fee income	**8.3**	**7.4**	**29.2**	**6.6**	**10.0**	**10.4**	**10.4**	**37.5**	**8.8**	**13.3**	**13.5**	**48.1**
% growth			42.3%	24.0%	22.0%	26.3%	41.8%	28.6%	31.8%	33.4%	29.2%	28.0%
% of written premiums	10.7%	10.4%	10.7%	9.7%	10.3%	10.3%	10.4%	10.2%	10.1%	10.5%	10.3%	10.3%
Expense drivers												
Agent commissions	**10.0**	**9.1**	**35.3**	**8.9**	**12.7**	**13.8**	**13.5**	**49.1**	**11.4**	**16.5**	**17.3**	**61.5**
% growth			35.8%	37.3%	32.0%	38.2%	48.1%	38.9%	27.0%	29.7%	24.7%	25.3%
% of written premiums	12.9%	12.9%	12.9%	13.0%	13.2%	13.6%	13.5%	13.4%	13.1%	13.0%	13.2%	13.2%
% of commission income	39.2%	37.9%	39.2%	39.4%	39.7%	40.8%	40.7%	40.2%	39.1%	38.9%	39.2%	39.0%
% of total revenues	**29.6%**	**29.0%**	**29.6%**	**30.5%**	**30.3%**	**31.2%**	**31.0%**	**30.8%**	**30.0%**	**29.6%**	**30.0%**	**29.9%**
Compensation ex. stock comp	**1.2**	**1.0**	**4.5**	**1.3**	**1.4**	**1.7**	**1.1**	**5.5**	**1.5**	**1.5**	**1.8**	**5.8**
% growth			3.5%	18.2%	23.6%	37.4%	8.1%	22.6%	14.1%	3.4%	5.4%	7.0%
% of total revenues	**3.6%**	**3.1%**	**3.7%**	**4.5%**	**3.4%**	**3.7%**	**2.4%**	**3.4%**	**4.0%**	**2.6%**	**3.0%**	**2.8%**
G&A	**1.9**	**2.1**	**7.8**	**2.0**	**2.7**	**2.1**	**3.3**	**10.0**	**3.6**	**3.5**	**3.1**	**14.0**
% growth			12.5%	21.0%	26.8%	10.7%	55.1%	29.2%	81.2%	30.2%	45.8%	39.2%
% of total revenues	**5.7%**	**6.7%**	**6.5%**	**6.7%**	**6.3%**	**4.8%**	**7.4%**	**6.3%**	**9.5%**	**6.2%**	**5.4%**	**6.8%**

Source: Company reports and J.P. Morgan estimates.

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J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	-6.2%	-19.2%	-13.2%	-
Rel	-18.9%	-13.3%	-5.7%	-

Company Data

Shares O/S (mn)	145
52-week range ($)	35.15-14.78
Market cap ($ mn)	3,958.19
Exchange rate	1.00
Free float (%)	43.7%
3M ADV (mn)	0.62
3M ADV ($ mn)	19.6
Volatility (90 Day)	51
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	8|5|0

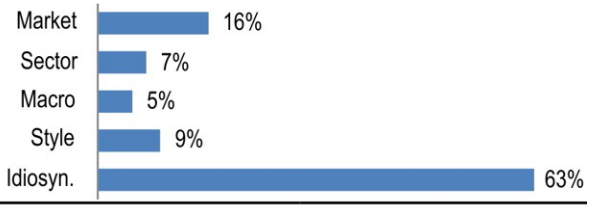
Key Metrics (FYE Dec)

in	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Investment banking	-	-	-	-
Brokerage commissions	160	206	241	277
Asset management income	-	-	-	-
Trading income	-	-	-	-
Total non-interest income	-	-	-	-
Net interest income	-	-	-	-
Net revenue	160	206	241	277
Operating expense	-	-	-	-
Adj. pre provison profit	71	93	115	138
Adj. PBT	78	112	135	160
Adj. net income	57	83	101	120
Adj. EPS	0.41	0.56	0.69	0.82
BBG EPS	0.38	0.55	0.67	0.81
DPS	-	-	-	-
BVPS	140.04	148.41	147.21	146.36
Total Assets	-	-	-	-
Margins and Growth				
Net margin	-	-	-	-
Adj. EPS growth	37.7%	37.4%	23.3%	18.9%
Ratios				
Adj. tax rate	26.7%	25.9%	25.0%	25.0%
Cost to income ratio	-	-	-	-
Dividend payout	-	-	-	-
Commission / Avg. asset	-	-	-	-
ROA	-	-	-	-
Valuation				
Dividend yield	-	-	-	-
Adj. P/E	67.3	49.0	39.7	33.4

Summary Investment Thesis and Valuation

We are Neutral. Neptune has grown to become the largest private residential flood provider in the US due to its differentiated technology platform, proven underwriting track record, and strong relationships with both distribution partners and capital providers. In addition, its strong organic growth, above-average profitability, healthy free cash flow conversion, and capital return potential set NP's financial profile apart from its peers. In the near term, a more benign Atlantic hurricane season and a sluggish housing market are headwinds for sales, but we would expect some offset from Neptune's efforts to make its agency force more effective (Atlas+, customization via individual user accounts), as well as incremental customer demand from areas likely to be affected by El Niño-related flooding. Overall, regulatory changes and disruption at the NFIP make us optimistic about NP's growth prospects despite the potential for greater competition in flood insurance over time. However, we think generating sustained growth outside the more immediate NFIP opportunity will be more challenging, and valuation already has significant credit for future growth.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.47	0.39
Sect: Financials	0.11	0.29
Ind: Insurance	0.10	0.23
Macro:		
US 10yr yield	0.09	0.14
US 10yr Breakeven	-0.16	-0.11
US Dollar	0.19	0.09
Quant Styles:		
Size	-0.13	-0.18
Growth	0.24	0.14
Momentum	-0.05	-0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Neptune Insurance *(Neutral; Price Target: $31.00)*

Investment Thesis
We are Neutral. Neptune has grown to become the largest private residential flood provider in the US due to its differentiated technology platform, proven underwriting track record, and strong relationships with both distribution partners and capital providers. In addition, its strong organic growth, above-average profitability, healthy free cash flow conversion, and capital return potential set NP's financial profile apart from its peers. In the near term, a more benign Atlantic hurricane season and a sluggish housing market are headwinds for sales, but we would expect some offset from Neptune's efforts to make its agency force more effective (Atlas+, customization via individual user accounts), as well as incremental customer demand from areas likely to be affected by El Niño-related flooding. Overall, regulatory changes and disruption at the NFIP make us optimistic about NP's growth prospects despite the potential for greater competition in flood insurance over time. However, we think generating sustained growth outside the more immediate NFIP opportunity will be more challenging, and the stock's valuation already has significant credit for future growth.

Valuation
We are maintaining our December 2027 price target of $31. Neptune trades at 27x 2027E EBITDA and 40x 2027E earnings compared to 19x and 23x for TWFG, 11x and 17x for GSHD, 11x and 14x for large-cap P&C brokers, and 15x and 20x for vertical software companies. Our price target, which is based on a sum-of-the-parts valuation of Neptune's current book and prospective business from NFIP policies moving to the private market, implies multiples of 32x 2027E EBITDA and 44x 2027E earnings. We value Neptune's base business at ~$3.4 billion or ~$23 per share, which is based on 21x 2028E EBITDA and the NFIP opportunity at ~$1 billion or ~$8 per share, which assumes accrued value from the Risk Rating 2.0 glide path over the next 10-15 years (on a discounted basis). We are not giving Neptune explicit credit for business that it might generate outside the NFIP opportunity (customers who have never had flood insurance) or potential acceleration in the transition of NFIP policies to the private market.

Risks to Rating and Price Target
The major upside risks to our rating and price target are:

- **The government accelerates NFIP reform.** There are ongoing discussions in the government to transfer flood risk to the private market at a faster pace than the current glide path under Risk Rating 2.0; for example, the NFIP could be ordered to stop selling new policies. An acceleration would benefit Neptune since it could capture value sooner than later, and there would be less time for potential competitors to catch up.
- **NP increases flood penetration in lower-risk geographies or successfully grows in new lines of business.** Although the NFIP migration is a tangible, large-scale opportunity for Neptune, growing flood insurance in lower-risk areas or launching new product lines (indemnity earthquake, international flood) are potentially more significant opportunities in terms of absolute dollars.
- **Neptune increases distribution breadth and penetration.** Since flood insurance is voluntary, we think market growth will depend more on agents selling the product rather than consumers buying it directly. Neptune has several large partners today whose sales contribution is not commensurate with their size. If NP is successful in increasing penetration with these partners or adding new ones, investors likely would gain more

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confidence in its ability to grow.

- **The housing market recovers, or the frequency and severity of flooding events pick up.** Sales of flood insurance have a positive direct relationship with housing market transactions and the occurrence of a flooding event. If the housing market recovers, or 2026 and subsequent years have normal or above-average flooding events, Neptune could see an acceleration in sales.

The major downside risks to our rating and price target are:

- **NFIP opportunity is less meaningful than expected.** A significant portion of the value we assign to Neptune is based on its ability to capture an outsized share of flood business moving from the NFIP into the private market. Changes in government regulation, higher than expected lapses in the NFIP block, or competition from other private providers could reduce the value that accrues to NP.
- **NP is unable to demonstrate a realistic trajectory toward the NFIP opportunity.** Although not explicitly in our model, the transfer of NFIP business to private insurers including Neptune would imply a meaningful ramp up in premiums and revenues over the next several years. If Neptune does not demonstrate this upward trajectory, there could be skepticism about its long-term growth prospects.
- **Viable competition emerges in the flood insurance market.** In our view, Neptune has a significant but not insurmountable competitive moat, and we think Neptune's most viable competitor would be an MGA with similar technology, not a traditional broker or insurance company. If more competition emerges as the NFIP opportunity emerges, NP's ability to capture an outsized share of the market would be at risk.
- **Neptune's underwriting track record in flood deteriorates.** NP is dependent on third-party capital to issue flood insurance, and since it only writes flood, there are no other lines of business it can rely on if flood underperforms. Although not an immediate risk given the company's strong track record, consistent underperformance could result in lower commission rates and less capacity from insurance partners.

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J.P.Morgan

Neptune Insurance: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Net Revenue	**119**	**160**	**206**	**241**	**277**
o/w Commission and fee income	-	-	-	-	-
o/w Net trading income	-	-	-	-	-
o/w Net interest income	-	-	-	-	-
SG&A	(40)	(66)	(95)	(106)	(118)
o/w Compensation expense	(35)	(49)	(61)	(72)	(84)
o/w Non-compensation expense	(5)	(17)	(34)	(34)	(34)
Adj. Operating income	**68**	**71**	**93**	**115**	**138**
Adj. PBT	**51**	**78**	**112**	**135**	**160**
Tax	(12)	(16)	(22)	(26)	(32)
Minority Interest	-	-	-	-	-
Adj. Net Income	**41**	**57**	**83**	**101**	**120**
Reported EPS	0.25	0.27	0.39	0.52	0.65
Adj. EPS	**0.30**	**0.41**	**0.56**	**0.69**	**0.82**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	138	140	148	147	146

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue y/y growth	40.6%	33.7%	29.1%	17.0%	15.0%
Adj. Net Income y/y growth	127.4%	39.7%	45.6%	22.3%	18.2%
EPS y/y growth	127.4%	37.7%	37.4%	23.3%	18.9%
DPS y/y growth	-	-	-	-	-
Fee income / Avg assets	-	-	-	-	-
Interest income / Avg assets	-	-	-	-	-
Net trading income / Avg assets	-	-	-	-	-

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	-	-	-	-	-
Accounts receivable	-	-	-	-	-
Other current assets	-	-	-	-	-
Current assets	**-**	**-**	**-**	**-**	**-**
PP&E	-	-	-	-	-
Other non current assets	-	-	-	-	-
Total assets	**-**	**-**	**-**	**-**	**-**
Short term borrowings	-	-	-	-	-
Payables	-	-	-	-	-
Other short term liabilities	-	-	-	-	-
Current liabilities	**-**	**-**	**-**	**-**	**-**
Long-term debt	-	-	-	-	-
Other long term liabilities	-	-	-	-	-
Total liabilities	**-**	**-**	**-**	**-**	**-**
Shareholders' equity	-	-	-	-	-
Minority interests	-	-	-	-	-
Total liabilities & equity	**-**	**-**	**-**	**-**	**-**
BVPS	**138.04**	**140.04**	**148.41**	**147.21**	**146.36**
y/y growth	*0.0%*	*1.5%*	*6.0%*	*(0.8%)*	*(0.6%)*
Net debt/(cash)	-	-	-	-	-

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Net profit margin	-	-	-	-	-
ROE	-	-	-	-	-
ROA	-	-	-	-	-
ROCE	-	-	-	-	-
Net debt/equity	-	-	-	-	-
Tax rate	19.4%	26.7%	25.9%	25.0%	25.0%
P/E (x)	92.6	67.3	49.0	39.7	33.4
P/BV (x)	0.2	0.2	0.2	0.2	0.2
Dividend yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Underweight

RYAN, RYAN US
Price (30 Sep 26):$37.00
Price Target (Dec-27):$45.00

Insurance - Life & Nonlife

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.39	0.47A	0.57
Q2	0.66	0.74A	0.77
Q3	0.47	0.51	0.60
Q4	0.45	0.49	0.57
FY	1.96	2.20	2.50

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	93	85	79	93	98
Growth	51	19	15	8	
Momentum	30	59	87	15	
Quality	32	35	88	76	6
Low Vol	72	50	20	56	
ESGQ	92	-	-	-	-

Ryan Specialty Group

Pricing Environment in E&S a Headwind

We are Underweight. RYAN is a top 2 insurance wholesaler with an attached delegated underwriting business (contract binding and MGA) that has grown to be ~45% of the business in recent years, mainly through acquisitions including US Assure and Velocity Risk. On a stand-alone basis, Ryan's MGA business ranks as one of the largest globally. Longer term, we expect RYAN to grow faster than retail brokerage, driven by faster through the cycle growth in E&S (versus admitted business) and ongoing market share consolidation through wholesale panel rationalization. Also, M&A will likely be a significant growth driver for Ryan in its MGA business, where market share is much less consolidated compared to open wholesaling, and where there is a long-term opportunity for margin upside given that MGA businesses are structurally more profitable. Having said this, we remain Underweight on Ryan, since in a softening P&C environment marked by meaningful price changes in certain E&S lines such as high-hazard property, we think it has more scope for downside risk compared to other brokers even as we expect Ryan's overall organic growth to remain above retail peers. Furthermore, there is evidence that price competition is starting to seep through casualty lines as well, and while delegated underwriting is a distinct business from wholesaling, MGA business is heavily skewed to E&S. From a profitability standpoint, we think margins will decline through the remainder of 2026 before beginning to recover in 2027 as expense savings from Empower start trickling through.

3Q26 Outlook

We are reducing EPS estimates (3Q26 from $0.52 to $0.51, 4Q26 from $0.50 to $0.49, 2027 from $2.52 to $2.50). Our updated model reflects (1) a modest reduction in our EBITDA margin assumptions, partly offset by (2) a weaker US$, (3) higher yields on fiduciary assets, and (4) slightly higher accretion from share buybacks due to a lower stock price. We are assuming organic growth of 5.1% in 3Q26, 7.4% in 2026 (RYAN is guiding to the "high end" of mid-single-digits for 2026), and 6.9% in 2027. On EBITDA margins, we are assuming an 85 bps decline in 3Q26, from 31.2% in 3Q25, and a 54 bps decline in 2026, from 31.7% in 2025 (RYAN is guiding to a 50-100 bps decline for full year 2026). Besides reported results, investors will likely be interested in RYAN's comments on (1) E&S pricing and submission flows, (2) trends in major lines such as property and casualty, (3) management's outlook for margins, (4) updates on the Empower restructuring program, (5) expectations for capital deployment, and (6) growth opportunities in E&S and delegated underwriting.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Table 37: 3Q26 and 2026 Key Financial Metrics: JPM vs. Consensus

$ in millions and per share

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2027E Cons.	diff.
Overall									
Adjusted EPS	$0.51	$0.48	5.1%	$2.20	$2.16	2.0%	$2.50	$2.41	3.7%
Revenues	796.8	789.9	0.9%	3,321.7	3,287.9	1.0%	3,593.4	3,523.4	2.0%
Organic growth	5.1%	4.3%	70 bps	7.4%	6.5%	83 bps	6.9%	5.8%	107 bps
Adjusted EBITDAC	241.9	229.6	5.3%	1,034.6	1,009.4	2.5%	1,122.4	1,080.4	3.9%
% margin	30.4%	29.1%	129 bps	31.1%	30.7%	45 bps	31.2%	30.7%	57 bps
Adjusted net income	134.8	129.1	4.4%	592.9	583.5	1.6%	653.1	634.5	2.9%
% margin	16.9%	16.3%	58 bps	17.8%	17.7%	10 bps	18.2%	18.0%	17 bps

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

Table 38: 3Q26 and 2026 J.P. Morgan Model Forecasts

$ in millions, per share, and %

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Segments												
Wholesale Brokerage	346.7	374.8	1,489.1	360.8	477.2	376.8	385.7	1,600.4	377.8	498.8		
Binding Authorities	76.5	74.6	320.4	102.0	94.5	89.6	84.0	370.2	110.0	100.2		
Underwriting Management	165.0	200.0	646.2	213.4	269.2	273.1	268.3	1,024.0	295.1	303.8		
Total Revenues	**604.7**	**663.5**	**2,515.7**	**690.2**	**855.2**	**754.6**	**751.2**	**3,051.1**	**795.2**	**916.6**	**796.8**	**3,321.7**
% growth	20.5%	24.5%	21.1%	25.0%	23.0%	24.8%	13.2%	21.3%	15.2%	7.2%	5.6%	8.9%
% organic growth	**11.8%**	**11.0%**	**12.7%**	**12.9%**	**7.2%**	**15.0%**	**6.6%**	**10.1%**	**11.8%**	**6.6%**	**5.1%**	**7.4%**
Adjusted EBITDAC	**190.3**	**216.0**	**811.2**	**200.5**	**308.4**	**235.5**	**222.3**	**966.7**	**232.0**	**326.9**	**241.9**	**1,034.6**
EBITDAC margin %	18.2%	23.7%	22.9%	23.1%	31.3%	26.8%	24.9%	26.8%	24.8%	29.8%	24.5%	25.7%
Adjusted EBITDAC margin %	**31.5%**	**32.6%**	**32.2%**	**29.1%**	**36.1%**	**31.2%**	**29.6%**	**31.7%**	**29.2%**	**35.7%**	**30.4%**	**31.1%**
Adjusted after-tax income	**113.6**	**123.3**	**492.9**	**107.8**	**184.7**	**131.7**	**124.0**	**548.2**	**130.7**	**198.7**	**134.8**	**592.9**
GAAP after-tax i. margin %	4.7%	6.4%	9.1%	-0.6%	14.6%	8.3%	4.2%	7.0%	5.1%	11.8%	6.3%	7.3%
Adj. after-tax inc. margin %	**18.8%**	**18.6%**	**19.6%**	**15.6%**	**21.6%**	**17.5%**	**16.5%**	**18.0%**	**16.4%**	**21.7%**	**16.9%**	**17.8%**
Adjusted Operating EPS	**$0.41**	**$0.45**	**$1.79**	**$0.39**	**$0.66**	**$0.47**	**$0.45**	**$1.96**	**$0.47**	**$0.74**	**$0.51**	**$2.20**

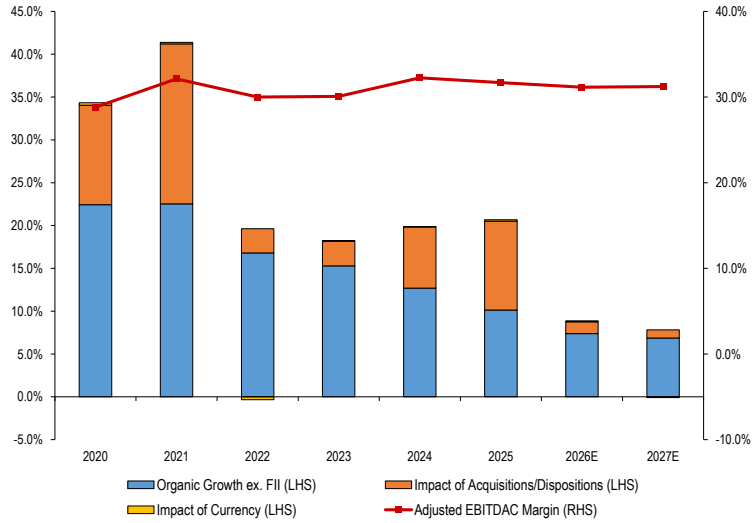
Source: Company reports and J.P. Morgan estimates.

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Figure 14: RYAN Core Revenue Growth and Margins

left axis refers to core revenue growth in %, right axis reflects adjusted margin in %



Source: Company reports and J.P. Morgan estimates.
Note: Core revenue growth does not include the impact of fiduciary investment income or contingent commissions.

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Price Performance



	YTD	1m	3m	12m
Abs	-28.3%	-15.7%	-2.0%	-34.4%
Rel	-40.1%	-14.9%	-4.0%	-48.7%

Company Data

Shares O/S (mn)	256
52-week range ($)	59.19-29.28
Market cap ($ mn)	9,455.07
Exchange rate	1.00
Free float (%)	86.9%
3M ADV (mn)	2.00
3M ADV ($ mn)	82.7
Volatility (90 Day)	44
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	9|9|2

Key Metrics (FYE Dec)

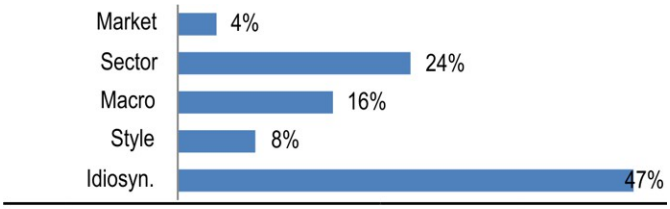
in	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Investment banking	-	-	-	-
Brokerage commissions	2,995	3,268	3,531	3,823
Asset management income	-	-	-	-
Trading income	-	-	-	-
Total non-interest income	-	-	-	-
Net interest income	57	53	62	68
Net revenue	3,051	3,322	3,593	3,891
Operating expense	-	-	-	-
Adj. pre provison profit	494	518	638	723
Adj. PBT	293	305	406	491
Adj. net income	548	593	653	743
Adj. EPS	1.96	2.20	2.50	2.84
BBG EPS	2.01	2.16	2.41	2.71
DPS	0.48	0.52	0.56	0.60
BVPS	5.68	6.59	7.21	7.88
Total Assets	1,584	1,773	1,881	2,064
Margins and Growth				
Net margin	-	-	-	-
Adj. EPS growth	10.1%	12.2%	13.5%	13.4%
Ratios				
Adj. tax rate	27.0%	20.3%	26.0%	26.0%
Cost to income ratio	-	-	-	-
Dividend payout	206.6%	163.0%	171.9%	147.7%
Commission / Avg. asset	-	-	-	-
ROA	33.6%	35.3%	35.7%	37.7%
Valuation				
Dividend yield	1.3%	1.4%	1.5%	1.6%
Adj. P/E	18.8	16.8	14.8	13.0

Summary Investment Thesis and Valuation

Investment Thesis

We are Underweight. Ryan has leading positions in the wholesale brokerage and delegated underwriting markets, and we expect it to grow faster than retail brokerage longer term with potential for margin upside as MGA revenues become a larger share of its mix. However, we are Underweight because in a softening P&C environment marked by meaningful price changes in certain E&S lines such as high hazard property, RYAN has more scope for downside risk compared to other brokers, even as we expect Ryan's overall organic growth to remain above retail peers. From a profitability standpoint, we expect margins to continue to compress in 2026 before beginning to recover in 2027 as expense savings from Empower start trickling through.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.35	0.27
Sect: Financials	0.71	0.54
Ind: Insurance	0.69	0.57
Macro:		
Non-Energy Commodity	-0.26	-0.28
Credit Spread	-0.41	-0.18
US Dollar	0.08	0.15
Quant Styles:		
Size	-0.48	-0.40
LowVol	0.35	0.36
Momentum	-0.45	-0.35

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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J.P.Morgan

Investment Thesis, Valuation and Risks

Ryan Specialty Group *(Underweight; Price Target: $45.00)*

Investment Thesis
We are Underweight. Ryan has leading positions in the wholesale brokerage and delegated underwriting markets, and we expect it to grow faster than retail brokerage longer term with potential for margin upside as MGA revenues become a larger share of its mix. However, we are Underweight because in a softening P&C environment marked by meaningful price changes in certain E&S lines such as high hazard property, RYAN has more scope for downside risk compared to other brokers, even as we expect Ryan's overall organic growth to remain above retail peers. From a profitability standpoint, we expect margins to continue to compress in 2026 before beginning to recover in 2027 as expense savings from Empower start trickling through.

Valuation
We are maintaining our December 2027 price target of $45. Our target is based on a 16.0x multiple on 2028E adjusted EPS, below the multiples we assume for MRSH and AON (17.0x). While we expect RYAN's growth to remain slightly above peer levels, we feel that there is greater downside risk in the current market, which we believe justifies our price target. RYAN trades at 17x our 2026E adjusted EPS forecast, compared to 13-17x for large brokerage peers.

Risks to Rating and Price Target
In our opinion, the key risks to our rating and price target are:

- **E&S prices and terms/conditions improve.** The P&C market is now in a transitioning or softening phase after several years of price increases. Although we expect this trend to persist, external changes such as inflationary impacts from the Iran conflict, an active storm season, or the pullback of MGA capacity could arrest the decline in prices, or result in prices beginning to increase again.
- **Disruption in the MGA market creates an opportunity for Ryan to grow faster than otherwise.** MGAs have been the subject of significant consolidation activity in recent years, mostly from private equity funds, and ample capacity in the midst of a hard market has allowed them to grow. Disruption in the market, whether from private equity buyers showing less appetite for deals, or capacity withdrawing from lower quality MGAs, could move more business to established platforms such as Ryan.
- **Ryan's margins improve materially.** We expect RYAN's margins to decline in 2026 before improving modestly in subsequent years. Margins could exceed our expectations if RYAN's higher-margin businesses (MGU and binding authority) grow faster than expected, pricing begins to stabilize, or RYAN cuts costs substantially.

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J.P.Morgan

Ryan Specialty Group: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Net Revenue	**2,516**	**3,051**	**3,322**	**3,593**	**3,891**
o/w Commission and fee income	-	-	-	-	-
o/w Net trading income	-	-	-	-	-
o/w Net interest income	60	57	53	62	68
SG&A	(1,568)	(1,817)	(2,042)	(2,154)	(2,329)
o/w Compensation expense	(1,591)	(1,803)	(1,997)	(2,154)	(2,329)
o/w Non-compensation expense	23	(13)	(45)	0	0
Adj. Operating income	**431**	**516**	**532**	**638**	**723**
Adj. PBT	**273**	**293**	**305**	**406**	**491**
Tax	(43)	(79)	(62)	(106)	(128)
Minority Interest	(135)	(149)	(158)	(215)	(257)
Adj. Net Income	**493**	**548**	**593**	**653**	**743**
Reported EPS	0.34	0.23	0.32	0.33	0.41
Adj. EPS	**1.79**	**1.96**	**2.20**	**2.50**	**2.84**
DPS	**0.67**	**0.48**	**0.52**	**0.56**	**0.60**
Payout ratio	195.4%	206.6%	163.0%	171.9%	147.7%
Shares outstanding	276	279	269	261	262

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue y/y growth	21.1%	21.3%	8.9%	8.2%	8.3%
Adj. Net Income y/y growth	30.5%	11.2%	8.1%	10.2%	13.7%
EPS y/y growth	28.9%	10.1%	12.2%	13.5%	13.4%
DPS y/y growth	-	(28.4%)	8.3%	7.7%	7.1%
Fee income / Avg assets	-	-	-	-	-
Interest income / Avg assets	-	-	-	-	-
Net trading income / Avg assets	-	-	-	-	-

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,681	1,584	1,773	1,881	2,064
Accounts receivable	-	-	-	-	-
Other current assets	-	-	-	-	-
Current assets	**1,681**	**1,584**	**1,773**	**1,881**	**2,064**
PP&E	-	-	-	-	-
Other non current assets	0	0	0	0	0
Total assets	**1,681**	**1,584**	**1,773**	**1,881**	**2,064**
Short term borrowings	-	-	-	-	-
Payables	-	-	-	-	-
Other short term liabilities	-	-	-	-	-
Current liabilities	**-**	**-**	**-**	**-**	**-**
Long-term debt	-	-	-	-	-
Other long term liabilities	-	-	-	-	-
Total liabilities	**-**	**-**	**-**	**-**	**-**
Shareholders' equity	1,681	1,584	1,773	1,881	2,064
Minority interests	-	-	-	-	-
Total liabilities & equity	**1,681**	**1,584**	**1,773**	**1,881**	**2,064**
BVPS	**6.09**	**5.68**	**6.59**	**7.21**	**7.88**
y/y growth	*(5.4%)*	*(6.7%)*	*16.1%*	*9.4%*	*9.4%*
Net debt/(cash)	-	-	-	-	-

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Net profit margin	-	-	-	-	-
ROE	28.7%	33.6%	35.3%	35.7%	37.7%
ROA	28.7%	33.6%	35.3%	35.7%	37.7%
ROCE	-	-	-	-	-
Net debt/equity	-	-	-	-	-
Tax rate	15.6%	27.0%	20.3%	26.0%	26.0%
P/E (x)	20.7	18.8	16.8	14.8	13.0
P/BV (x)	6.1	6.5	5.6	5.1	4.7
Dividend yield	1.8%	1.3%	1.4%	1.5%	1.6%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Neutral

TWFG, TWFG US
Price (30 Sep 26):$24.01
▼**Price Target (Dec-27):$26.00**
Prior (Dec-27):$28.00

Insurance - Life & Nonlife

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.16	0.29A	0.24
Q2	0.19	0.37A	0.31
Q3	0.23	0.26	0.28
Q4	0.30	0.21	0.21
FY	0.88	1.13	1.04

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	29	61	20		
Growth	1	100	100		
Momentum	23	92	68		
Quality	29	85	61	99	97
Low Vol	78	73	74		

TWFG Insurance

Healthy Results, Valuation Depressed, AI an Overhang

We are Neutral. TWFG is a low-teens organic growth independent agency platform with a high-teens to low-twenties EBITDA margin, strong cash conversion, excess cash on the balance sheet, and de minimis debt. Longer term, we think the combination of organic growth and M&A will deliver mid-to-high-teens revenue growth beyond 2026 via a platform that provides agents flexibility and has operated with greater stability compared with peers (less reliance on contingent commissions, lower exposure to housing market trends, less headwind from pricing normalization in personal lines market). M&A also provides strategic value by diversifying TWFG's mix. On the other hand, TWFG's concentrated geographic exposure and founder control are risks. Also, though its organic growth has benefited less than peers from strong price increases in personal lines, there could be some moderation as the market continues to normalize. Over the past several quarters, the assumption and renewal of Florida take-out books has led to increased organic growth and margins, but we expect moderation through 2H26 and into 2027. **Similar to GSHD, TWFG is trading below its historical multiples and its valuation premium to larger brokers has compressed.** Part of the pullback is justified given TWFG's organic growth running closer to the low-end of management's low-to-mid teens run-rate without the benefit of the Florida business. However, our view is that most of the valuation pullback is from AI disintermediation concerns, which we think are overdone. Still, we remain Neutral because we do not expect any near or medium term catalysts that would help overcome investor concerns about AI-related disintermediation, which is likely to be a long-term overhang for personal lines brokers.

3Q26 Outlook

Our EPS estimates are mostly unchanged (3Q26 unchanged at $0.26, 4Q26 unchanged at $0.21, 2027 from $1.03 to $1.04). Our model reflects slightly higher cash interest income. We expect TWFG to report low-double-digit organic growth in 3Q26 and low-single-digit growth in 4Q26 as the Florida take-over book works through results. Similarly, we expect the favorable margin impact of the Florida takeover book to moderate in future periods. Aside from reported results, investors are likely to focus on commentary regarding (1) market conditions (pricing, product availability, etc.), (2) organic growth, (3) management's outlook for M&A, and (4) expectations for margins and expense savings initiatives.

Table 39: 2026 J.P. Morgan Estimates vs. Company Guidance

$ in millions and %

	2026 JPM	2026 Guidance
Total revenue	$317	$300 - 320
Organic revenue growth	14.9%	+13-17%
Adjusted EBITDA margin	25.7%	23-27%

Source: Company reports and J.P. Morgan estimates.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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J.P.Morgan

Table 40: 3Q26 and 2026 J.P. Morgan Estimates vs. Consensus

$ in millions and per share

	3Q26E JPM	3Q26E Cons.	diff.	2026E JPM	2026E Cons.	diff.	2027E JPM	2027E Cons.	diff.
Adjusted EPS	$0.26	$0.24	7.9%	$1.13	$1.16	-2.2%	$1.04	$1.10	-5.1%
Adjusted net income	13.9	14.0	-0.8%	62.3	63.7	-2.2%	56.7	64.7	-12.3%
Written premiums	**588.9**	**550.4**	7.0%	**2,165.2**	**2,005.7**	8.0%	**2,590.2**	**2,375.9**	9.0%
% change	30.8%	22.2%	854 bps	25.0%	15.8%	921 bps	19.6%	18.5%	117 bps
Organic growth	**10.7%**			**14.9%**			**10.4%**		
Revenues	**80.9**	**79.4**	**1.8%**	**317.4**	**315.0**	**0.8%**	**353.7**	**366.9**	**-3.6%**
% change	34.1%	31.7%	241 bps	28.5%	27.5%	99	11.4%	16.5%	(505) bps
Adjusted EBITDA	**18.3**	**18.0**	**1.8%**	**81.7**	**81.9**	**-0.2%**	**74.9**	**83.9**	**-10.7%**
% margin	22.6%	22.6%	(1) bps	25.7%	26.0%	(26)	21.2%	22.9%	(169) bps

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates.

Table 41: 3Q26 and 2026 J.P. Morgan Key Financial Forecasts

$ in millions, %, and per share

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Overall P&L												
Commission income	48.240	43.711	183.158	48.785	54.562	58.270	59.351	220.968	67.051	80.643	73.905	290.954
Fee income	2.890	2.751	10.562	3.011	3.329	3.466	3.186	12.992	3.348	4.165	4.363	15.937
Core revenues	**51.130**	**46.462**	**193.720**	**51.796**	**57.891**	**61.736**	**62.537**	**233.960**	**70.399**	**84.808**	**78.268**	**306.891**
Contingents	**1.383**	**5.005**	**8.722**	**1.663**	**2.033**	**2.095**	**5.890**	**11.681**	**1.935**	**2.167**	**2.081**	**8.433**
Other	0.350	0.276	1.318	0.364	0.384	0.292	0.401	1.441	0.507	0.536	0.536	2.115
Other income	**0.350**	**0.276**	**1.318**	**0.364**	**0.384**	**0.292**	**0.401**	**1.441**	**0.507**	**0.536**	**0.536**	**2.115**
Total revenues	**52.863**	**51.743**	**203.760**	**53.823**	**60.308**	**64.123**	**68.828**	**247.082**	**72.841**	**87.511**	**80.885**	**317.439**
% total revenue growth	11.7%	31.1%	18.6%	16.6%	13.8%	21.3%	33.0%	21.3%	35.3%	45.1%	26.1%	28.5%
% core revenue growth	10.9%	21.6%	16.0%	15.7%	12.7%	20.7%	34.6%	20.8%	35.9%	46.5%	26.8%	31.2%
% organic revenue growth	**8.6%**	**20.0%**	**13.8%**	**14.3%**	**10.6%**	**10.2%**	**11.7%**	**11.6%**	**10.1%**	**37.0%**	**10.7%**	**14.9%**
Commission expenses	(30.766)	(28.915)	(118.086)	(31.814)	(34.151)	(34.639)	(32.914)	(133.518)	(37.030)	(42.491)	(45.279)	(168.227)
Compensation	(8.331)	(7.663)	(29.064)	(8.196)	(9.493)	(9.929)	(10.018)	(37.636)	(9.901)	(11.781)	(11.628)	(44.994)
G&A	(4.813)	(4.978)	(16.665)	(4.724)	(5.400)	(5.194)	(6.702)	(22.020)	(7.390)	(8.587)	(7.413)	(30.927)
Other	(0.004)	0.001	0.009	(0.001)	0.574	0.059	0.508	1.140	0.709	(0.007)	-	0.702
Operating expenses	**(43.914)**	**(41.555)**	**(163.806)**	**(44.735)**	**(48.470)**	**(49.703)**	**(49.126)**	**(192.034)**	**(53.612)**	**(62.866)**	**(64.320)**	**(243.446)**
EBITDA = Revenues less opex	**8.949**	**10.188**	**39.954**	**9.088**	**11.838**	**14.420**	**19.702**	**55.048**	**19.229**	**24.645**	**16.565**	**73.993**
Acquisition and restructuring	-	0.020	0.020	0.033	0.019	0.003	0.237	0.292	0.125	0.030	0.038	0.230
Equity compensation	1.012	1.207	2.219	1.204	1.515	0.987	0.872	4.578	0.856	1.166	1.166	4.354
Other	-	0.257	(1.220)	-	(0.605)	-	(0.504)	(1.109)	(0.234)	-	-	-
Interest Income	1.777	2.174	4.376	1.863	1.751	1.574	1.419	6.607	1.214	0.759	0.536	3.153
Adjusted EBITDA	**11.738**	**13.846**	**45.349**	**12.188**	**14.518**	**16.984**	**21.726**	**65.416**	**21.190**	**26.600**	**18.304**	**81.730**
% Adjusted EBITDA margin (gross commissions)	**22.2%**	**26.8%**	**22.3%**	**22.6%**	**24.1%**	**26.5%**	**31.6%**	**26.5%**	**29.1%**	**30.4%**	**22.6%**	**25.7%**
% Adjusted EBITDA ex. contingents (gross commissions)	20.1%	18.9%	18.8%	20.2%	21.4%	24.0%	25.2%	22.8%	27.2%	28.6%	20.6%	23.7%
% Adjusted EBITDA margin (net commissions)	**53.1%**	**60.7%**	**52.9%**	**55.4%**	**55.5%**	**57.6%**	**60.5%**	**57.6%**	**59.2%**	**59.1%**	**51.4%**	**54.8%**
% Adjusted EBITDA ex. contingents (net commissions)	50.0%	49.6%	47.6%	51.7%	51.8%	54.4%	52.7%	52.7%	56.8%	57.0%	48.4%	52.1%
Depreciation	(0.065)	(0.104)	(0.299)	(0.149)	(0.139)	(0.122)	(0.130)	(0.540)	(0.141)	(0.156)	(0.175)	(0.665)
Interest income (expense)	(0.411)	(0.098)	(2.223)	(0.083)	(0.068)	(0.070)	(0.066)	(0.287)	(0.062)	(0.057)	(0.057)	(0.233)
Income taxes	(2.482)	(3.123)	(9.802)	(2.736)	(3.407)	(3.833)	(4.814)	(14.790)	(4.835)	(6.099)	(4.157)	(18.576)
Adjusted net income	**8.780**	**10.521**	**33.025**	**9.220**	**10.904**	**12.959**	**16.716**	**49.799**	**16.152**	**20.288**	**13.916**	**62.257**
Adjusted EPS	**$0.15**	**$0.19**	**$0.59**	**$0.16**	**$0.19**	**$0.23**	**$0.30**	**$0.88**	**$0.29**	**$0.37**	**$0.26**	**$1.13**
GAAP OCF - Capex	**11.5**	**8.7**	**37.3**	**15.6**	**9.6**	**14.9**	**13.1**	**53.1**	**22.4**	**9.3**	**18.7**	**58.5**
% of adjusted EBITDA	98%	63%	82%	128%	66%	88%	60%	81%	106%	35%	102%	72%

Source: Company reports and J.P. Morgan estimates.

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Table 42: 3Q26 and 2026 J.P. Morgan Model Drivers

$ in millions, %, and per share

	3Q24	4Q24	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	2026E
Written premiums ($ millions)	**400**	**361**	**1,476**	**371**	**450**	**468**	**443**	**1,732**	**458**	**570**	**589**	**2,165**
% growth	**13.0%**	**19.9%**	**18.3%**	**15.5%**	**14.4%**	**16.9%**	**22.7%**	**17.3%**	**23.5%**	**26.6%**	**25.9%**	**25.0%**
First year premiums	89	88	338	90	101	106	111	408	118	153	136	530
% growth	**39.1%**	**45.0%**	**32.0%**	**25.8%**	**12.6%**	**18.7%**	**27.2%**	**20.8%**	**31.0%**	**51.6%**	**28.9%**	**30.1%**
Renewal year premiums	311	274	1,139	281	349	362	332	1,325	341	417	453	1,635
% growth	**7.2%**	**13.6%**	**14.8%**	**12.5%**	**14.9%**	**16.4%**	**21.3%**	**16.3%**	**21.1%**	**19.3%**	**25.0%**	**23.4%**
Premium retention %	**87.9%**	**90.8%**	**91.2%**	**87.5%**	**88.7%**	**90.5%**	**91.9%**	**89.7%**	**91.8%**	**92.6%**	**96.8%**	**94.4%**
Sales velocity in %	**25.1%**	**29.1%**	**27.1%**	**27.9%**	**25.7%**	**26.4%**	**30.8%**	**27.6%**	**31.7%**	**34.0%**	**29.1%**	**30.6%**
Commissions as % premiums	**12.06%**	**12.10%**	**12.41%**	**13.15%**	**12.12%**	**12.46%**	**13.38%**	**12.75%**	**14.63%**	**14.15%**	**12.55%**	**13.44%**
Fees as % of premiums	0.72%	0.76%	0.72%	0.81%	0.74%	0.74%	0.72%	0.75%	0.73%	0.73%	0.74%	0.74%
Contingents as % of premiums	**0.35%**	**1.39%**	**0.59%**	**0.45%**	**0.45%**	**0.45%**	**1.33%**	**0.67%**	**0.42%**	**0.38%**	**0.35%**	**0.39%**
Compensation % of net commissions	47.7%	51.8%	44.7%	48.3%	46.5%	42.0%	37.9%	43.0%	33.0%	30.9%	40.6%	36.7%
Equity comp	5.8%	8.2%	3.4%	7.1%	7.4%	4.2%	3.3%	5.2%	2.9%	3.1%	4.1%	3.5%
G&A % of net commissions	27.5%	33.6%	25.6%	27.8%	26.5%	22.0%	25.4%	25.2%	24.6%	22.5%	25.9%	25.2%
Margin on net commissions	**24.8%**	**14.6%**	**29.7%**	**23.9%**	**27.0%**	**36.0%**	**36.8%**	**31.8%**	**42.4%**	**46.6%**	**33.5%**	**38.1%**

Source: Company reports and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-16.6%	-20.0%	-0.2%	-12.5%
Rel	-29.3%	-14.1%	7.4%	-27.3%

Company Data

Shares O/S (mn)	54
52-week range ($)	31.30-16.56
Market cap ($ mn)	1,302.97
Exchange rate	1.00
Free float (%)	72.4%
3M ADV (mn)	0.16
3M ADV ($ mn)	4.2
Volatility (90 Day)	48
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	6|2|0

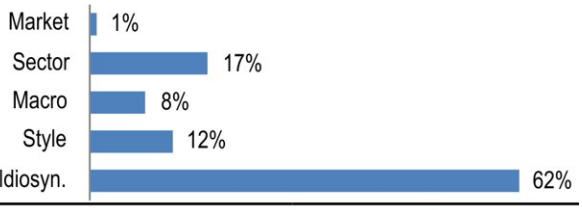
Key Metrics (FYE Dec)

in	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Investment banking	-	-	-	-
Brokerage commissions	247	317	354	397
Asset management income	-	-	-	-
Trading income	-	-	-	-
Total non-interest income	-	-	-	-
Net interest income	-	-	-	-
Net revenue	247	317	354	397
Operating expense	-	-	-	-
Adj. pre provison profit	36	45	36	46
Adj. PBT	11	10	9	12
Adj. net income	50	62	57	67
Adj. EPS	0.88	1.13	1.04	1.22
BBG EPS	0.79	1.16	1.10	1.33
DPS	-	-	-	-
BVPS	56.27	54.92	54.63	55.01
Total Assets	-	-	-	-
Margins and Growth				
Net margin	-	-	-	-
Adj. EPS growth	50.5%	28.1%	(8.4%)	17.6%
Ratios				
Adj. tax rate	358.9%	503.6%	499.2%	444.6%
Cost to income ratio	-	-	-	-
Dividend payout	-	-	-	-
Commission / Avg. asset	-	-	-	-
ROA	-	-	-	-
Valuation				
Dividend yield	-	-	-	-
Adj. P/E	27.1	21.2	23.1	19.7

Summary Investment Thesis and Valuation

We are Neutral. TWFG is a low-teens organic growth agency platform with a high-teens to low-twenties EBITDA margin, strong cash conversion, excess cash on the balance sheet, and de minimis debt. Longer term, we think the combination of organic growth and M&A will deliver mid-to-high-teens revenue growth beyond 2026 via a platform that provides agents flexibility and has operated with greater stability compared with peers. M&A also provides strategic value by diversifying TWFG's mix. On the other hand, we expect organic growth and margins, which have been very strong recently, to moderate as P&C market conditions continue to normalize and the one-time positive impacts of the Florida takeover business earn through. TWFG's valuation is being pressured by AI risk, which we think is overdone, but we remain Neutral because we do not expect any near or medium term catalysts that would help overcome investor concerns about AI-related disintermediation.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.19	0.09
Sect: Financials	0.44	0.42
Ind: Insurance	0.53	0.52
Macro:		
US 10yr Breakeven	-0.10	-0.17
US Dollar	0.18	0.13
Economic Surprise	0.18	0.13
Quant Styles:		
Momentum	-0.30	-0.43
Size	-0.35	-0.38
LowVol	0.34	0.36

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

TWFG Insurance *(Neutral; Price Target: $26.00)*

Investment Thesis
We are Neutral. TWFG is a low-teens organic growth agency platform with a high-teens to low-twenties EBITDA margin, strong cash conversion, excess cash on the balance sheet, and de minimis debt. Longer term, we think the combination of organic growth and M&A will deliver mid-to-high-teens revenue growth beyond 2026 via a platform that provides agents flexibility and has operated with greater stability compared with peers. M&A also provides strategic value by diversifying TWFG's mix. On the other hand, we expect organic growth and margins, which have been very strong recently, to moderate as P&C market conditions continue to normalize and the one-time positive impacts of the Florida takeover business earn through. TWFG's valuation is being pressured by AI risk, which we think is overdone, but we remain Neutral because we do not expect any near or medium term catalysts that would help overcome investor concerns about AI-related disintermediation.

Valuation
We are reducing our December 2027 price target from $28 to $26 to reflect a lower price target multiple. Our price target is based on a P/E target multiple of 19.0x 2028E EPS, which incorporates excess cash on the balance sheet. This compares to 17.0x for its closest comparable, Goosehead, and 15.0-17.0x for large commercial brokers. Given the overlap in their business models and growth trajectory, our view is that it is appropriate to use GSHD as a primary comparable for TWFG. In our opinion, TWFG deserves to trade at a premium to GSHD given that its model has greater optionality through M&A, is less dependent on contingents, and is less volatile. There are other high-growth brokers (BWIN and RYAN) that are public, but they are larger, more diversified, and more focused on commercial lines.

Risks to Rating and Price Target
The primary upside risks to our rating and price target are:

- **M&A program is expedited and executed well.** A significant amount of the value we attach to TWFG depends on the successful execution of its M&A strategy to grow scale, diversify its business, and maintain mid to high-teens revenue growth. If this strategy is executed well, there will likely be upside in our model. Also, investor sentiment would likely improve to the extent that acquisitions help reduce the perception of AI disintermediation risk.
- **Momentum in organic agent hiring continues.** Since going public, TWFG has been in a better position to capitalize on disruption in the personal lines market and pick up agents from captive insurers. In 2024, for instance, TWFG added close to 140 agencies-in-a-box, representing a greater than 30% increase vs. its ~400 branches at 12/31/23. Revenues from these additions have been de minimis but should become more meaningful 2-3 years out. Further disruption from technologies like AI could also push smaller agencies onto a larger platform such as TWFG.
- **Price and exposure re-accelerate.** We expect rate and exposure to moderate for personal lines brokers (more so in homeowners' than in personal auto). To the extent that this trend re-accelerates and benefits TWFG's organic growth as it continues to expand its agent base, there could be upside to our forecasts.

The primary downside risks to our rating and price target are:

- **Lower investment spending erodes TWFG's competitive position.** Other brokers

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have been investing in the technology backing their personal lines platform to improve customer experiences or make the selling process more efficient. TWFG's low capex spend helps cash flows, but if it is required to make a catch-up investment to stay competitive, its financial flexibility would be reduced.

- **Insurance markets in TX, CA, or LA are disrupted either by catastrophe losses or regulatory factors.** TWFG's business was adversely impacted by the challenging insurance market in recent years. If that same scenario materializes, either because of elevated catastrophes or actions by regulators, there could be downside risk to TWFG's near-term earnings trajectory.
- **Premature secondary selling by shareholders.** Pre-IPO investors RenaissanceRe and Griffin Highline own 10% and 3% of TWFG, and CEO Bunch owns 62%. Lock-ups for TWFG stock expired in January 2025. If pre-IPO holders reduce their stake without the stock price improving from current levels, we think such an action would have a negative impact on investor sentiment.

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TWFG Insurance: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Net Revenue	**204**	**247**	**317**	**354**	**397**
o/w Commission and fee income	-	-	-	-	-
o/w Net trading income	-	-	-	-	-
o/w Net interest income	-	-	-	-	-
SG&A	(164)	(193)	(244)	(287)	(317)
o/w Compensation expense	(147)	(171)	(213)	(254)	(282)
o/w Non-compensation expense	(17)	(22)	(31)	(33)	(34)
Adj. Operating income	**28**	**36**	**45**	**36**	**46**
Adj. PBT	**18**	**11**	**10**	**9**	**12**
Tax	(1)	(3)	(3)	(2)	(3)
Minority Interest	-	-	-	-	-
Adj. Net Income	**33**	**50**	**62**	**57**	**67**
Reported EPS	0.29	0.14	0.13	0.13	0.17
Adj. EPS	**0.59**	**0.88**	**1.13**	**1.04**	**1.22**
DPS	**-**	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-	-
Shares outstanding	56	56	55	55	55

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue y/y growth	18.6%	21.3%	28.5%	11.4%	12.3%
Adj. Net Income y/y growth	9.8%	50.8%	25.0%	(8.9%)	18.4%
EPS y/y growth	(15.3%)	50.5%	28.1%	(8.4%)	17.6%
DPS y/y growth	-	-	-	-	-
Fee income / Avg assets	-	-	-	-	-
Interest income / Avg assets	-	-	-	-	-
Net trading income / Avg assets	-	-	-	-	-

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	-	-	-	-	-
Accounts receivable	-	-	-	-	-
Other current assets	-	-	-	-	-
Current assets	**-**	**-**	**-**	**-**	**-**
PP&E	-	-	-	-	-
Other non current assets	-	-	-	-	-
Total assets	**-**	**-**	**-**	**-**	**-**
Short term borrowings	-	-	-	-	-
Payables	-	-	-	-	-
Other short term liabilities	-	-	-	-	-
Current liabilities	**-**	**-**	**-**	**-**	**-**
Long-term debt	-	-	-	-	-
Other long term liabilities	-	-	-	-	-
Total liabilities	**-**	**-**	**-**	**-**	**-**
Shareholders' equity	-	-	-	-	-
Minority interests	-	-	-	-	-
Total liabilities & equity	**-**	**-**	**-**	**-**	**-**
BVPS	**56.15**	**56.27**	**54.92**	**54.63**	**55.01**
y/y growth	*29.6%*	*0.2%*	*(2.4%)*	*(0.5%)*	*0.7%*
Net debt/(cash)	-	-	-	-	-

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Net profit margin	-	-	-	-	-
ROE	-	-	-	-	-
ROA	-	-	-	-	-
ROCE	-	-	-	-	-
Net debt/equity	-	-	-	-	-
Tax rate	85.7%	358.9%	503.6%	499.2%	444.6%
P/E (x)	40.8	27.1	21.2	23.1	19.7
P/BV (x)	0.4	0.4	0.4	0.4	0.4
Dividend yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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IB clients**	95%	92%	87%

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